SAP S/4HANA Cloud

Two -Tier ERP with SAP S/4HANA Cloud Public Edition

PUBLIC

PSCC : Two-Tier ERP

SAP Labs India

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Notation Glossary



Glossary of Notations

Following notations are used in this slide deck



SAP S/4HANA Cloud Public Edition



SAP S/4HANA Cloud Private Edition



SAP ECC 6.0



SAP BTP



SAP BW or SAP BW/4HANA



SAP Central Finance deployment



SAP Analytics Cloud



SAP S/4HANA Any Deployment



Headquarters



Subsidiary



SAP S/4HANA – On Premise

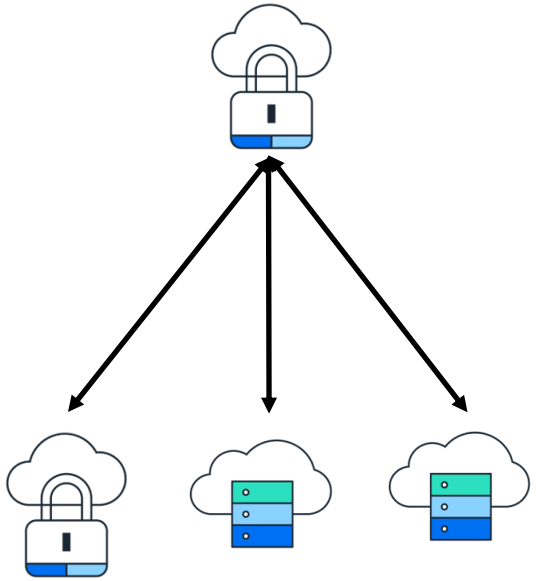
The process flows have the following notation

→	Scope Item flow	Process step is part of Scope Item delivered
→	Manual	Process step is manual by end-user
→	API based	Process step is packaged via Whitelisted APIs or CDS view which calls for orchestration via middleware like SAP BTP Integration Service
⇢	Visibility	Process step visibility scenario

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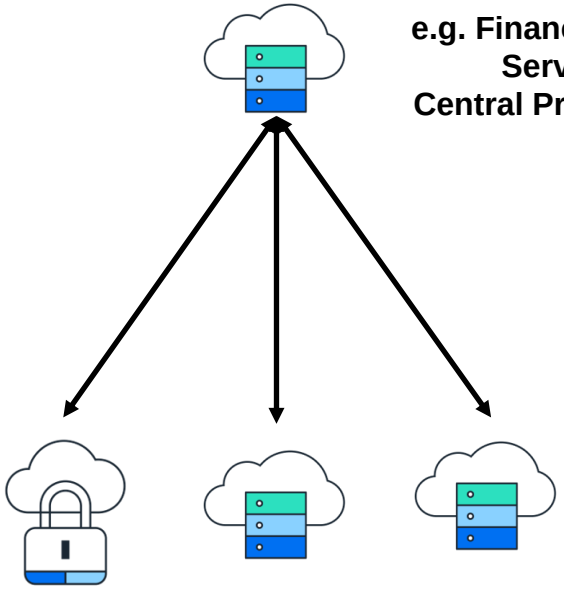
Deployment Options in Two-Tier ERP

HQ/Corporate



Subsidiary/Affiliate

Central Services

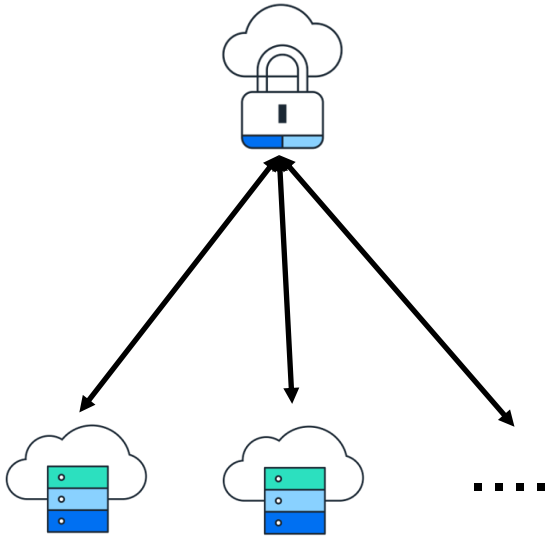


e.g. Financial Shared Services, Central Procurement

HQ

Subsidiaries

Supply Chain Eco-system



e.g. Dealer Contractor

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Two-Tier ERP Processes with SAP S/4HANA Cloud Public Edition

Existing Scenarios for LOB

Procure to Pay

External & Basic Internal procurement

- Procurement directly by Tier 2 with process visibility to Tier 1
- Central Contracts
- Centralised Purchasing
- Centralized Scheduling Agreement
- Centralized Purchase Requisition

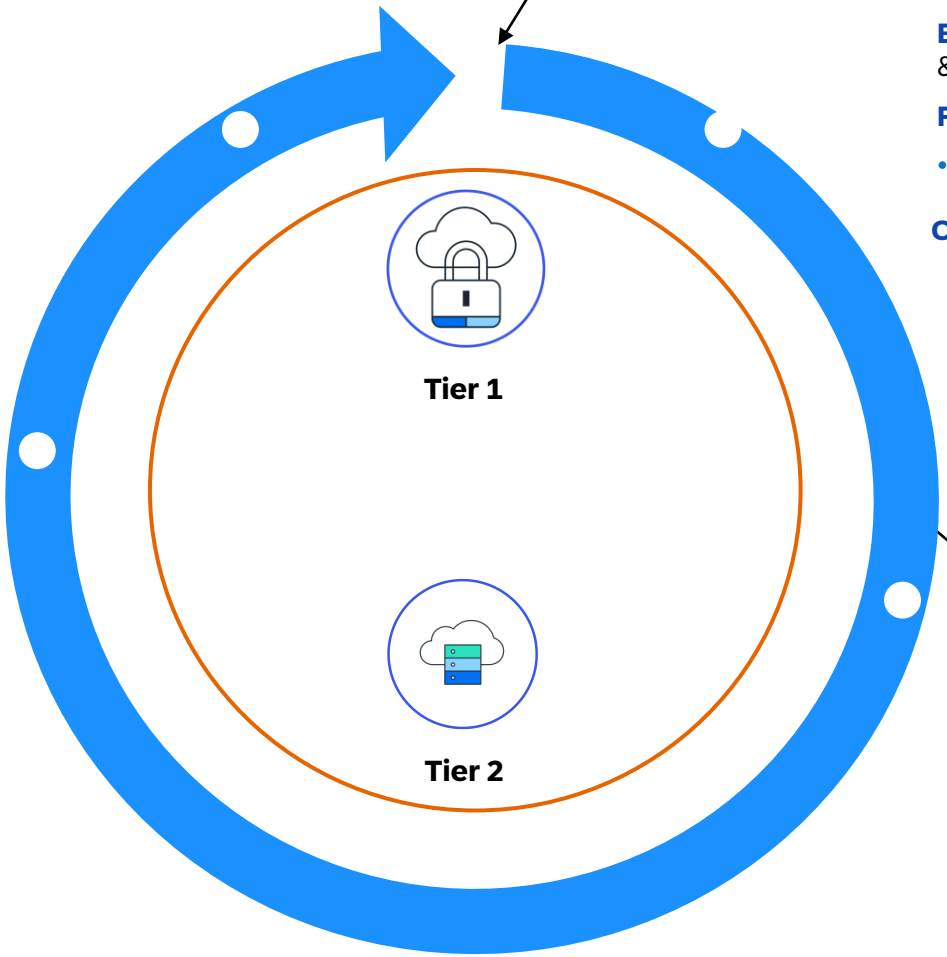
Plan to Product

EPPM / Prof Services

- Managing Intercompany Prof. Services Projects
- Multi-Project Scenario
- Project based Engineer-to-Order

Manufacturing

- Tier 2 as a production unit and internal supplier to Tier 1
- Enabling Tier 2 to Manage assembly for Tier 1
- Predictive MRP with Scheduling Agreement Integration
- Multiple specification based integration (Quality Certificate)
- Equipment calibration in Two-Tier ERP



Finance

Financial Planning, Consolidation & Profitability

- Integrated Financial Planning
- Liquidity Planning
- Financial Consolidation & Group Reporting
- Central Finance Consolidation

Enterprise Risk and Governance – Privacy Governance & Financial Compliance Management

Financial Closing

- Advanced Financial Close

Cash & Payments

- Cash Visibility, Hybrid Cash Deployment
- Centralized Customer Payments
- Central Payment Factory & In-house Banking
- Treasury Workstation Payment Integration

Order to Cash

- Sale from Local (Goods & basic Services)
- Sale from Central Stock (drop shipment process)
- Returns Handling with Credit & Debit Memos support
- Sale from HQ Direct procurement from Subsidiary
- Service Order Management in Headquarter-Subsidiary Model
- Repair Order Integration
- Sales and Installation process
- Predictive Maintenance with AIN Integration
- Warranty claim process in Two-Tier ERP

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Two-Tier ERP Processes with SAP S/4HANA Cloud Public Edition

Cross Topics

Analytics

Financial Planning & Analysis

- Financial Planning and Consolidate Plan data

Manufacturing Processes

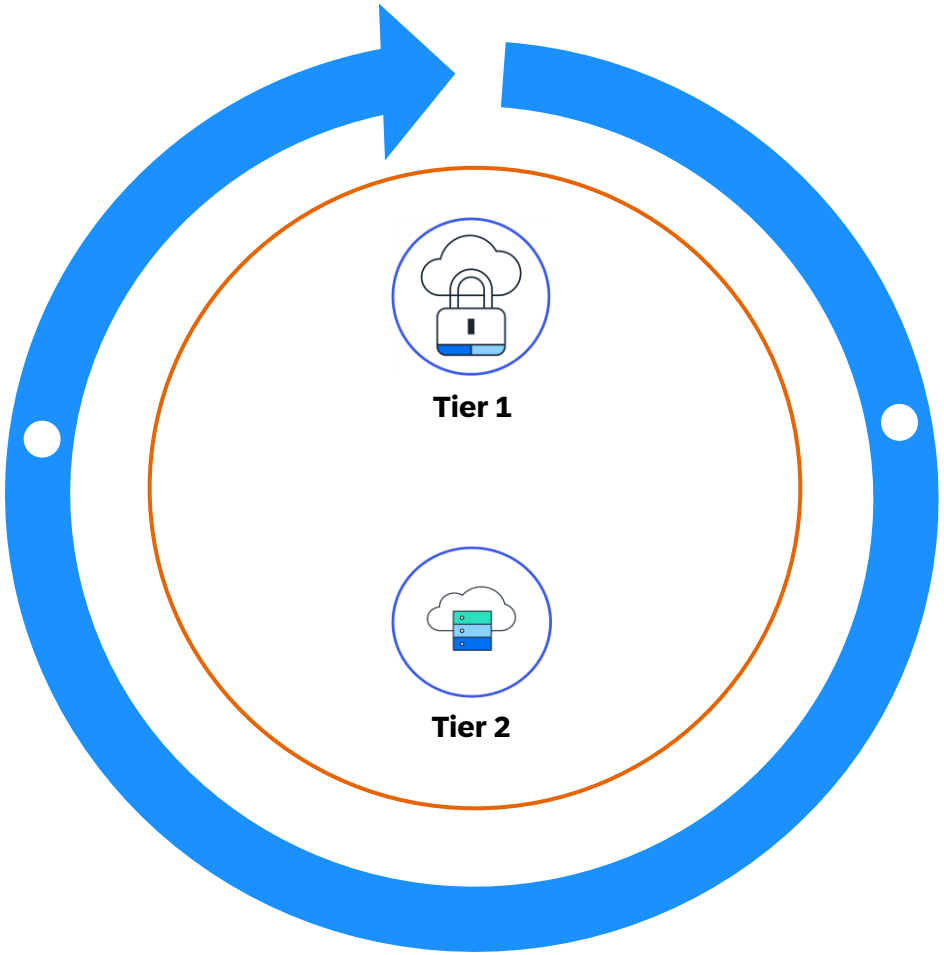
- Tier 2 as Production Unit and Internal Supplier to Tier 1

Procurement Processes

- Procurement Directly by Tier 2 with visibility to Tier 1

Sales Processes

- Drop-Shipment process



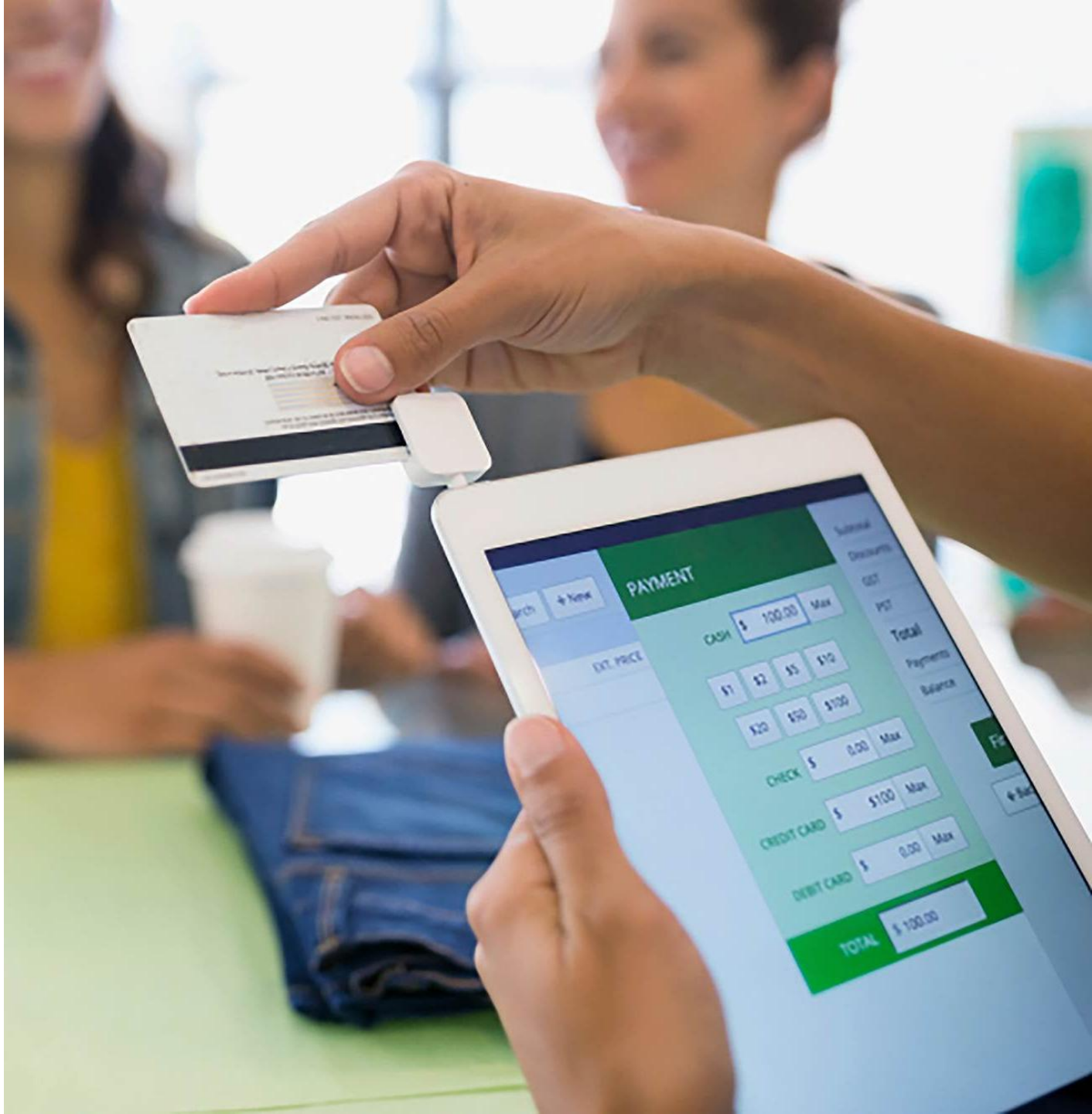
Master Data

Master Data Scenarios

- Master Data administered centrally by MDG
- Tier 1 runs on SAP S/4HANA / SAP ECC and Tier 2 runs on SAP S/4HANA Cloud Public Edition – Replication using DRF
- Tier 1 runs on SAP S/4HANA / SAP ECC and Tier 2 runs on SAP S/4HANA Cloud Public Edition– Replication using API
- Tier 1 runs on SAP S/4HANA / SAP ECC and SAP PI/PO and Tier 2 runs on SAP S/4HANA Cloud Public Edition
- Tier 1 runs on SAP S/4HANA / SAP ECC and SAP BTP and Tier 2 runs on SAP S/4HANA Cloud Public Edition
- Master Data Replication – Bill of Material and Change Master
- Business Partner Replication- Using Cloud Integration middleware

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Core Finance Processes



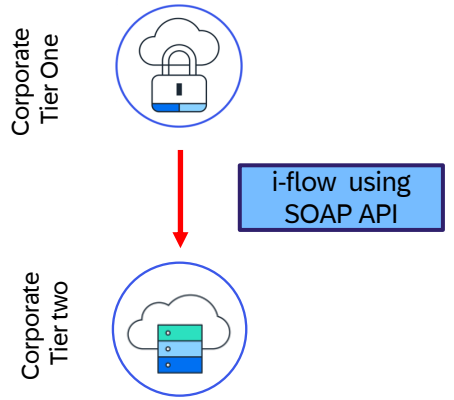
Finance Master Data Replication

Finance

- Profit Center
- Cost Center
- Asset master
- Bank master

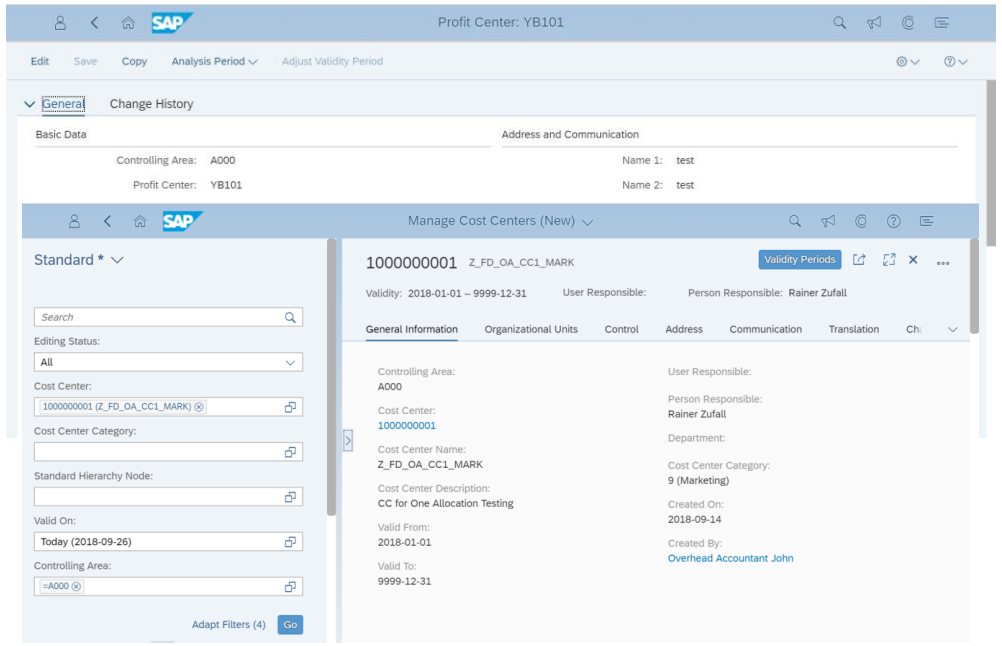
Business Benefits

- Automated, Real-Time & seamless process
- Easy implementation using SAP BTP Integration
- Usage of standard whitelisted APIs
- Master data harmonization across the entire enterprise.



Integration deployment Approach :

Integration Approach varies based on available landscape deployment options and user preferences whether to use “Middleware / DRF/ API”



Deployment Options

Tier 1: SAP S/4HANA Cloud Private Edition

Tier 2:

Deployment Scenarios

- HQ – Subsidiary
- Corporate - Affiliates

: SAP S/4HANA Any Deployment : SAP S/4HANA Cloud, Public Edition : SAP S/4HANA Cloud, Private Edition : SAP ECC 6.0 : SAP S/4HANA – On Premise

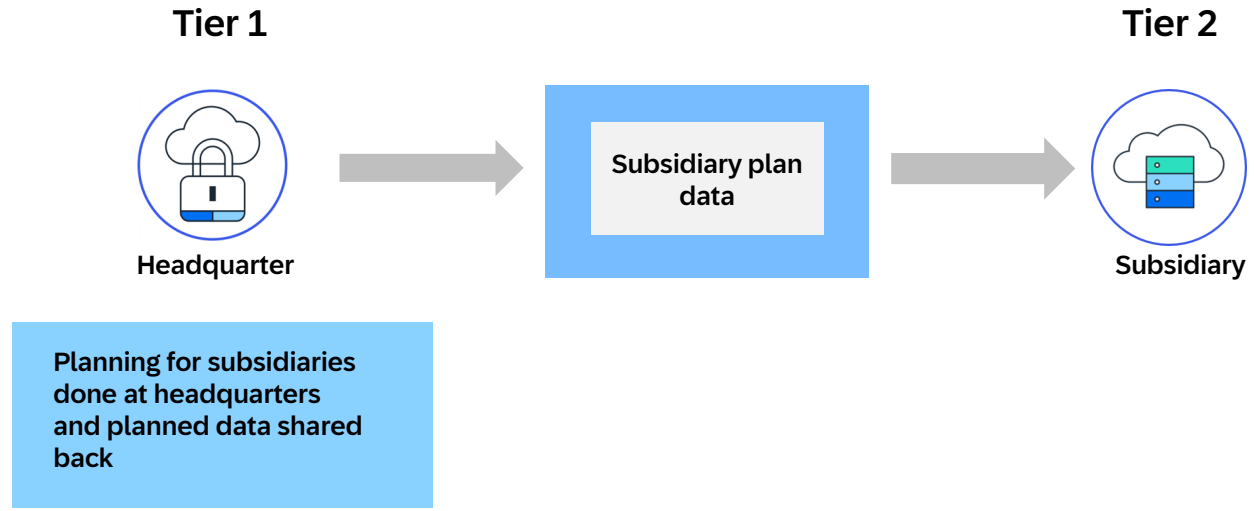
Note: Please refer integration and master data section of this ppt for available options for master data replication

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Financial Planning and Upload of Plan Data

Business Benefits

- Standardization of financial planning across HQ and subsidiaries.
- Headquarter can trigger the group level planning and import the planning data into the subsidiary.
- Subsidiary can report plan versus actual report based on the imported plan data.



Deployment Options

Tier 1:

Tier 2:

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Financial Planning and Upload of Plan Data

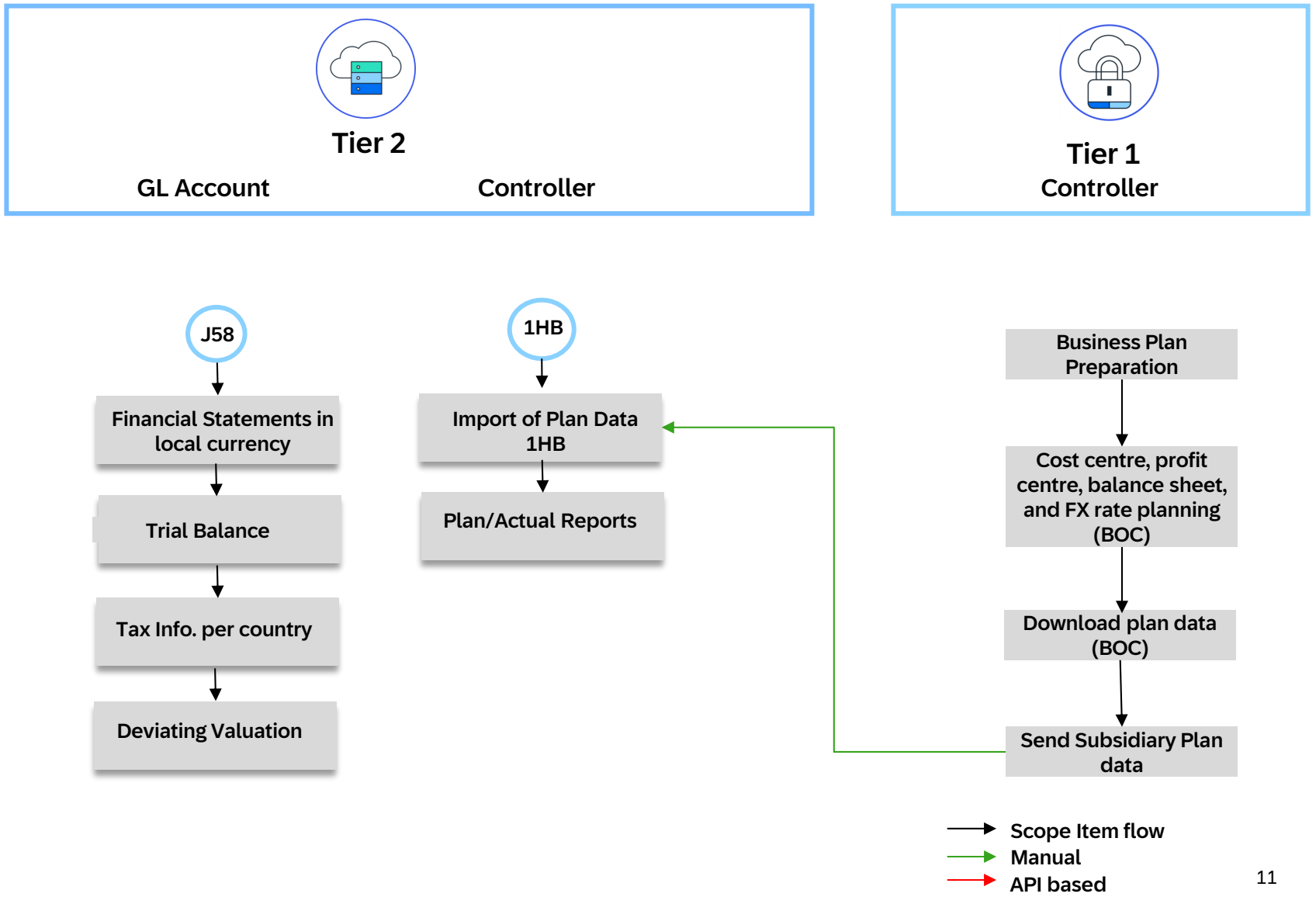
Relevant Scope Item

1HB

Tier 2
- Import Budget plan data
- Accounting and Financial Close
- Run report Plan/Actual

Tier 1
- Group level business planning and in some cases planning for subsidiaries done at Tier 1.
- Share plan data with Tier 2.

Pre-Requisite
- Tier 2 and Tier 1 has different company codes setup

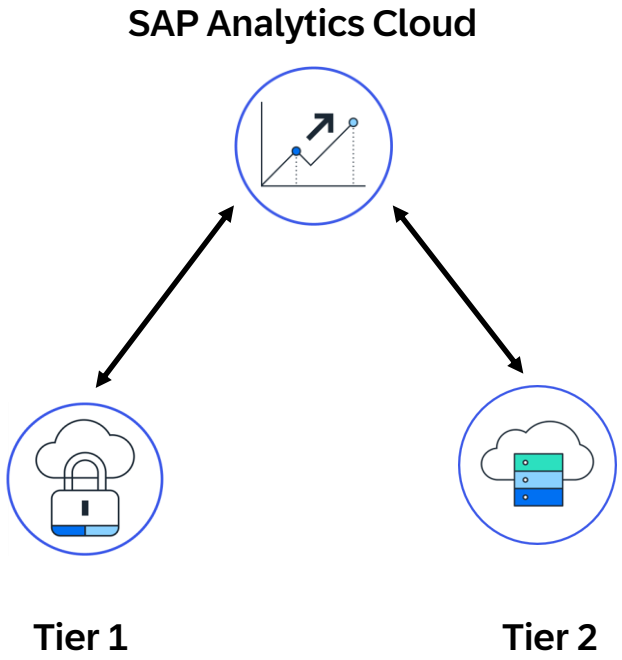


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Integrated Financial Planning with SAP Analytics Cloud

Business Benefits

- SAP Analytics Cloud is fully integrated with SAP S/4HANA and enables integrated financial planning and budgeting processes
- Actual data (master data and transaction data) from SAP S/4HANA can be populated in SAP Analytics Cloud for planning.
- Tier 1 can do group level planning and Integrated financial planning for Tier 2 in SAP Analytics Cloud. Business users from both Tier1 & Tier2 can get involved in the financial planning process. Planning results can be sent back to Tier2/Tier1.
- Consistency in planning through use of the SAP Analytics Cloud solution as the main planning tool.
- Efficient and integrated planning processes with simulation capabilities.
- Access to business-relevant key figures to understand whether the business is performing according to plan or corrective action is needed.



Deployment Options

Tier 1:

Tier 2:

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Integrated Financial Planning with SAP Analytics Cloud

Relevant Scope Item

1YB, 4RC

Tier 2

- Send Actual Data to SAP Analytics Cloud
- Perform Integrated Financial Planning & Budgeting for future periods based on actual data in SAP Analytics Cloud
- Receive Planning data back

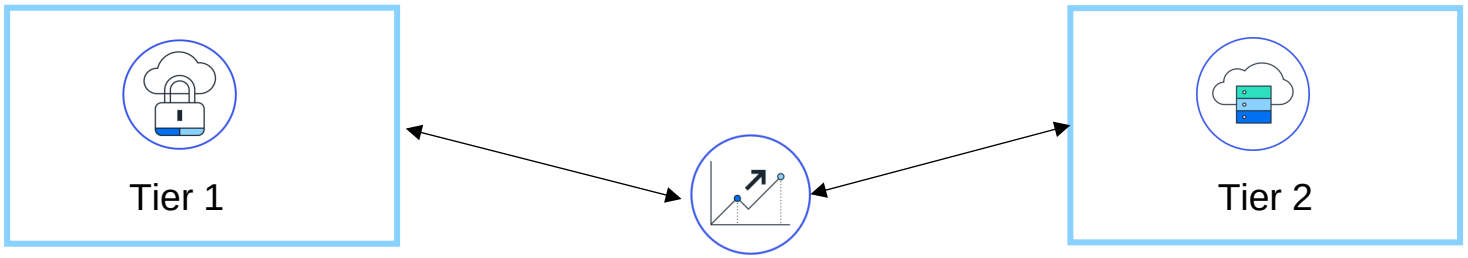
Tier 1

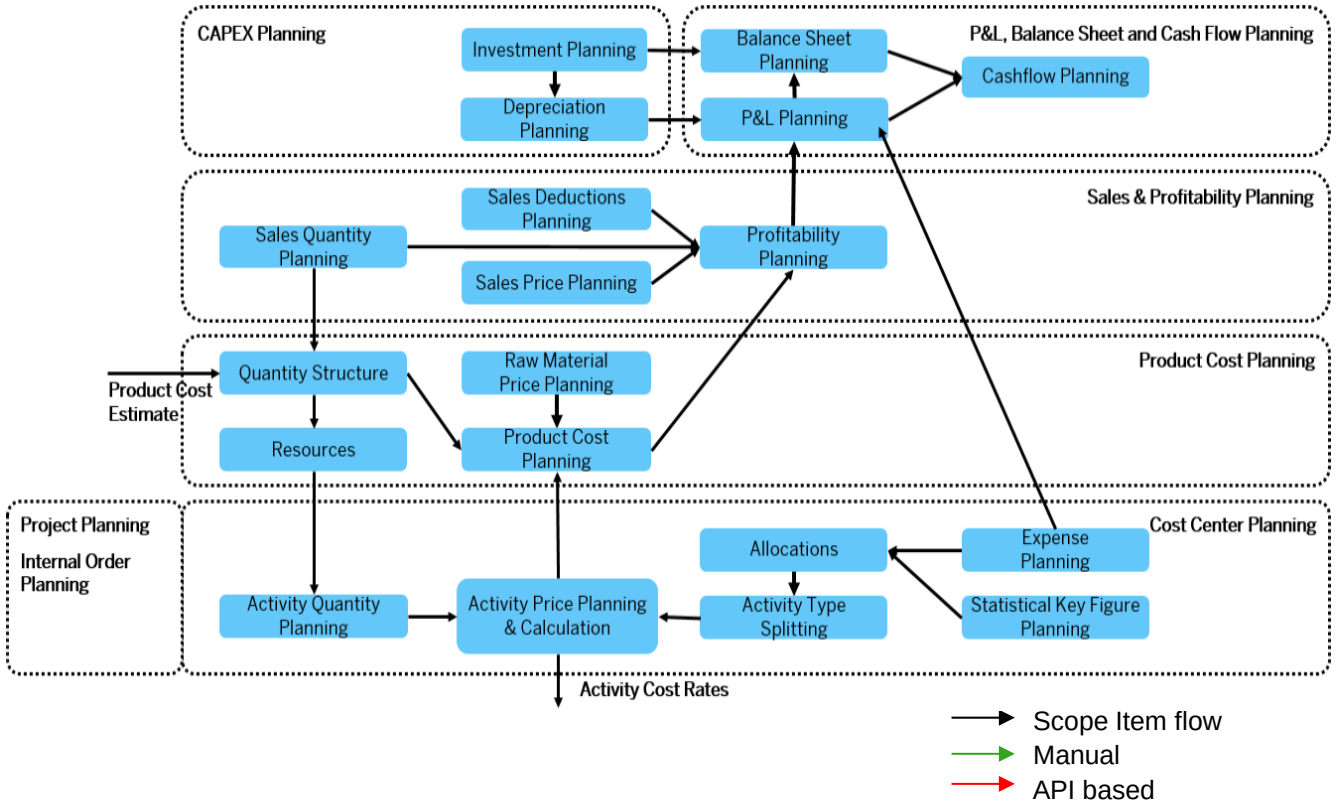
- Tier1 can do Group level planning and Integrated Financial Planning for Tier1 & Tier2 in SAP Analytics Cloud
- Can send actual data and receive back planning data from SAP Analytics Cloud

- **SAP Analytics Cloud**
- Provides Business Content for Integrated Financial Planning & Budgeting for Tier1 & Tier2
- Receive actual data and send back planning data to Tier1 & Tier2

Pre-Requisite

- Tier 2 and Tier 1 has different company codes setup



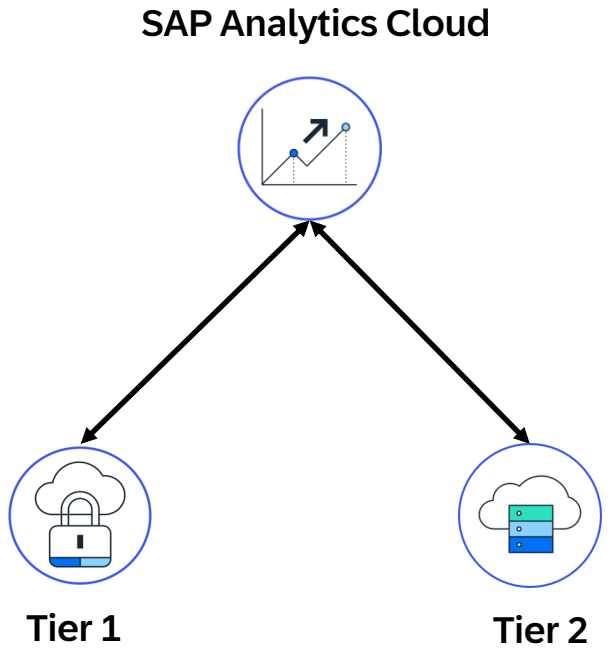


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GHG Emissions Planning with SAP Analytics Cloud

Business Benefits

- Greenhouse gas (GHG) emission planning extends integrated financial planning by the carbon dimension.
- It evaluates the financial plan with carbon emission factors and calculates the future carbon footprints of the organization.
- The financial plan data, including expenses, activities, and sales quantities, serves as the foundation for calculating carbon dioxide equivalents (CO2e).
- The same plan structures, such as the quantity structures and allocation rules used for cost allocation, can also be reused to allocate CO2e to respective cost objects, such as cost centers and products.
- The integrated financial planning model enables the impact of greenhouse gas emissions to be simulated based on various driver parameters, such as emission factors for raw materials or energy sources.



Deployment Options

Tier 1:

Tier 2:

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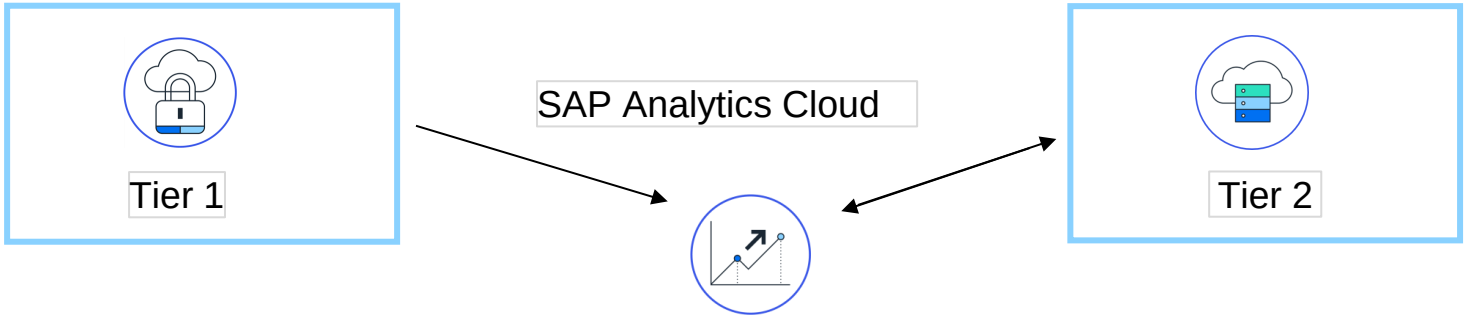
: SAP S/4HANA Any Deployment : SAP S/4HANA Cloud, Public Edition : SAP S/4HANA Cloud, Private Edition : SAP ECC 6.0 : SAP S/4HANA – On Premise

GHG Emissions Planning with SAP Analytics Cloud

Finance

Relevant Scope Item

1YB, 4RC, 5IM, 6VN



Tier 2

- Send Actual Data to SAP Analytics Cloud
- Receive Cost center planned activity rate C02e emission quantities

Tier 1

- Tier1 can do Group level planning for GHG Emissions with Integrated Financial Planning for Tier1 & Tier2 in SAP Analytics Cloud
- Send actual data to SAP Analytics Cloud

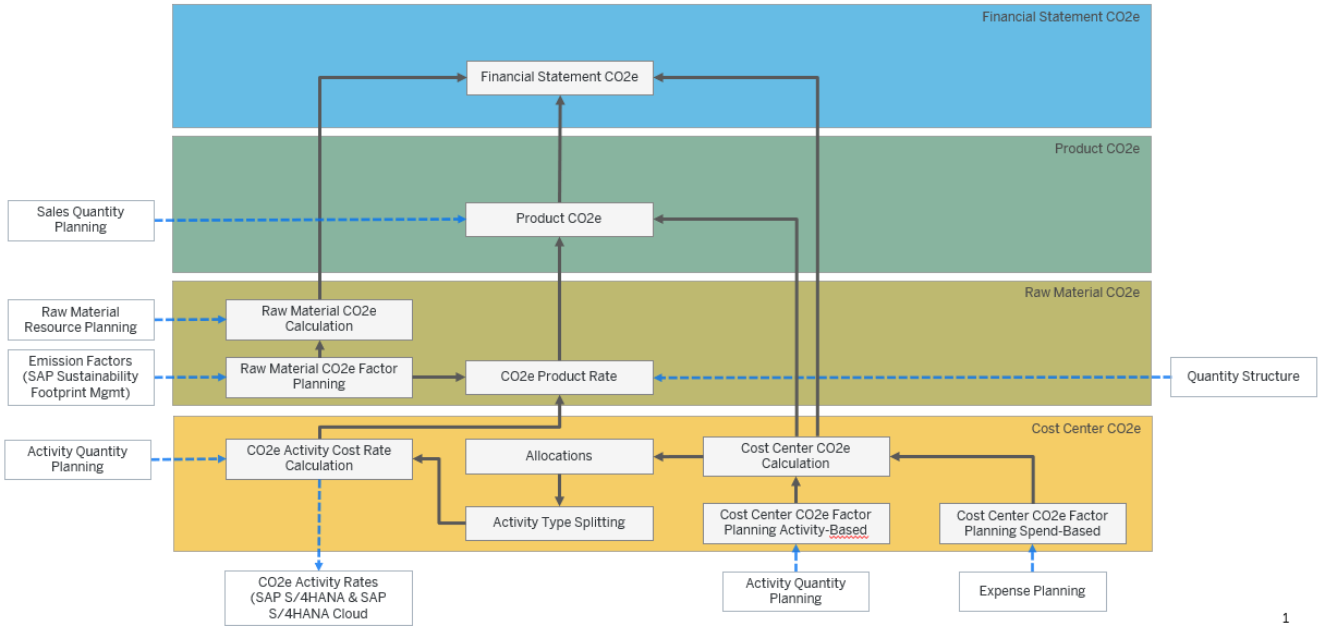
- **SAP Analytics Cloud**
- Provides Business Content for Integrated Financial Planning & GHG Emissions Planning for Tier1 & Tier2
- Receive actual data from Tier1 & Tier2 and send cost center planned activity rate Co2 emission quantities to Tier2.

Pre-Requisite

- Tier 2 and Tier 1 has different company codes setup
- 6VN to be activated in CBC system during initial scoping before Go-Live

Data Flow

Greenhouse Gas Emission Planning for SAP S/4HANA & SAP S/4HANA Cloud



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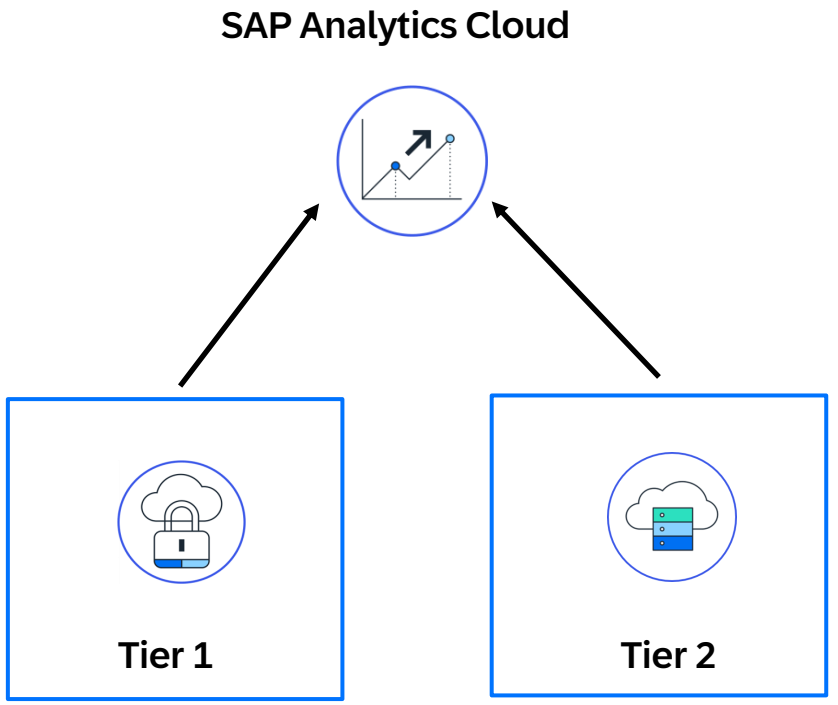
Liquidity Planning with SAP Analytics Cloud

Business Benefits

- Integration of SAP Analytics Cloud with S/4HANA Cloud and SAP S/4HANA enables cash managers to get actual and forecasted cash flow figures and use them as reference data for developing the liquidity plans. System can predict future cash flows that can be used as reference data in long term liquidity planning.
- The approval process enables group cash manager at headquarter to work seamlessly with subsidiary cash managers to develop a centralized plan for the entire group.
- Enable the system to forecast future cash flows that can be used as reference data in long-term liquidity planning.
- Enable the cash manager to embed the knowledge of liquidity into the system as rules

Liquidity Planning

Corporate Group



Deployment Options

Tier 1:

Tier 2:

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Liquidity Planning with SAP Analytics Cloud

Relevant Scope Items

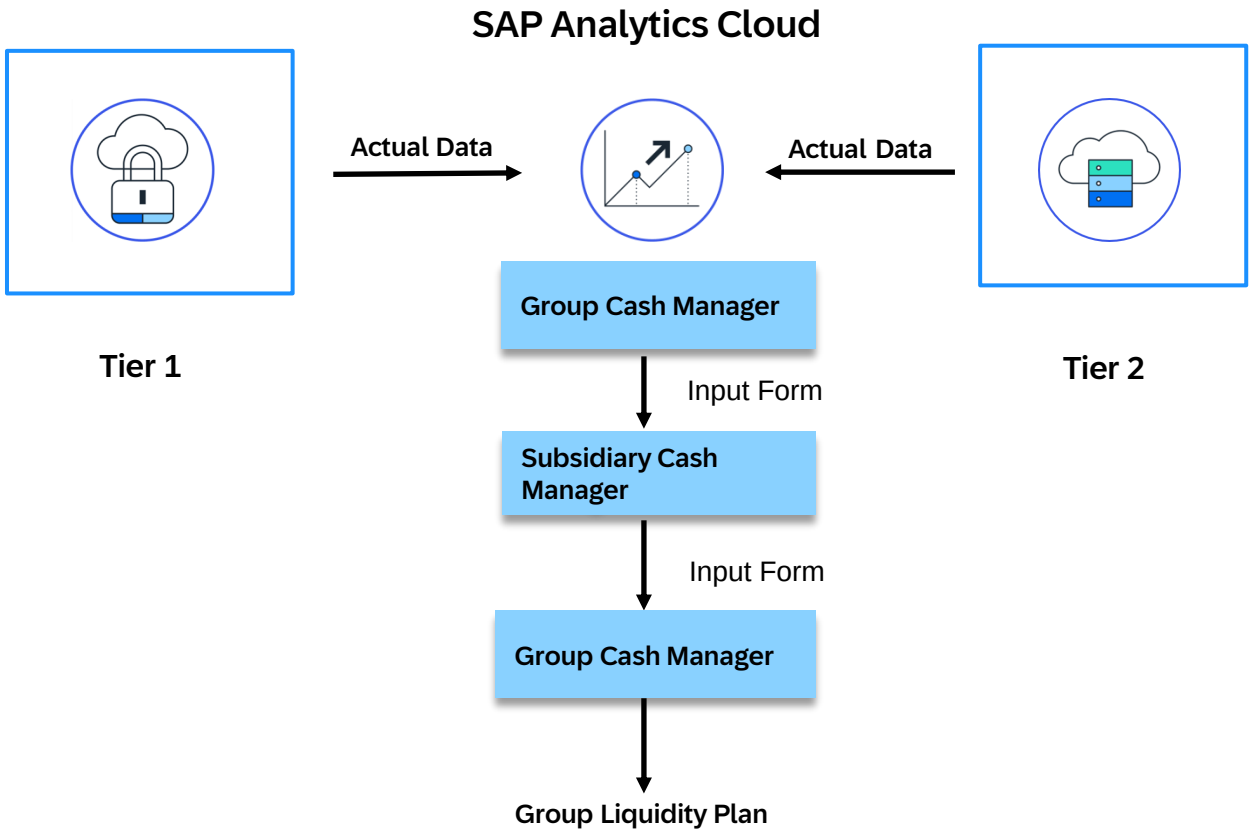
3L5, 3Y0

Tier 2
- Send actual & forecasted data to SAP Analytics Cloud
- Receive input form from group cash manager
- Fill plan data based on actual/forecast data and send it to group cash manager.

Tier 1
- Sends input forms to subsidiary cash managers
- Consolidate subsidiary inputs and prepare centralized plan for the group

SAP Analytics Cloud
- Receives actual and forecast data from Tier1 & Tier2.
- Tier1 & Tier2 cash managers can access and perform subsidiary plan and centralized liquidity planning for the group with approval process
- Predict future cash flows that can be used as reference data in long term liquidity planning.

Pre-Requisite
- Tier 2 and Tier 1 has different company codes setup



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Group Reporting – Financial Consolidation

Finance

Relevant Scope Item

1SG , 2U6

Tier 2
- Data Preparation Group Level Financial reporting for Trial balance & Intercompany Activities

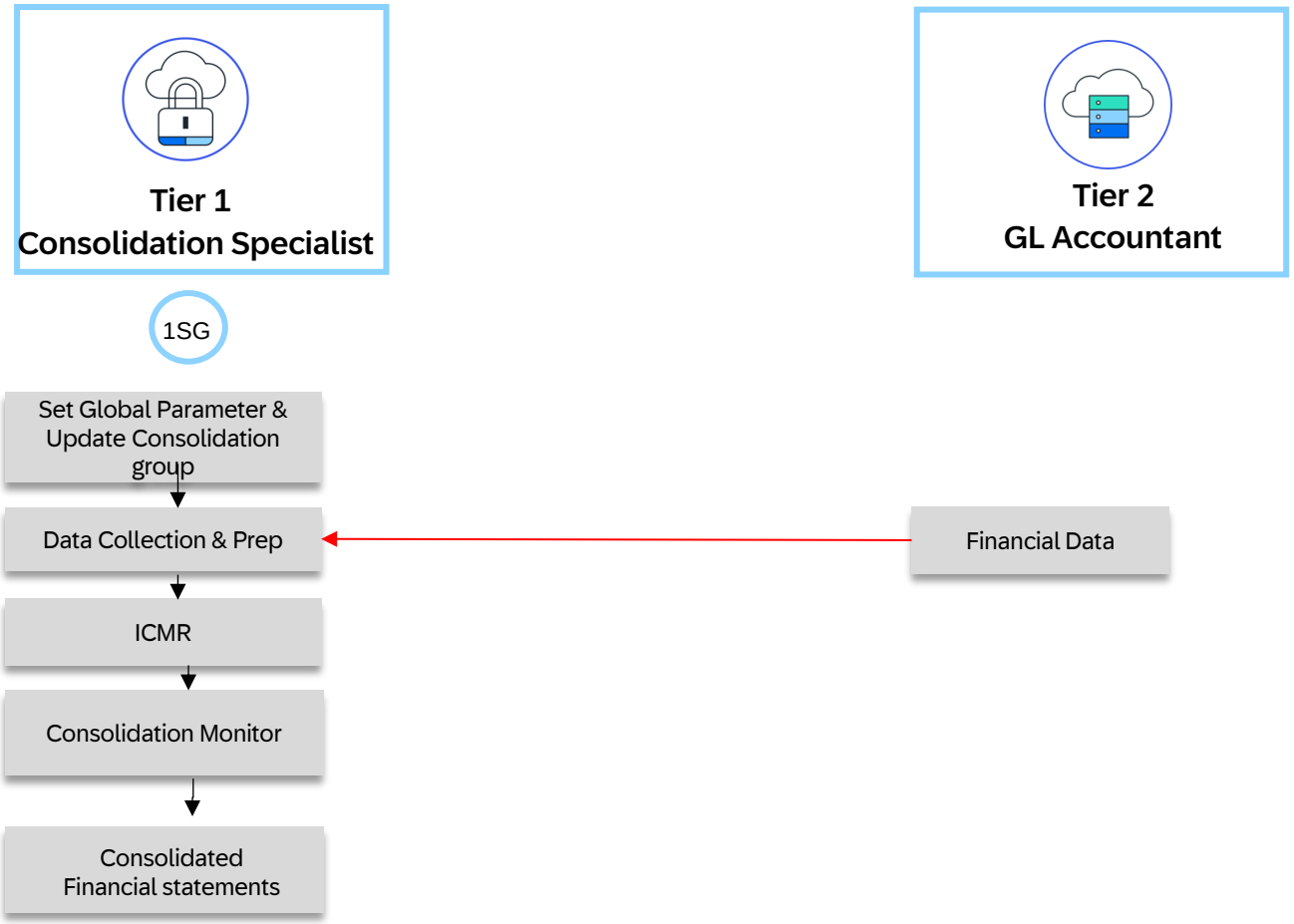
Tier 1
- Consolidation Specialist executes S/4HANA Group Reporting
- Data Collection & Prep - Upload Tier 2 data
- Upload financial data from subsidiary companies
- IC elimination & Consolidation
- Analytics – Consolidated Financial Statements

Pre-Requisite:
- Tier 2 and Tier 1 has different company codes setup

Deployment Options

Tier 1:

Tier 2:



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Group Reporting - Data from External Systems

Relevant Scope Item

2U6

Business Benefits

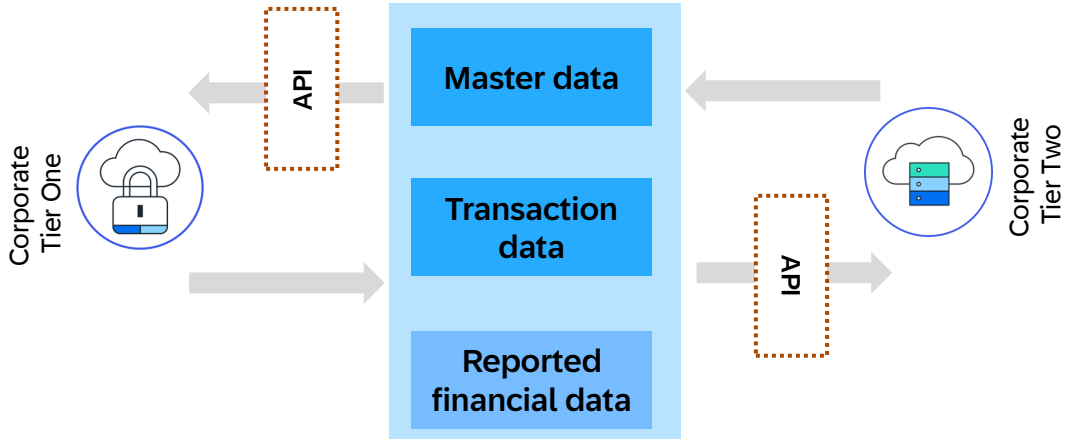
- Provide API for reported data import
- Easily import mass data into SAP S/4HANA system

This scope item is excluded for technical reasons and should be only requested if the customer would like to implement the consolidation scenario.

APIs for group reporting:

Master Data for Group Reporting Integration
Transaction Data for Group Reporting Integration
Reported Financial Data Integration

- API provides all master data entities in group reporting.Such as financial statement item, consolidation unit, and cost center.
- API provides transaction data in group reporting from ACDOCU table.
- SOAP-based APIs for submitting reported financial data from an external system for group reporting and receiving confirmations.



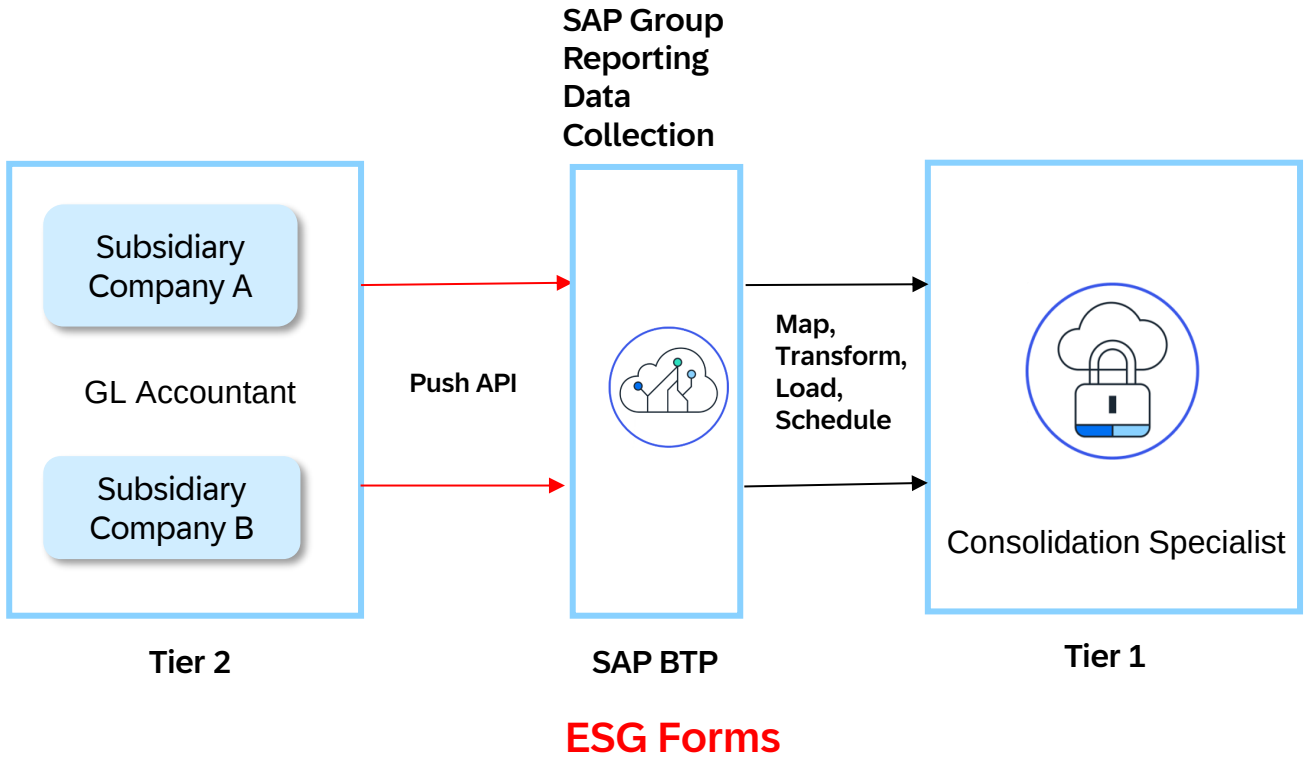
For group reporting purpose, HQ may request to import corresponding group reporting data into the system from the subsidiaries. Here provides the APIs for submitting reported financial data from an external system to SAP S/4HANA or SAP S/4HANA Cloud for group reporting and receiving confirmations. Also provides read APIs to read master data and transaction data of group reporting.

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Group Reporting – Financial Consolidation using SAP GRDC

Business Benefits

- SAP ‘**Group Reporting Data Collection**’ Fiori apps on SAP BTP automates the mapping, transformation, and data load from subsidiary companies on SAP or non-SAP systems to SAP S/4HANA Cloud
- Ability to add non financial data like comments, adjust, and enrich the group reporting data through a guided visual control with pre-delivered forms or own forms with formulas and conditional formatting.
- Sample data entry Forms for ESG Reporting allows quick and easy data collection of ESG data from subsidiaries and entities across the group.
- Group Financial Statements - Review Booklet standard and designer available for custom reports



Tier 1:

Tier 2:

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Group Reporting – Financial Consolidation using SAP GRDC

Finance

Relevant Scope Item

1SG, 287, 4R7

Tier 1

Consolidation Specialist

SAP BTP

SAP Group Reporting Data Collection

Tier 2

GL Accountant

Tier 2

- Remote subsidiary company will push data to SAP GRDC Data Mapping to map, transform, load data in Tier 1

Tier 1

- Collects financial data, non-financials and comments into SAP S/4HANA Cloud for group reporting
- Consolidation & Group Reporting

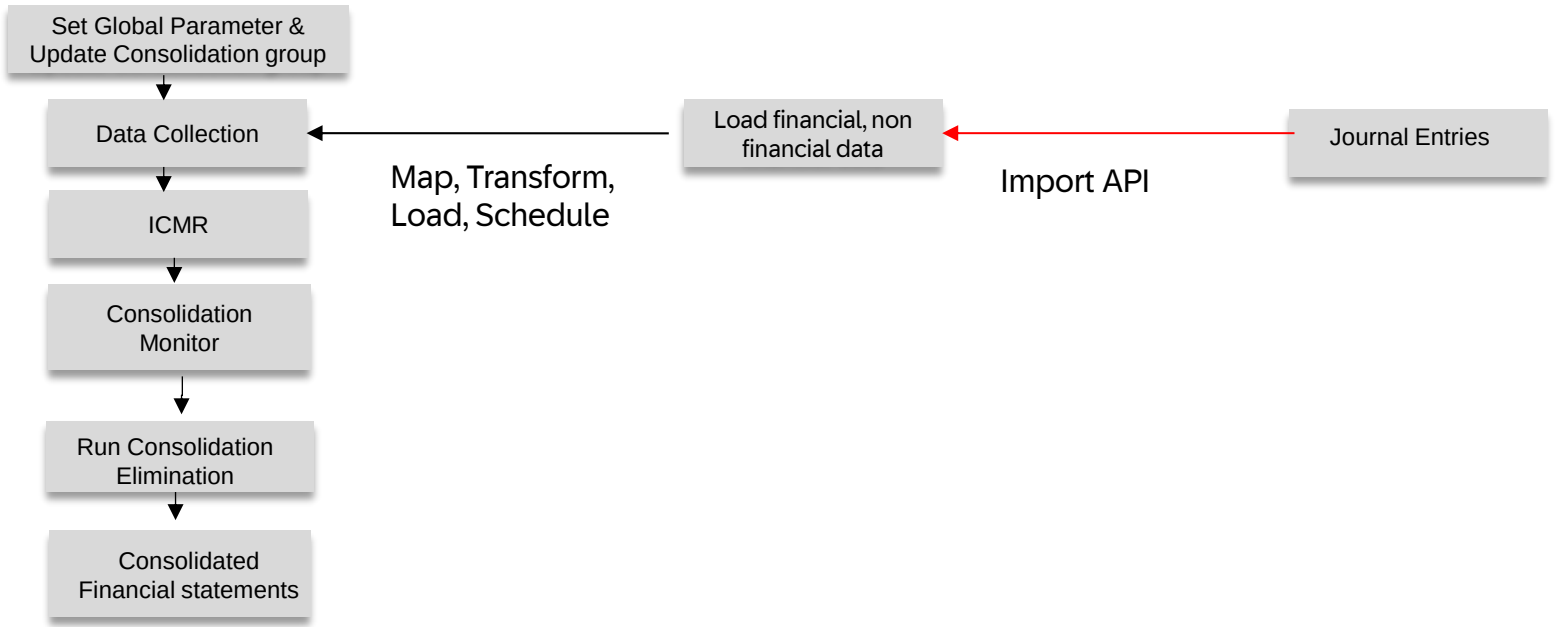
SAP BTP – GRDC

- Collects financial data, non-financials and comments
- Automates the mapping, transformation and data load from SAP and non-SAP systems
- With GRDC Forms, you can also enter data and comments manually using pre-delivered forms, or by creating your own.

Pre-Requisite:

- Tier 2 and Tier 1 has different company codes setup

ESG Forms



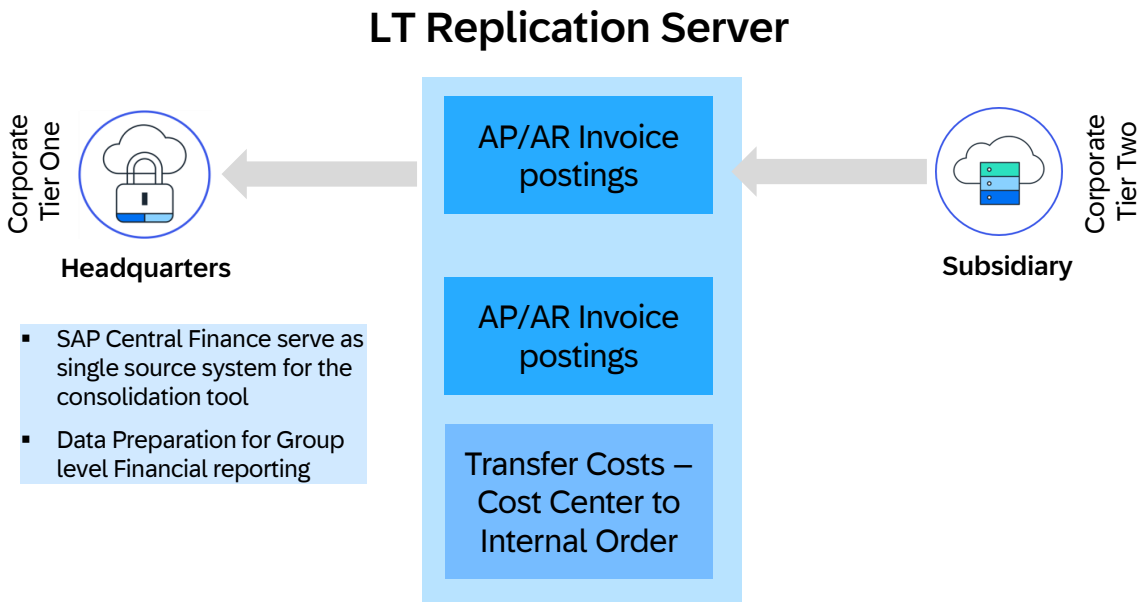
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Consolidation of Autonomous Subsidiaries via Central Finance

Finance

Business Benefits

- All financial documents from SAP and non-SAP systems are replicated into the Central Finance (deployed @HQ) which serves a starting point for the centralized financial consolidation.
- Non disruptive & company wide single source of truth.
- Leverage embedded planning and real time consolidation in central finance.
- Process centralization (shared services team).
- Pre-delivered scenario with in-built mapping and error handling capabilities.
- Same scenario for replication from other source systems



Deployment Options

Tier 1:



Tier 2:



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Consolidation of Autonomous Subsidiaries via Central Finance

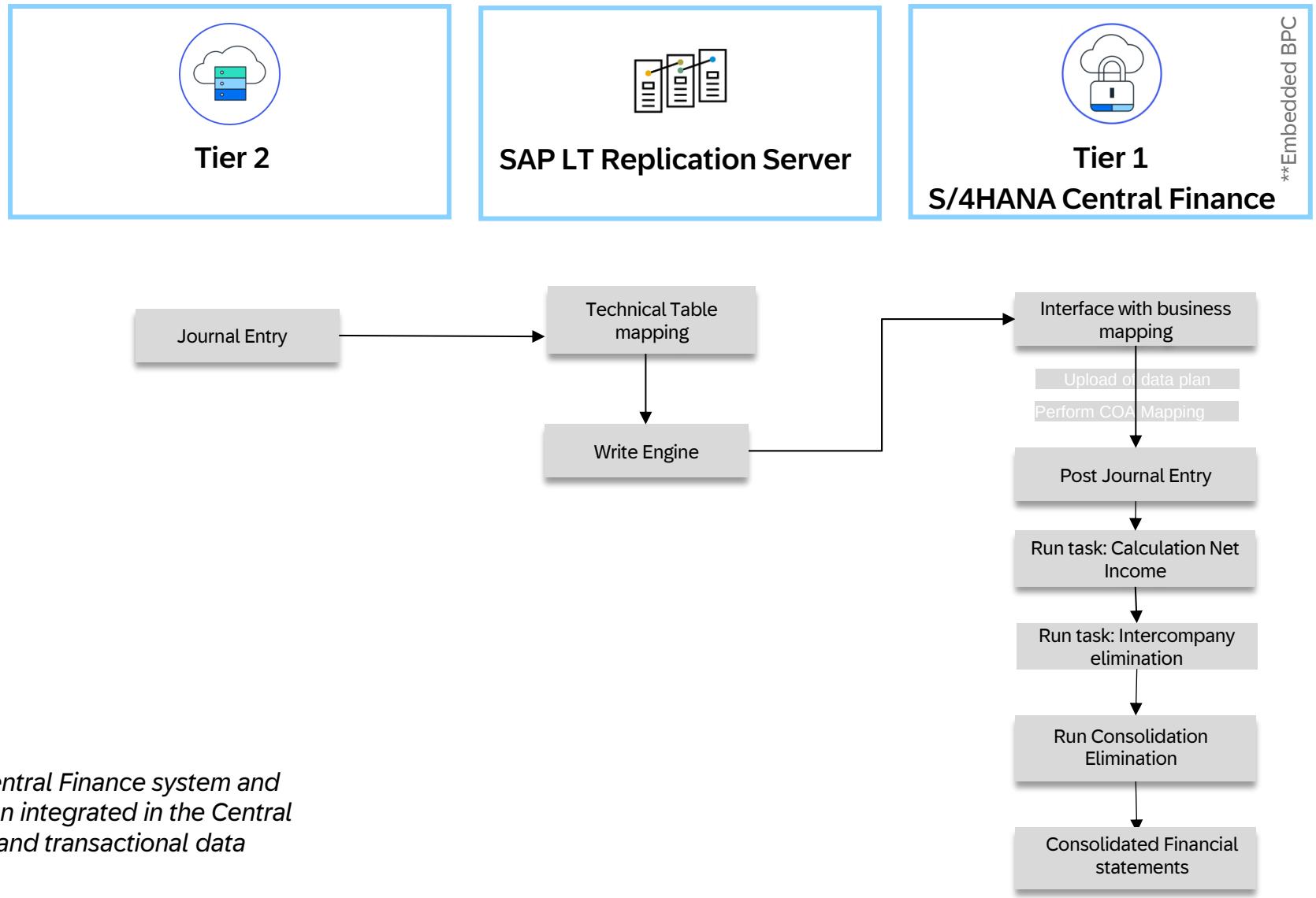
Relevant Scope Item

1W4

Tier 2
- Journal entry posting

Tier 1
- SAP Central Finance serve as single source system for the consolidation tool
- Data Preparation Group Level Financial reporting for Trial balance & Intercompany Activities

Pre-Requisite
- Tier 1 and Tier 2 has different company codes setup



***SAP BPC can also be deployed within the SAP Central Finance system and therefore serve as a real-time consolidation solution integrated in the Central Finance system with real-time access to all master and transactional data*

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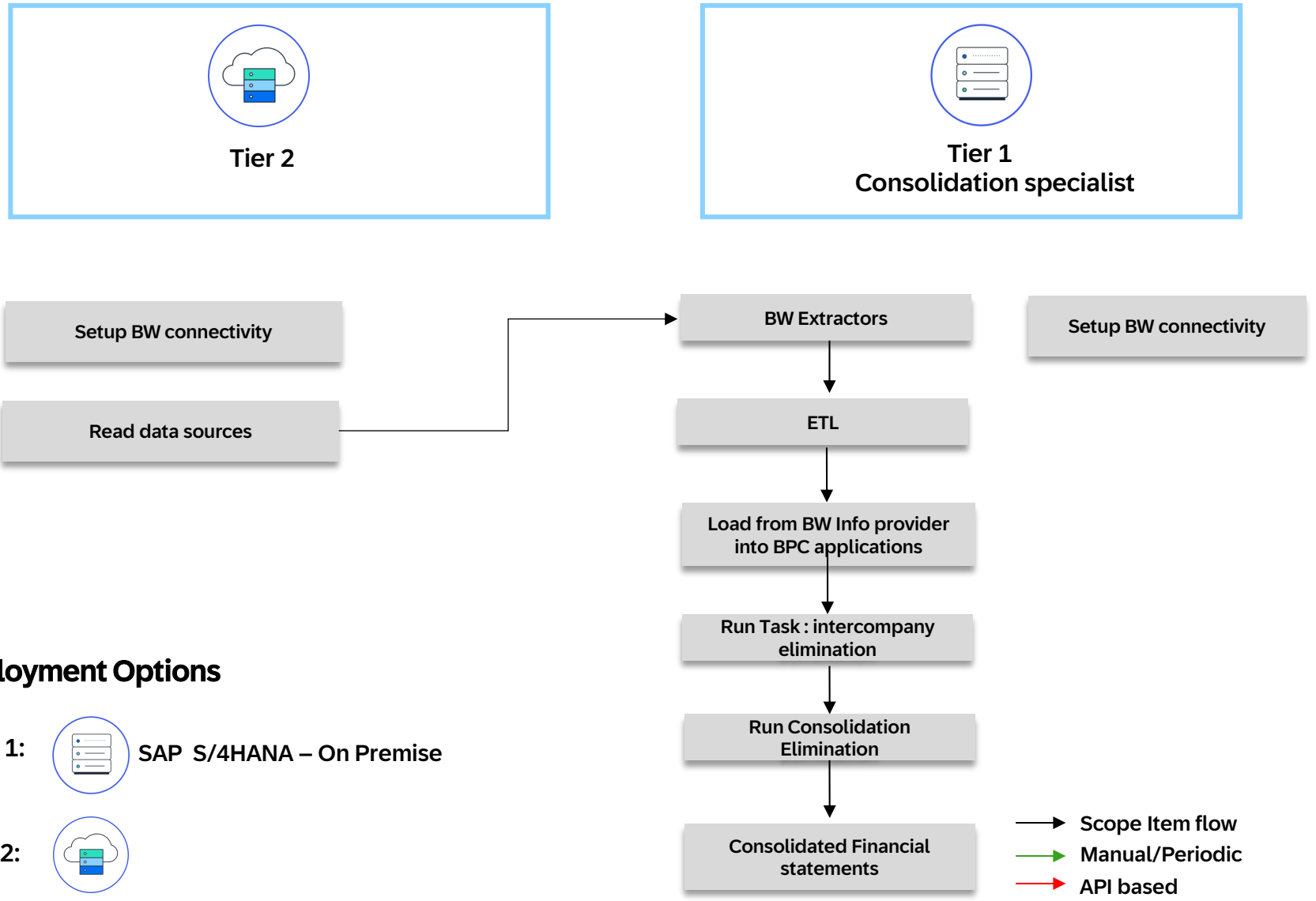
Connectivity to On-Premise SAP BPC for Financial Consolidation

Relevant Scope Item

35D

Data Sources

Activity Type
Business Area
Chart of Accounts
Controlling Area
Company Code
Company
Order Number
Cost Center
Country
Customer Group
Customer Number
Distribution Channel
Division
Functional Area
G/L Account Number & Hierarchy
Industry keys
Material Number
Material Group.
Transaction type
Plant
Profit Center & Hierarchy
Project Details
Sales District
Sales Organization
Segment
Work Breakdown Structure Element
User Fields for WBS Element



Deployment Options

Tier 1: SAP S/4HANA – On Premise

Tier 2:

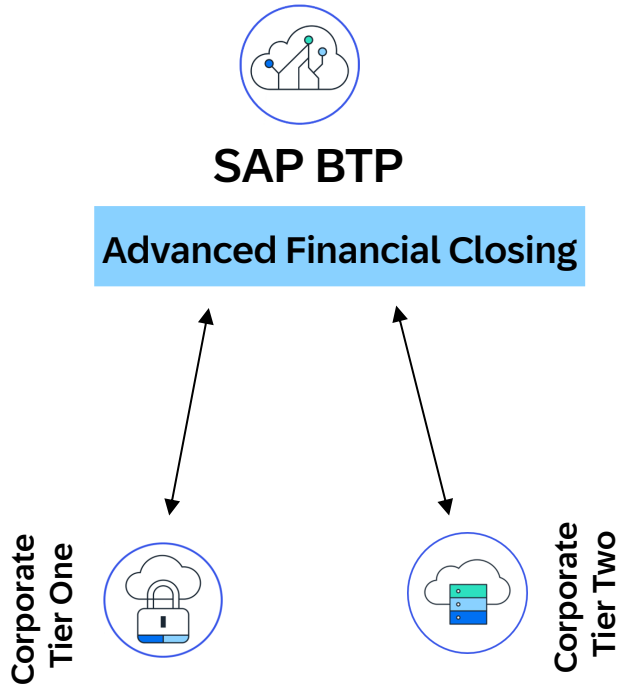
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Advanced Financial Closing in S/4HANA Cloud

Business benefits

- Tier 1 & Tier 2 can leverage SAP S/4HANA Cloud for advance financial closing capabilities across the group.
- Full availability of latest solution for automation, process orchestration and monitoring of the financial close.
- Best practice, workflow-supported processes to support the planning, automating, processing, and monitoring for the entities of the group.



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary
- Corporate – Affiliates
- Central Shared Services

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Advanced Financial Closing in S/4HANA Cloud

Relevant Scope Item

4HG

Advanced Financial Closing (SAP BTP)

- Accountant orchestrate, schedule, execute, and process the closing tasks.
- Defined closing tasks are approved and monitored.
- Financial close activity completed with change log status.
- Users involved in financial closing gets access to advanced analytics, task lists, and audit logs for a perfectly controlled process.

Tier 1

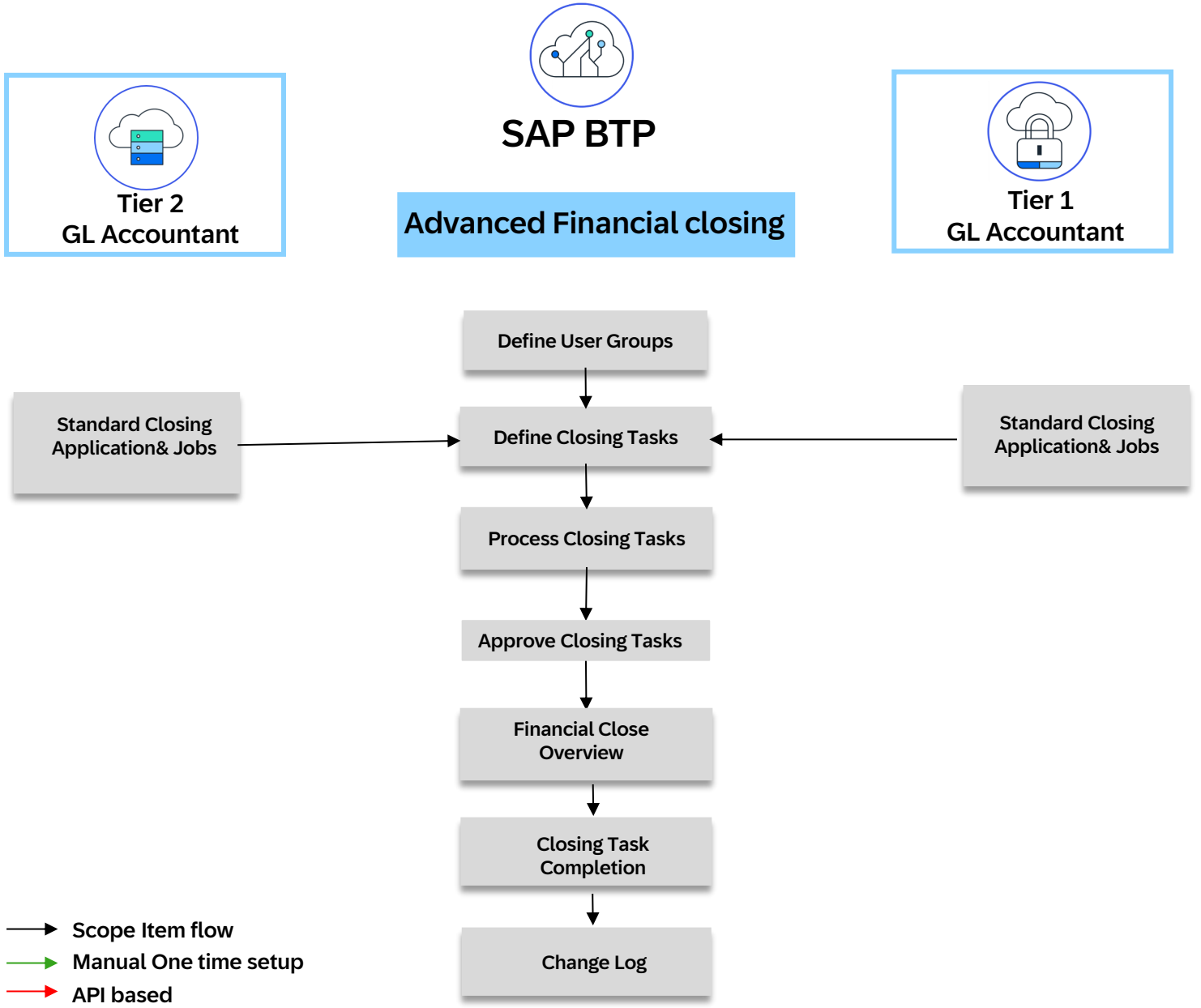
- Accountant processes the Financial closing activity.

Tier 2

- Accountant processes the Financial closing activity.

Pre-Requisite

- Tier 2 and Tier 1 has different company codes setup
- For customers who are licensed after SAP S/4HANA Cloud 2005, scope item 4HG should be used.



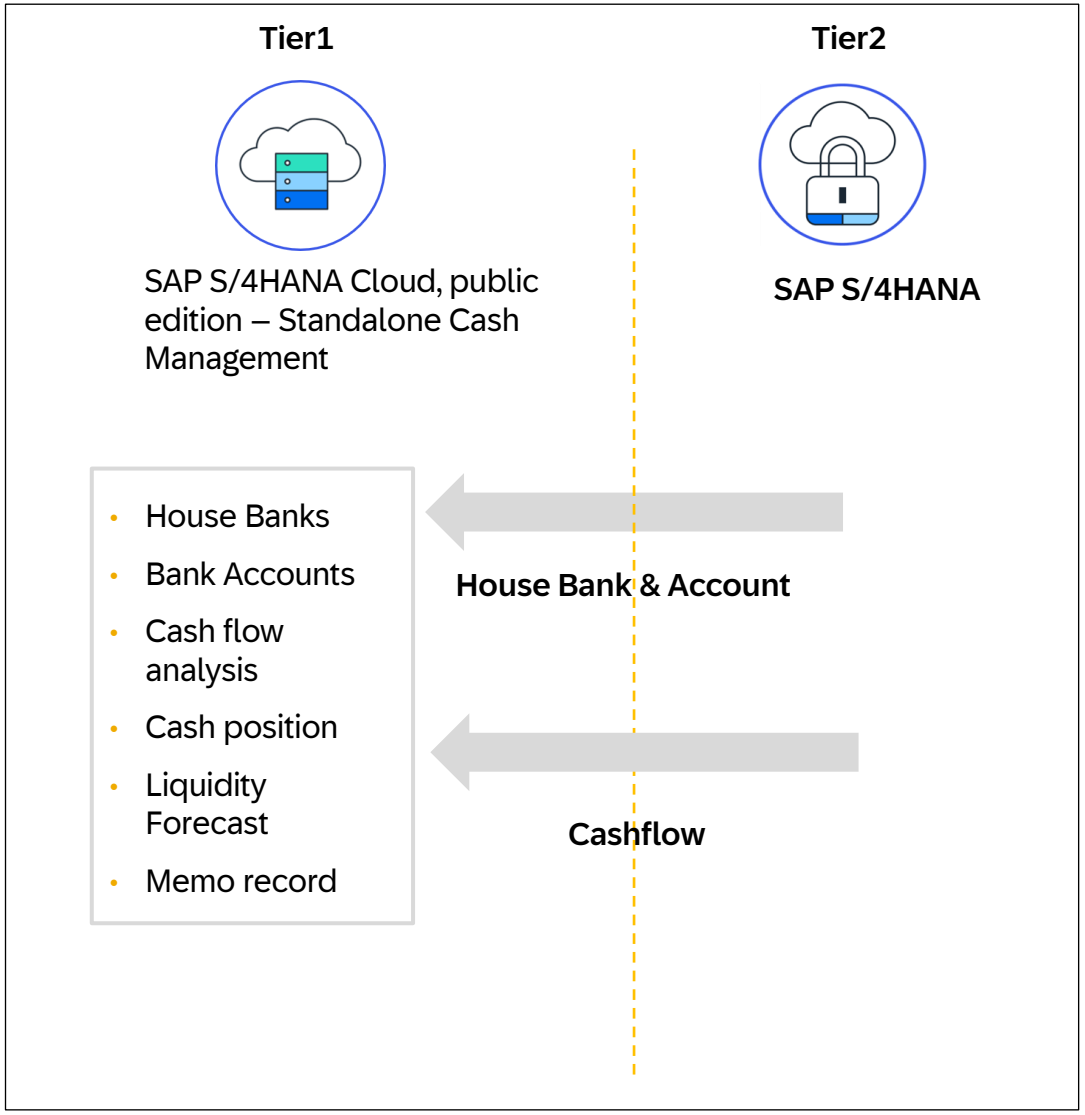
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Hybrid Cash Deployment : Cash Management at S/4HANA Cloud

Finance

Business benefits

- Fast adoption Cash Management for smaller business entities in the Cloud
- Integration with central SAP ERP and Non-SAP ERP
- Start small and extend to full S4HC Cloud scope at later point in time.



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary
- Corporate – Affiliates
- Central Shared Services

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Hybrid Cash Deployment : Cash Management at S/4HANA Cloud

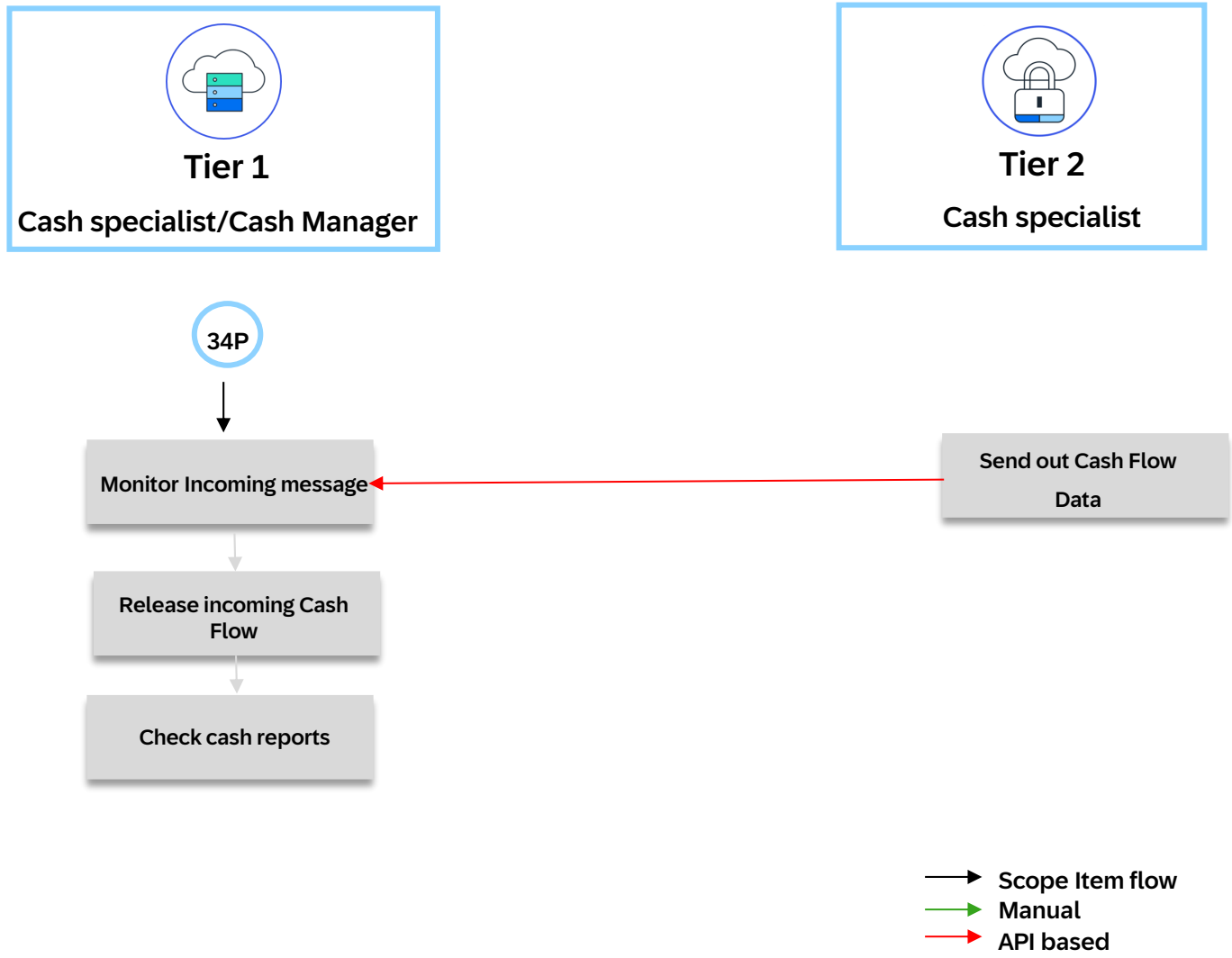
Relevant Scope Item

34P

Tier 2
- AP/AR
- Order to cash
- Procure to Pay

Tier 1
- Bank account management
- Cash position
- Liquidity forecast
- Cash flow analysis
- Memo record

Pre-Requisite
- Tier 2 and Tier 1 has different company codes setup



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Cash Visibility of Subsidiary at Headquarter

Finance

Business benefits

- Fast adoption Cash Management for smaller business entities in the Cloud
- Integration with central SAP ERP and Non-SAP ERP
- Start small and extend to full S4HC Cloud scope at later point in time.

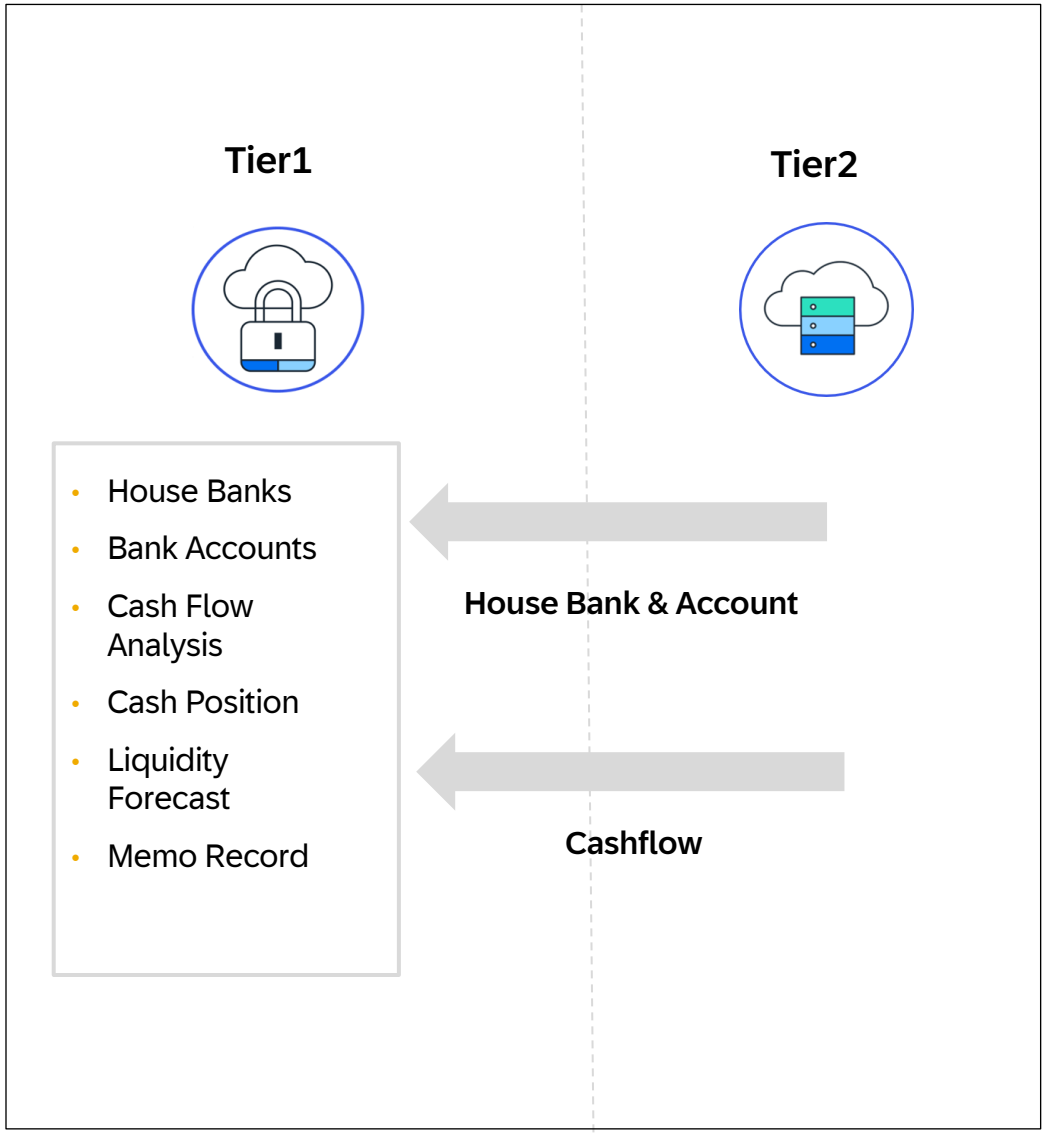
Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary
- Corporate - Affiliates



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Cash Visibility of Subsidiary at Headquarter

Finance

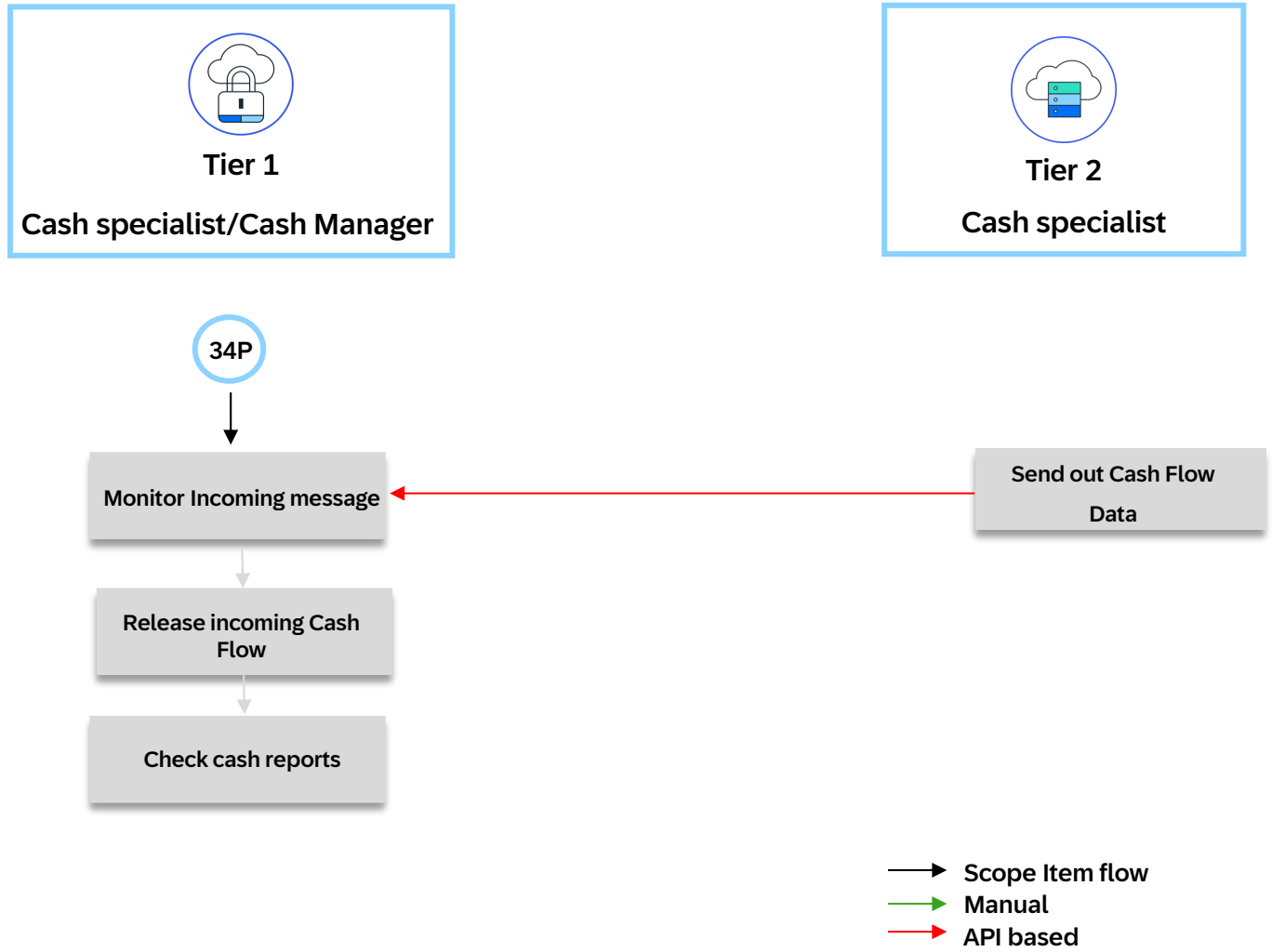
Relevant Scope Item

34P

Tier 2
- AP/AR
- Order to cash
- Procure to Pay

Tier 1
- Bank account management
- Cash position
- Liquidity forecast
- Cash flow analysis
- Memo record

Pre-Requisite
- Tier 2 and Tier 1 has different company codes setup



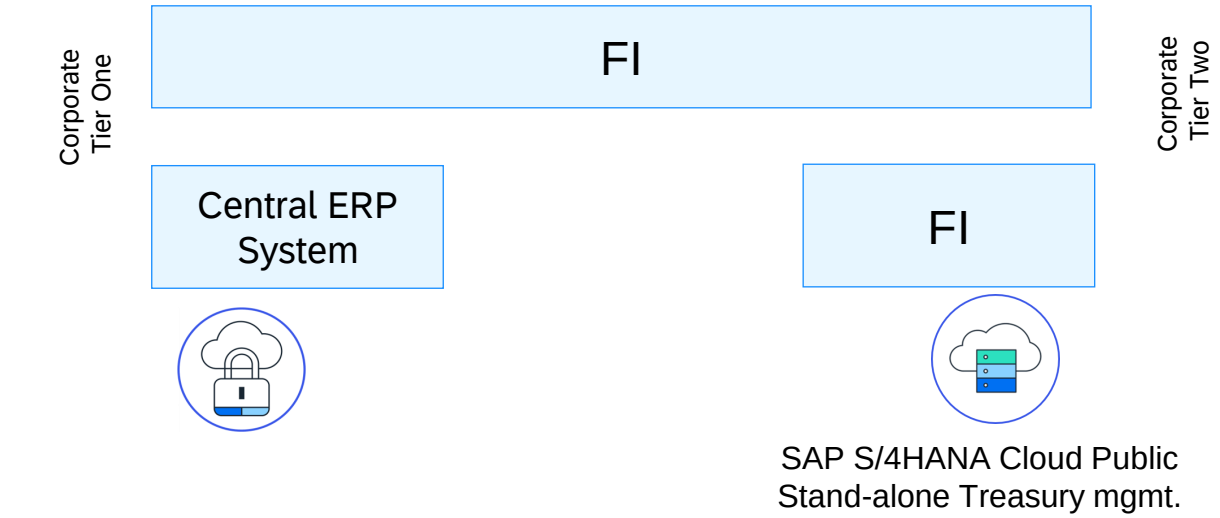
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Treasury Workstation Payment Integration to SAP Business Suite

Finance

Capabilities

- Creation of payment request in central FI system, once the payment is created is triggered in the cloud system.
- Reversal of payment request (Optional, can be used in case customer wishes to reverse the transaction)



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary
- Corporate - Affiliates

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Treasury Workstation Payment Integration to SAP Business Suite

Finance

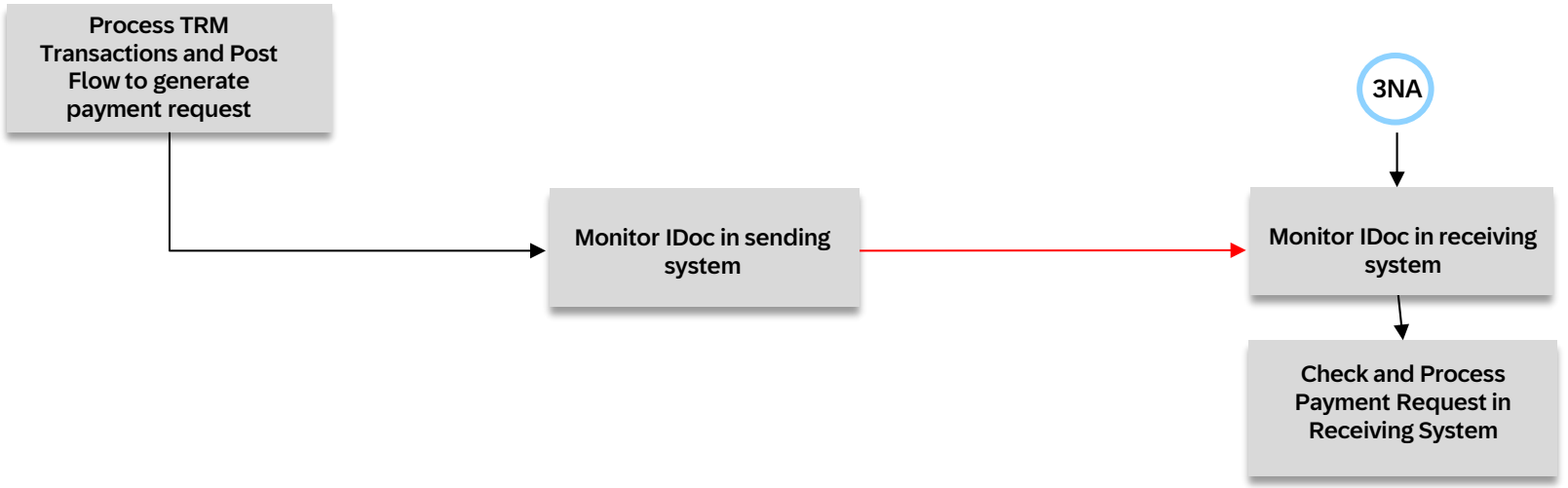
Relevant Scope Item

3NA

S/4HANA Cloud Treasury system - Tier 2

Treasury Specialist – Back office Config expert – Business Network Integration

Central ERP system (SAP Business suite) - Tier 1



Scope Item flow
Manual
API based

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Finance- Centralized Hybrid Treasury Shared Services

Relevant Scope Item

33E

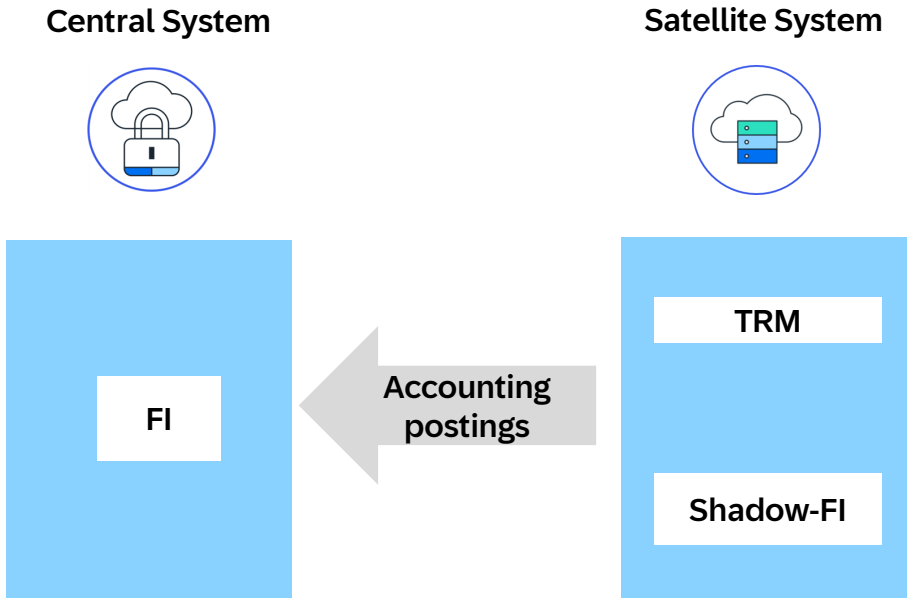
Capabilities

- Centralized treasury system to have central treasury station for the entire enterprise.
- Integrating central treasury station with central FI system.
- Replicate all postings in the central system.
- Provide more options for treasury and risk management deployment in SAP S/4HANA Cloud.
- Usage of ALE/IDoc makes it possible to connect the S/4HANA Cloud systems with Central Legacy systems as well.

Deployment Options

Central System:

Satellite System:



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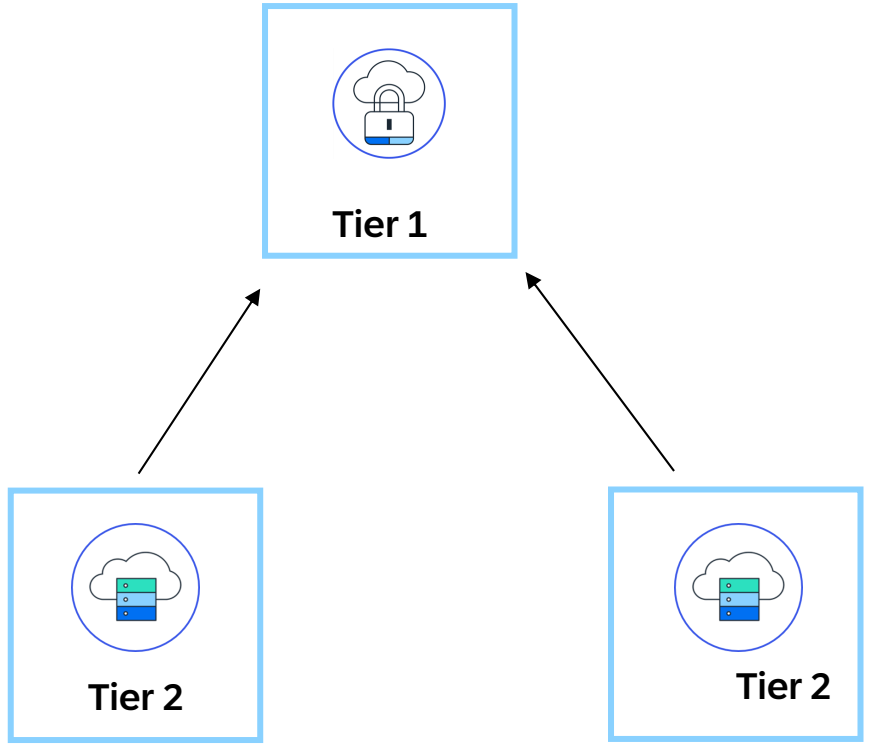
Central Payment Factory

Relevant Scope Item

4MT, 16R

Business Benefits

- A centralized payment factory for monitoring payments from SAP and Non-SAP systems
- Improved cash flows visibility
- Streamlines the end-to-end payment process across corporate group.
- Integration of SAP and non-SAP systems (such as finance contract accounting) into a central payment factory
- Ability to handle high volumes including varied kinds of input and output formats (XML, CSV, MT101, and such)
- Capabilities for advanced, comprehensive monitoring and reporting



Deployment Options

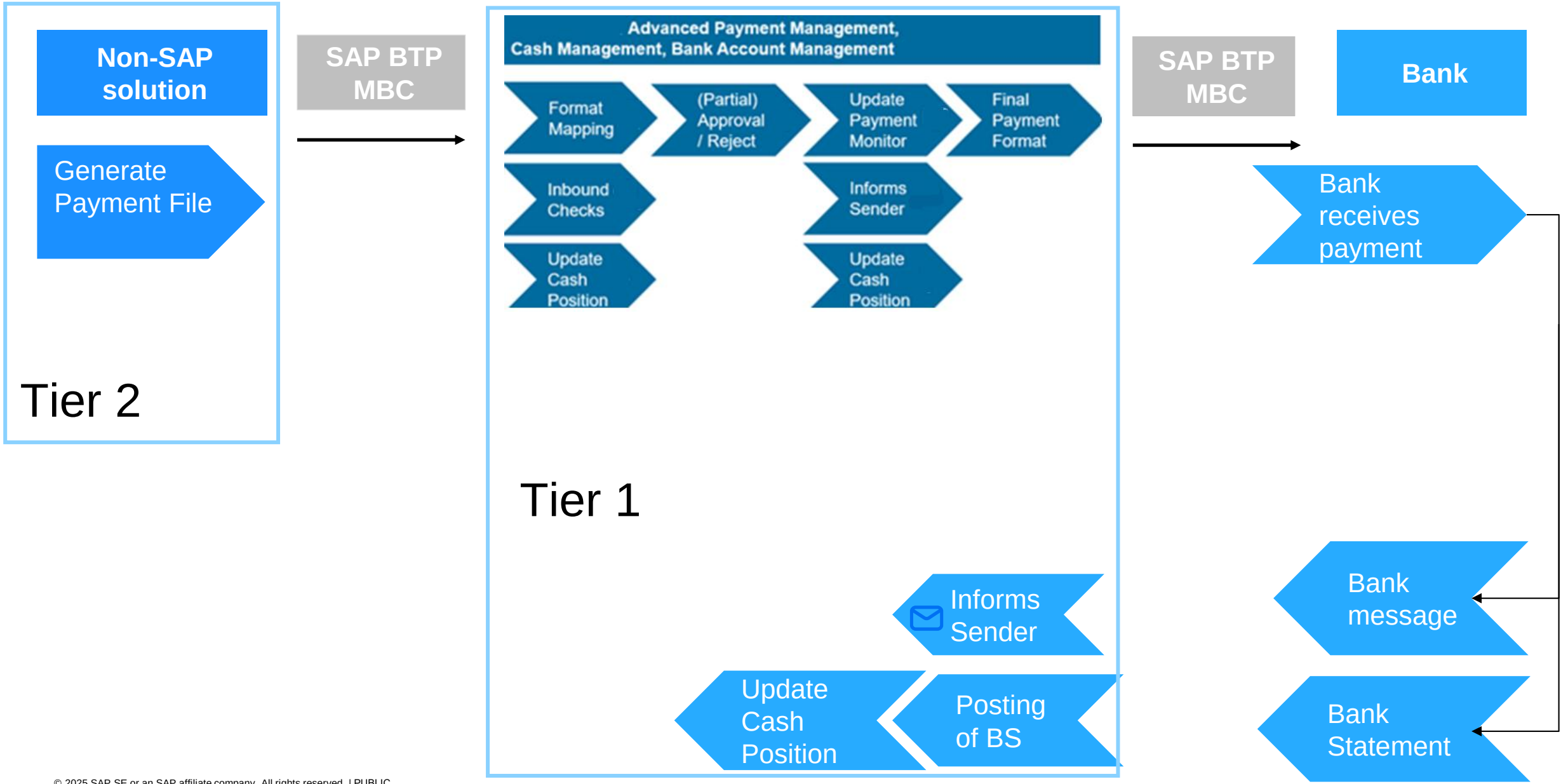
Tier1:

Tier2:

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Central Payment Factory : End to End Process flow

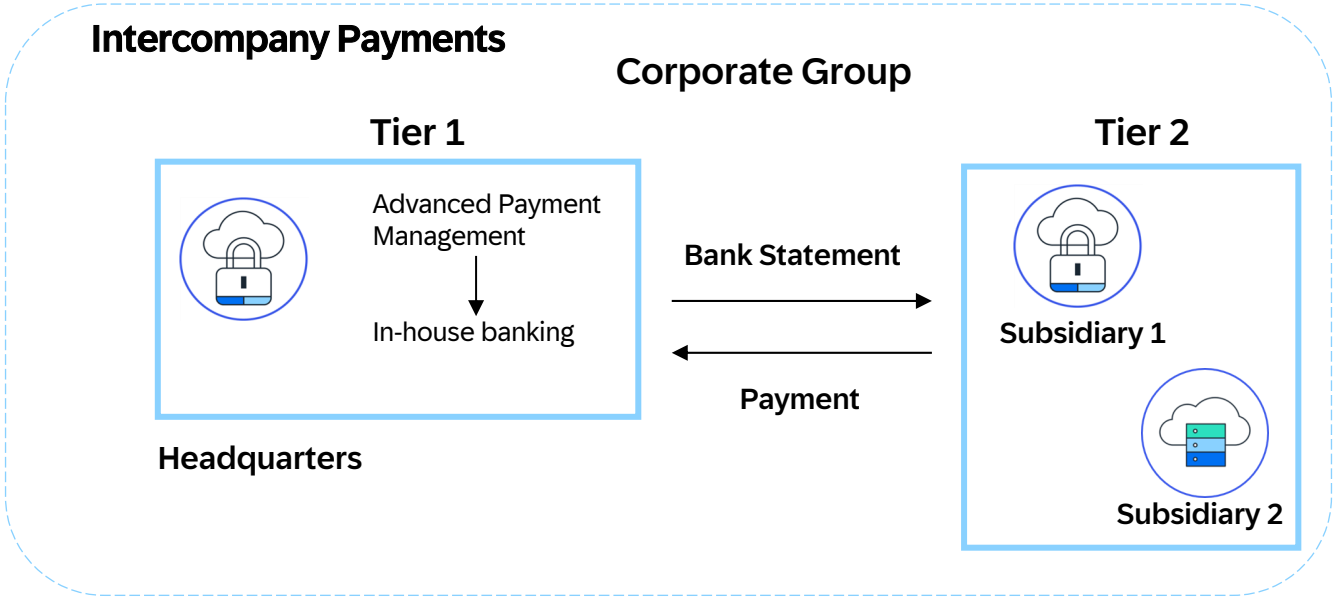


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In-House Banking

Business Benefits

- In-house baking for Two-Tier ERP enables headquarters to centralize and streamline all payment transactions within the group
- It enables headquarters to maintain internal bank accounts for subsidiary companies and report balances and volumes of payments among internal bank accounts
- Minimize the number of external bank accounts
- Lower bank connectivity costs through in-house banking
- Process intercompany payments, payments on behalf, and central incoming payments, such as from external cash pools using in-house banking for subsidiaries at headquarter



Deployment Options

Tier 1:

Tier 2:

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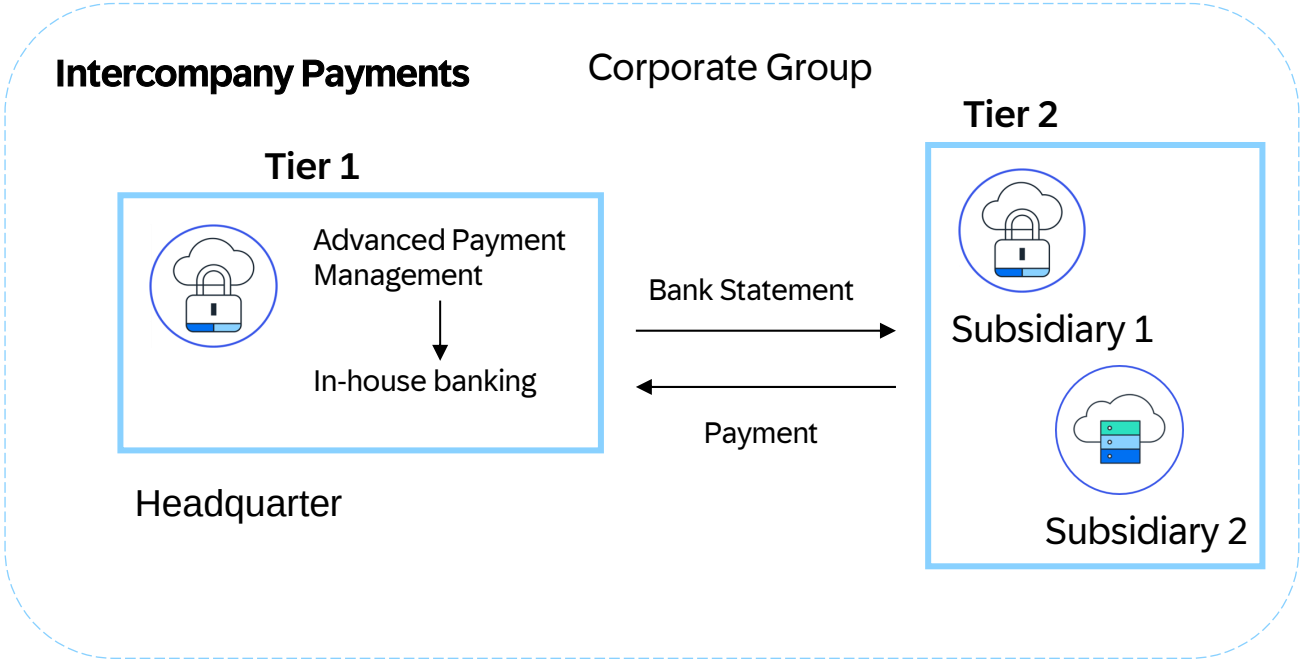
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In-House Banking – Intercompany Payments

Relevant Scope Item

4MT, 6BP, 16R

- Tier2: Subsidiary1 sends payment file to headquarter where payment is debited from its in house banking account. It receives bank statement.
- Tier2: Subsidiary2 receives the payment in its inhouse banking account maintained at the headquarter.
- Tier1: Headquarter APM solution receives the file and recognizes that payer holds in house bank account. All the Bank accounts are uploaded in BAM so its easy to check if its internal or external bank account. Cash management is updated. Through G/L Transfer payment item is transferred to financial accounting. Bank statement is sent to subsidiary1 and subsidiary2.



Deployment Options

Tier 1:

Tier 2:

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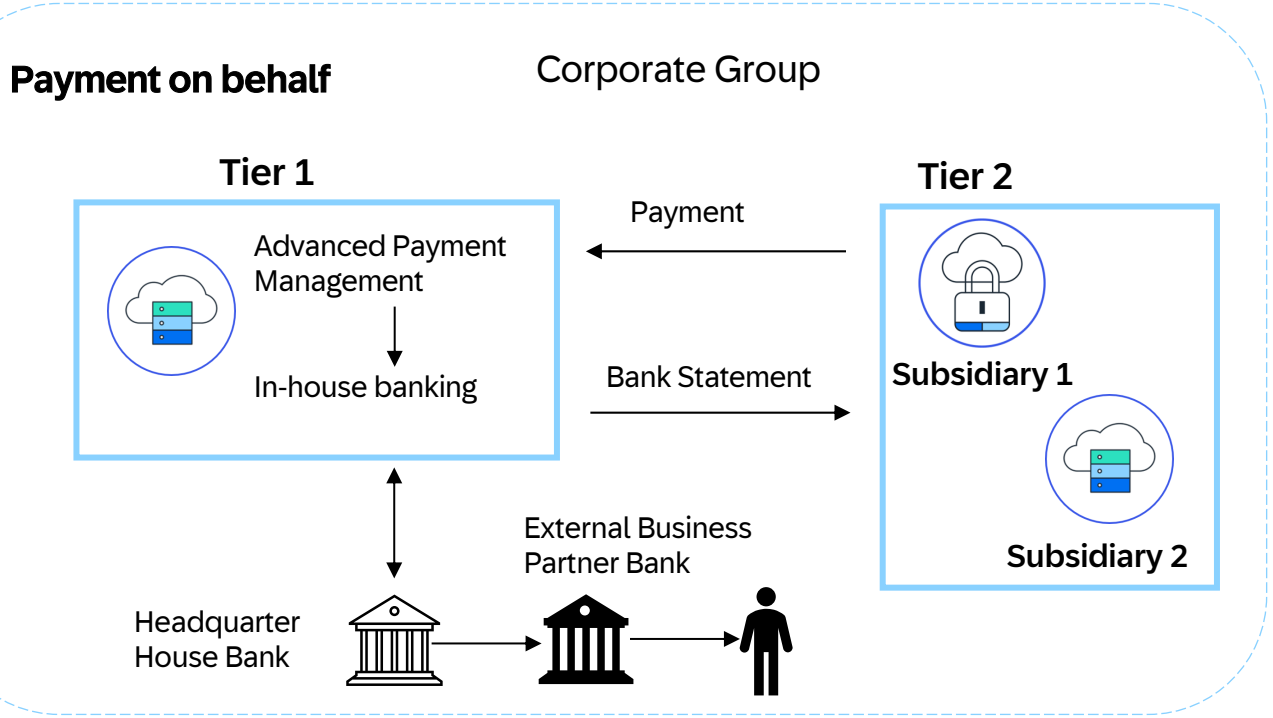
: SAP S/4HANA Any Deployment : SAP S/4HANA Cloud, Public Edition : SAP S/4HANA Cloud, Private Edition : SAP ECC 6.0 : SAP S/4HANA – On Premise

In-House Banking – Payment on behalf

Relevant Scope Item

4MT, 6BP, 16R

- Tier2: Subsidiary sends payment file, for external business partner to headquarter Advanced Payment Management solution.
- Tier1: Headquarter APM solution receives the file and recognizes that payer holds in house bank account. All the bank accounts are uploaded in BAM so its easy to check if its internal or external bank account. Cash management is updated and release of payment takes place from headquarter external house bank to the business partner bank. Through G/L transfer payment item is transferred to financial accounting and subsidiary receives bank statement. Headquarter receives external bank statement from its external bank.
- House Bank for Tier1: Receives payment file for payment to external business partner of subsidiary. Sends bank statement to headquarter.



Deployment Options

Tier 1:

Tier 2:

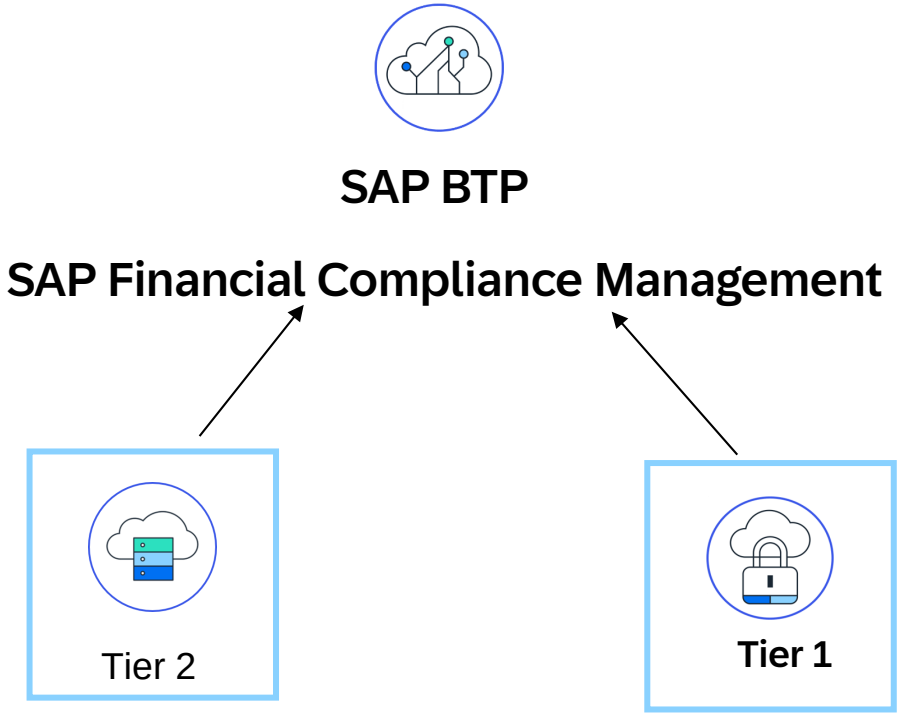
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Central Risk and Assurance Management

Business Benefits :

- SAP Risk and Assurance Management is built on SAP Business Technology Platform and provides end-to-end financial compliance.
- Central system for continuous monitoring of transaction information for multiple connected SAP S/4HANA Cloud or on-premise systems.
- Central system for detection of anomalies causing financial losses for multiple connected SAP S/4HANA Cloud or on-premise systems.
- Integration to S/4HANA Cloud & S/4HANA on-premise.
- Wider coverage of predefined controls for SOX and Finance.



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- Central Shared Services
- HQ – Subsidiary
- Corporate - Affiliates

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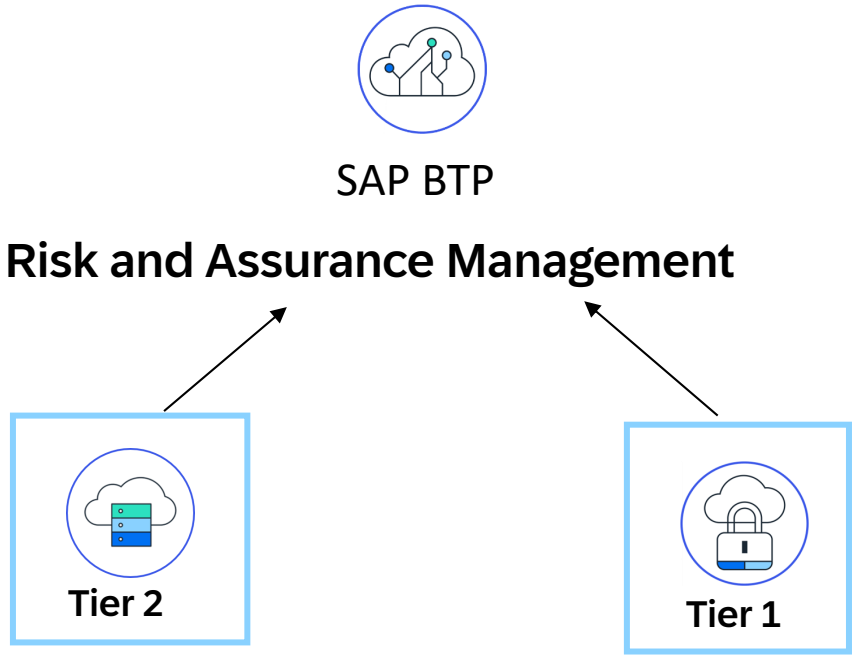
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Central Risk and Assurance Management

Finance

Relevant Scope Item

3KY , J58



Tier1: Send transaction data to SAP Financial Compliance Management

Tier2: Send transaction data to SAP Risk and Assurance Management

SAP Financial Compliance Management:

- Receives transaction data from Tier1 & Tier2.
- Compliance manager defines controls and procedures to monitor financial operation processes and detect anomalies in connected Tier1 & Tier2 systems.

Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- Central Shared Services
- HQ – Subsidiary
- Corporate - Affiliates

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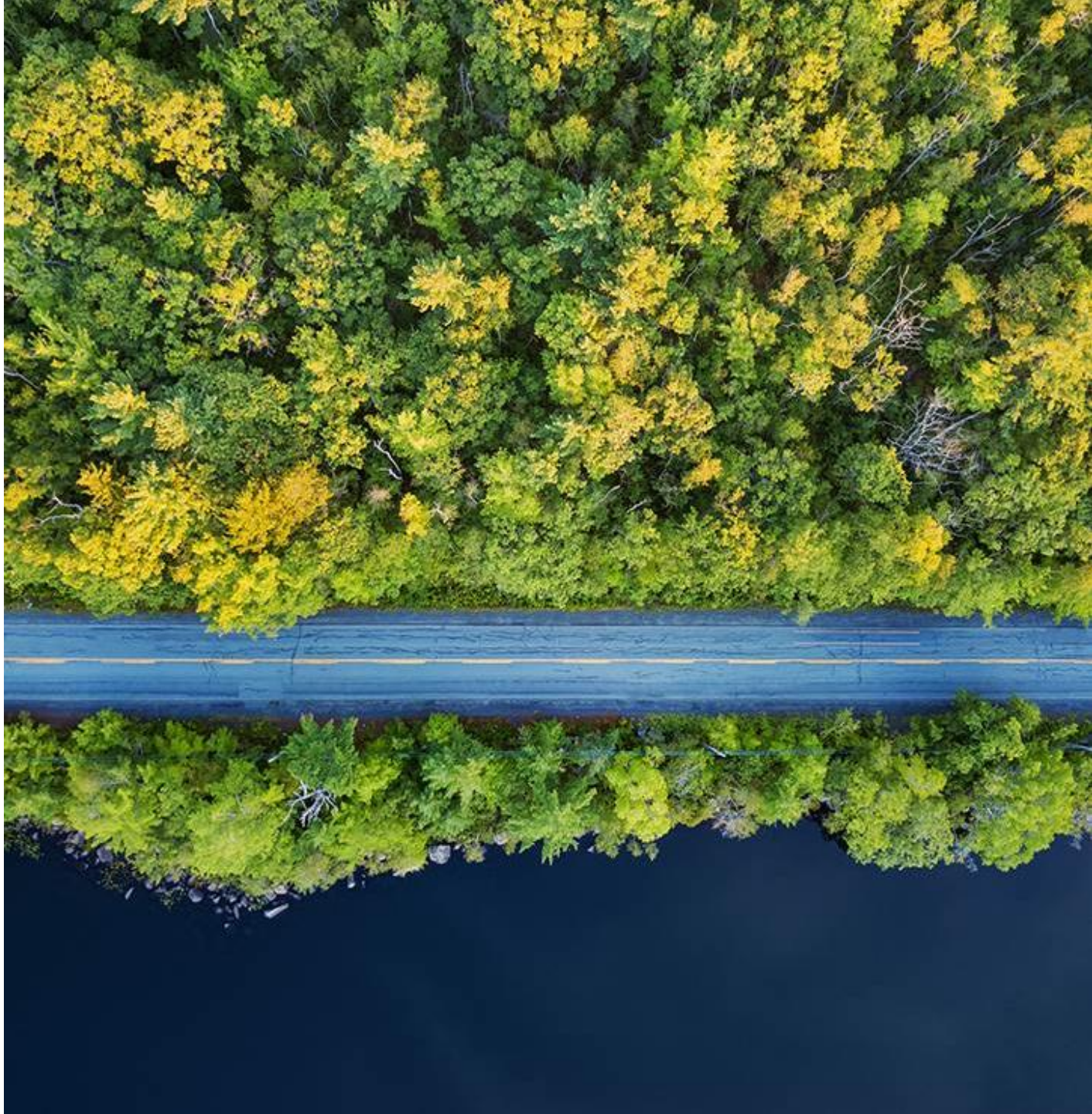
Note

The scenarios in this presentation focus on business processes for the relevant Line of Business (e.g., Treasury, Manufacturing, Sales, Procurement).

Financial books should be maintained in the respective systems, such as tier-1 & tier-2 for the relevant company codes. There could be an exception for example a scenario wherein the tier-1 system handles financial processes for company codes from the tier-2 system.

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Sustainability

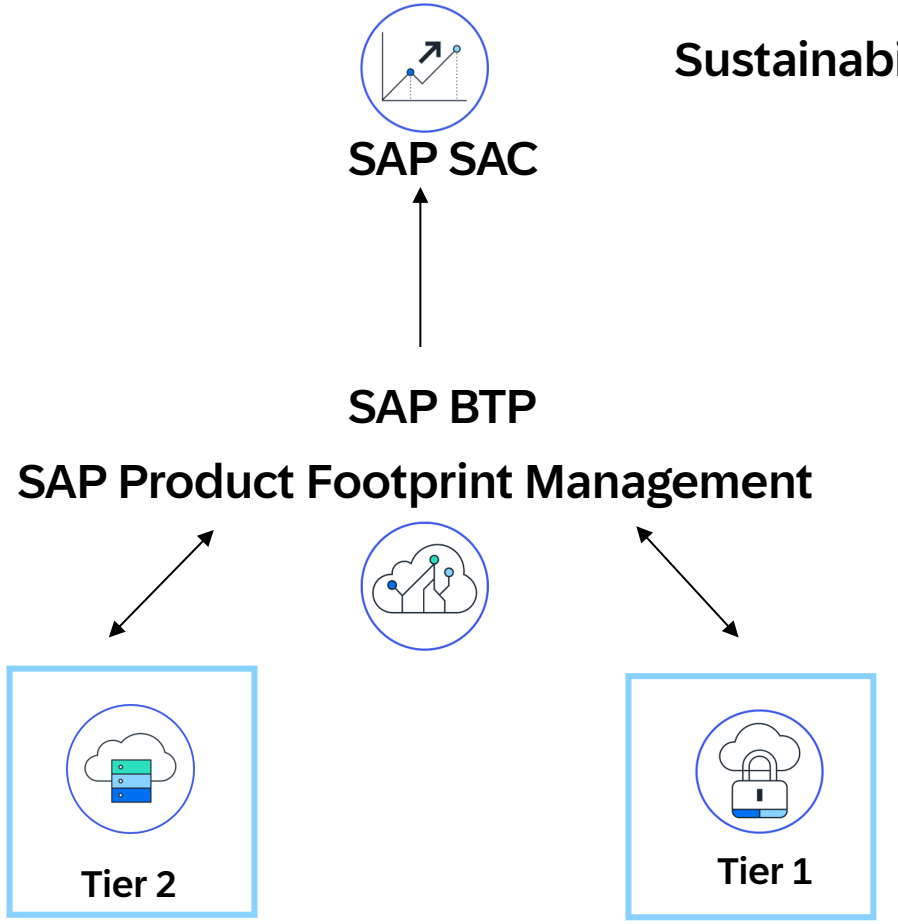


Product Footprint Management

Sustainability

Business Benefits

- Product Footprint Management is SAP Cloud-native application to calculate product footprints periodically and at scale considering the entire product lifecycle
- Enable business users to replicate business-activity and master data from SAP S/4HANA Cloud and on-premise as a primary source for product footprint calculation based on a specified set of plants and a time range
- Emission factor management to help customers to upload Sustainability Content
- Monthly calculation of all products in the system handling a high amount of data
- Provide inbuild integration of footprints back to SAP S/4HANA Cloud and on-premise systems
- Enable on demand execution and monitoring of product footprint calculation
- PFM Content Delivery in Enterprise SAC



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- Central Shared Services
- Headquarter – Subsidiary
- Corporate - Affiliates

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Product Footprint Management

Relevant Scope Items:

5IM

Tier 1:

- Send master data and business activity data to SAP Product Footprint Management on SAP BTP
- Receive footprint data back from Product footprint Management

Tier 2:

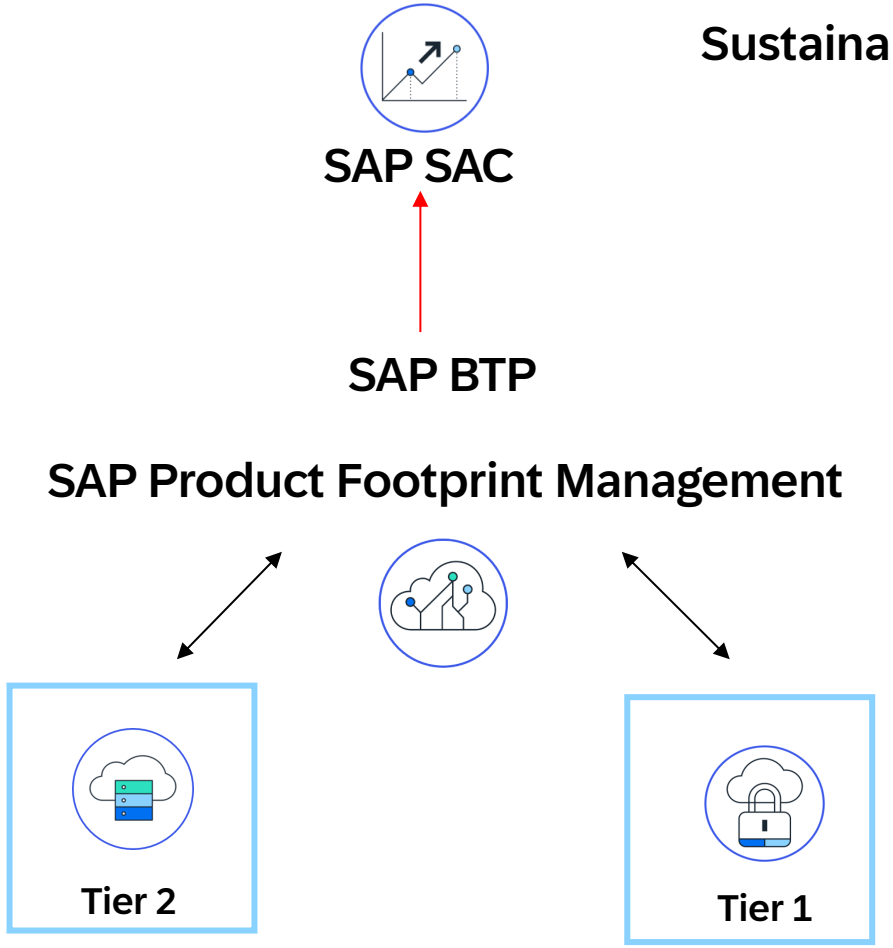
- Send master data and business activity data to SAP Product Footprint Management on SAP BTP
- Receive footprint data back from Product footprint Management

SAP Product Footprint Management:

- Calculate product footprints periodically and at scale considering the entire product lifecycle
- Emission factor management to help customers to upload Sustainability Content
- Monthly calculation of all products in the system handling a high amount of data
- Provide inbuild integration of footprints back to SAP S/4HANA Cloud and on-premise systems
- Enable on demand execution and monitoring of product footprint calculation

SAP SAC:

Pre-delivered Content on SAC for holistic analytics



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- Central Shared Services
- Headquarter – Subsidiary
- Corporate - Affiliates

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Responsible Design & Production

Tier 1:

- Send enterprise structure, product data, business partners, configuration data, deliveries, material documents, batch data to SAP Responsible Design & Production on SAP BTP

Tier 2:

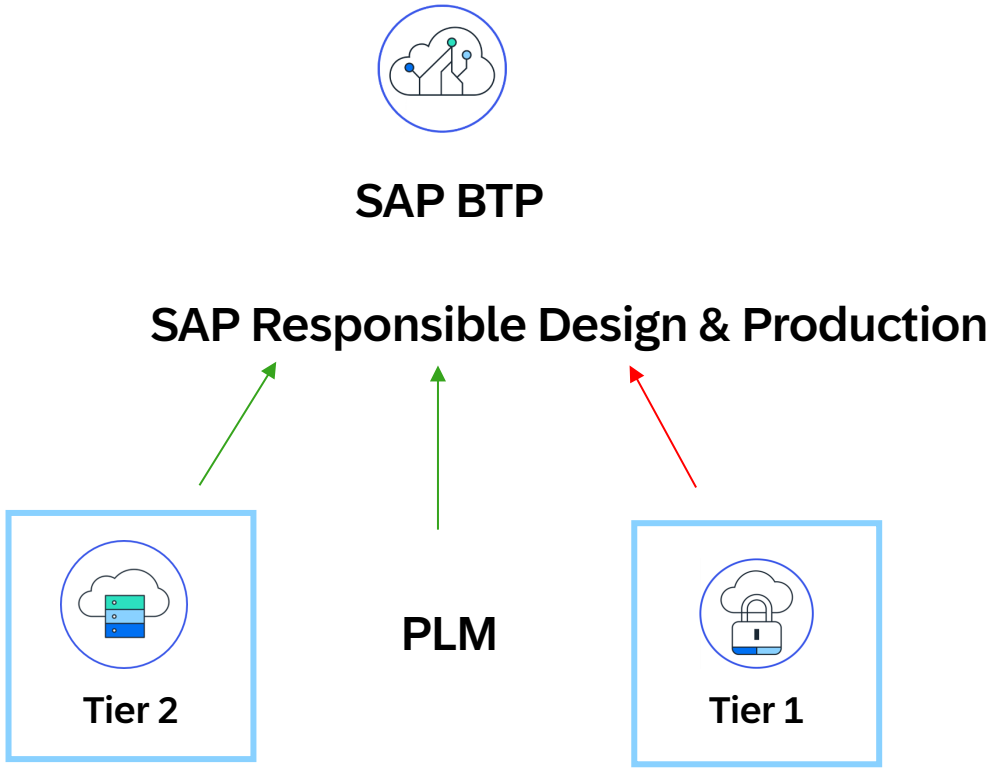
- Excel upload of enterprise structure, product data, business partners, configuration data, deliveries, material documents, batch data to SAP Responsible Design & Production on SAP BTP

PLM:

- Upload of packaging elements, packaging composition to SAP Responsible Design & Production

SAP Responsible Design & Production:

- SAP RDP is offering predefined Excel templates for each business object that is needed within SAP RDP. Push/Pull scenarios work for integration with S/4 with CDI technology/REST API
- EPR Reporting and declarations, calculate plastic tax payments and report on voluntary agreements.



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- Central Shared Services
- Headquarter – Subsidiary
- Corporate - Affiliates

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Sales Processes



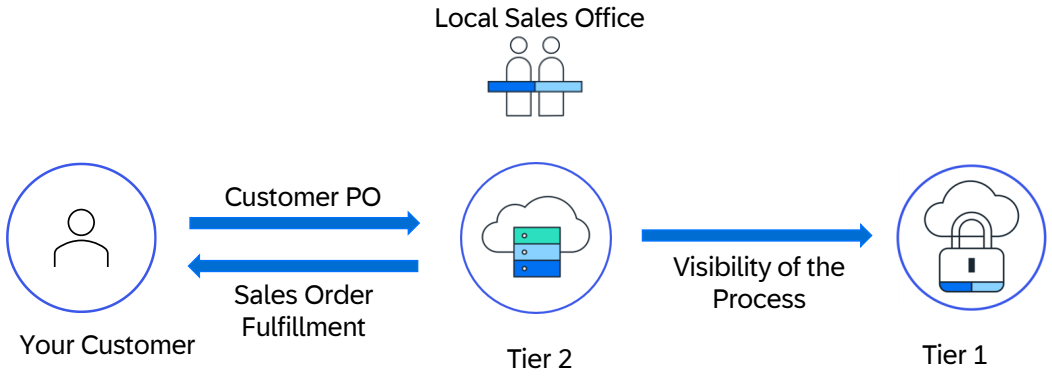
Subsidiary as Sales Office - Sale from Local Stock

Business Benefits

- Reduction in manual information flow
- Seamless information flow between subsidiary and headquarter
- Better decisions can be taken at HQ

Pre-requisite:

- Customer and Material Master are in sync between two systems



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary

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Subsidiary as Sales Office - Sale from Local Stock

Relevant Scope Items:

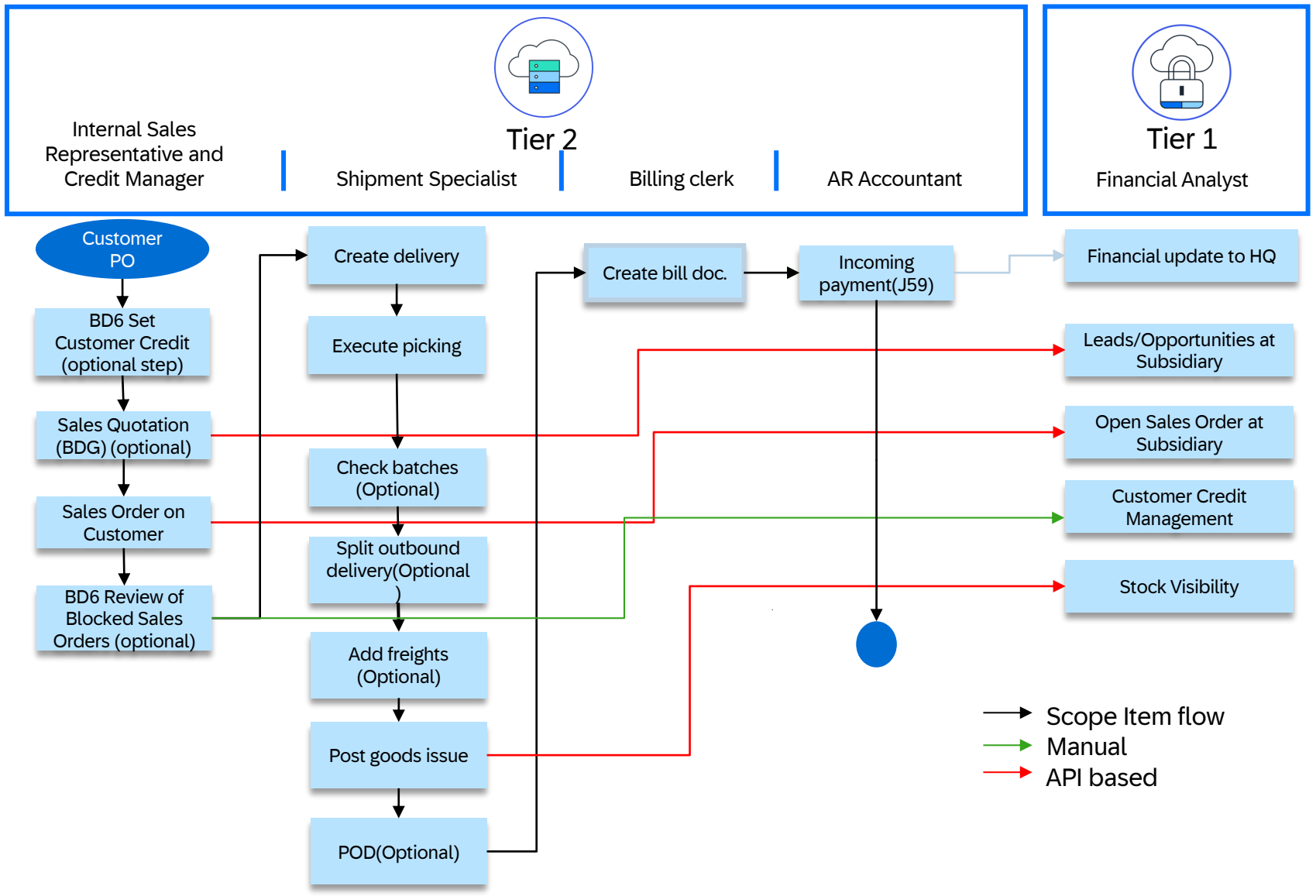
BD9: Sell from Stock

Subsidiary

- Sales Offices received Customer Purchase Order
- Check credit limit for the customer from
  - (A) Local or
  - (B) Tier 1
- Create Sales quotation if lead or opportunity
- Customer Sales Order is created
- Order Confirmation sent to Customer
- Outbound Delivery created with follow-on activities of picking, assignment of batch number as required, and subsequent goods issue(s) for the option of single or split delivery
- Final Billing generated for Customer from Subsidiary
- Accounts receivable
- Periodic Financial update to the Headquarters

Key asks from Tier 1

- Visibility of subsidiary Leads/opportunities
- Visibility of subsidiary sales orders
- Visibility of Subsidiary Stock
- Visibility of Accounts Receivable



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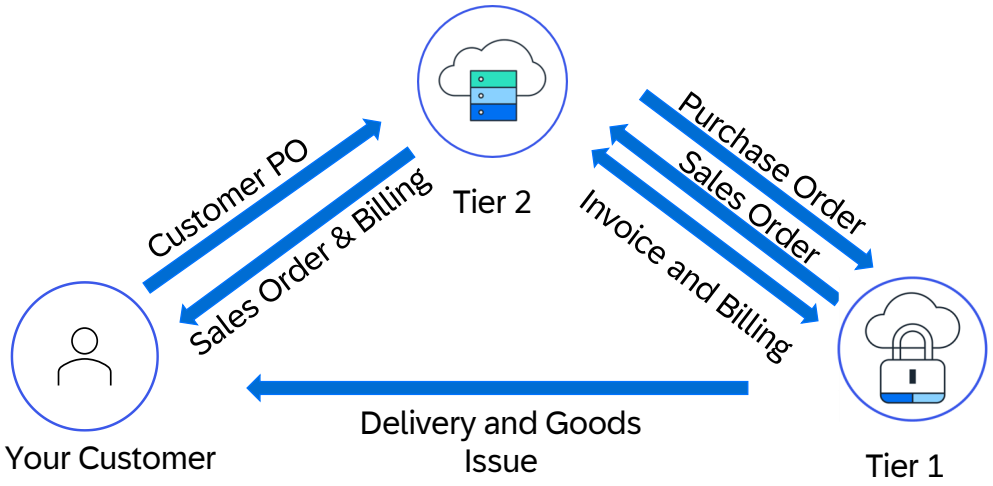
Subsidiary as Sales Office – Sale from Central Stock Drop-Shipment

Business Benefits

- Direct delivery of goods to Customer from HQ which reduces transactional time
- Seamless Integration of transactional steps like creation of Sales Order at HQ, creation of ASN and Vendor Invoice at Subsidiary
- Reduction in the data entry points from the business users

Pre-requisite:

- Customer and Material Master are in sync between two systems



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary

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Subsidiary as Sales Office – Sale from Central Stock, Drop-Shipment w/o ASN

Relevant Scope Items:

BDK: Sales Processing using Third-Party without Shipping Notification

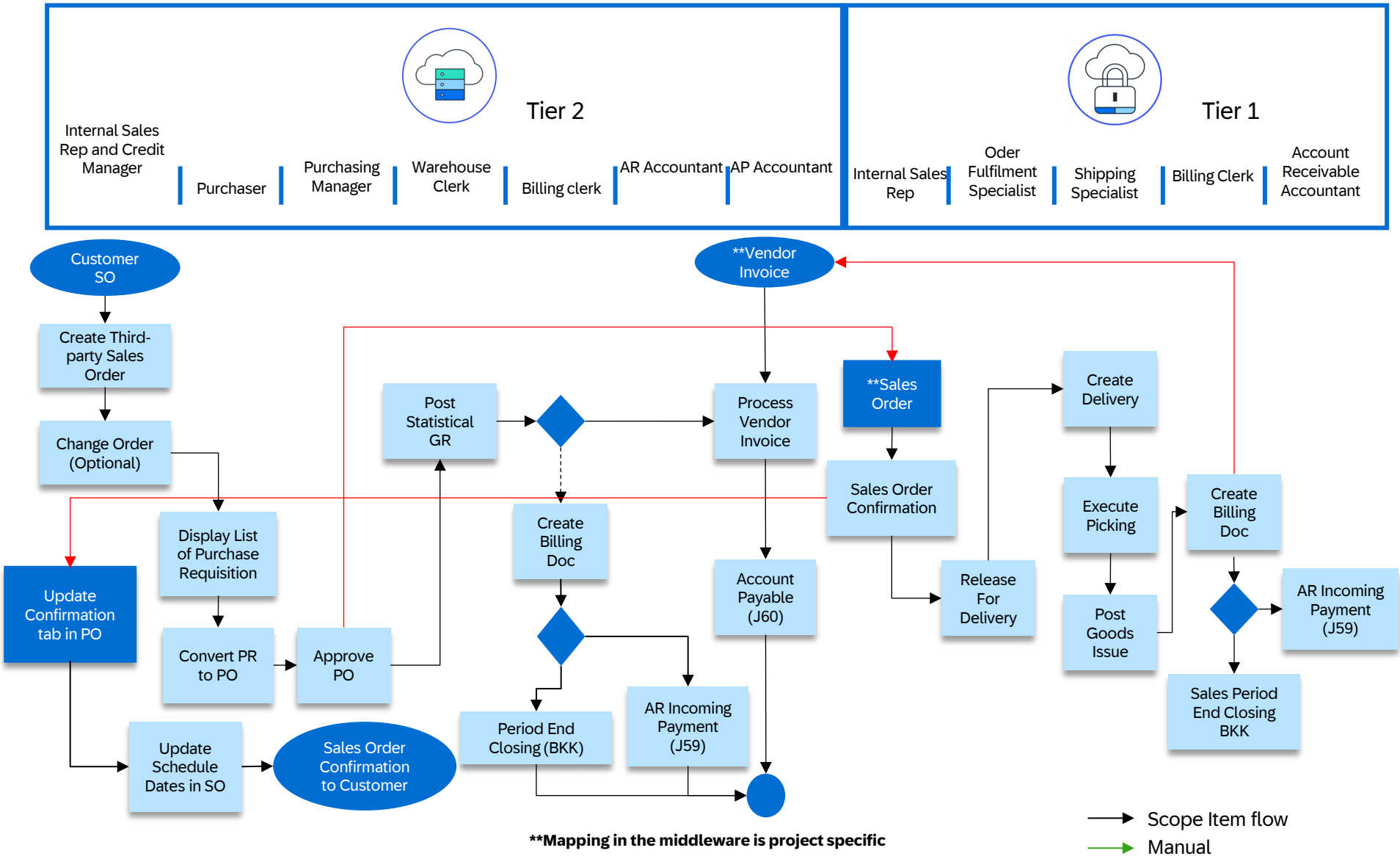
Subsidiary
- Customer order at the local sales office creates follow on documents (Purchase order, sales order, Order Confirmation)
- API to send the PO information for SO creation at Tier 1

Headquarters
- Creates Sales Order with Sold-to as Sales Office and Ship-to as Customer
- Confirms the delivery date to Tier 2 Sales Office

Subsidiary
- Sales Office provides Order Confirmation to customer with confirmed dates

Headquarters
- Post Goods Issue to customer delivery
- ASN to Tier 2
- Bill to Tier 2

Subsidiary
- Posts Statistical GR for Tier 1 Drop Shipment
- Customer Billing



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Subsidiary as Sales Office – Sale from Central Stock, Drop-Shipment with ASN

Relevant Scope Items:

BD3: Sales Processing using Third-Party with Shipping Notification

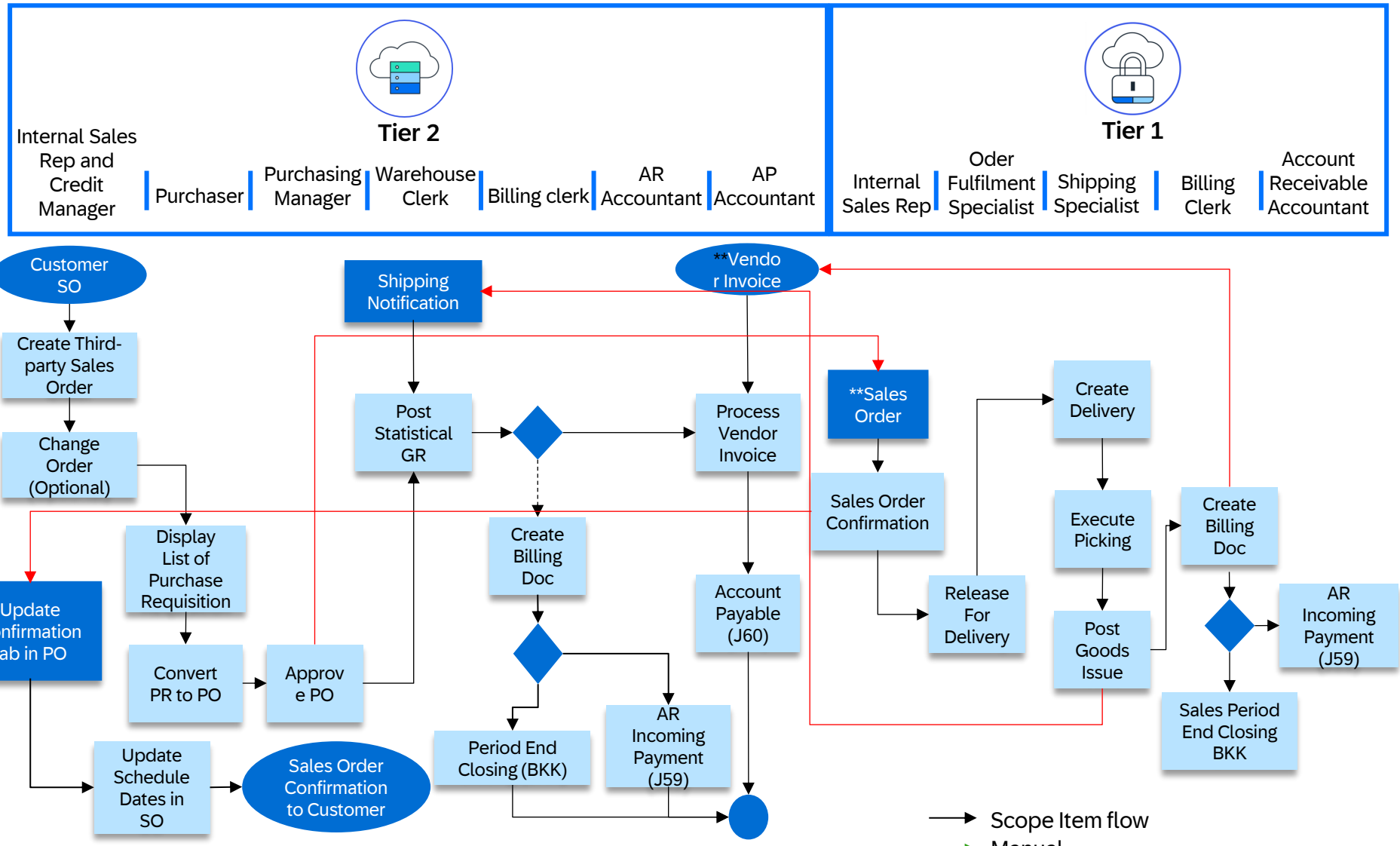
Subsidiary
- Customer order at the local sales office creates follow on documents (Purchase order, sales order, Order Confirmation). API to send the PO information for SO creation at Tier 1

Headquarters
- E delivery date to Tier 2 Sales Office creates Sales Order with Sold-to as Sales Office and Ship-to as Customer
- Confirms the delivery date to Tier 2 Sales Office

Subsidiary
- Sales Office provides Order Confirmation to customer with confirmed dates

Headquarters
- Post Goods to customer delivery
- ASN to Tier 2
- Bill to Tier 2

Subsidiary
- Posts Statistical GR for Tier 1 Drop Shipment
- Customer Billing



**Mapping in the middleware is project specific

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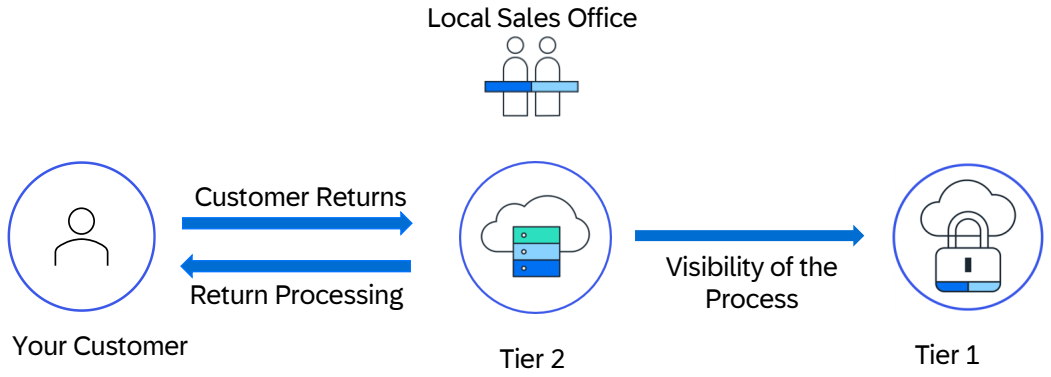
Subsidiary as Sales Office - Product Return to Local Stock

Business Benefits

- Seamless information flow between Subsidiary and HQ with HQ having visibility of the process at Subsidiary
- Better decisions at HQ with real-time data

Pre-requisite:

- Customer and Material Master are in sync between two systems



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary

*Visibility across the tier: please refer to the blog post:[Analytics in Two-Tier Scenario]

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Subsidiary as Sales Office - Product Return to Local Stock

Relevant Scope Items:

BD9 – Sell from Stock

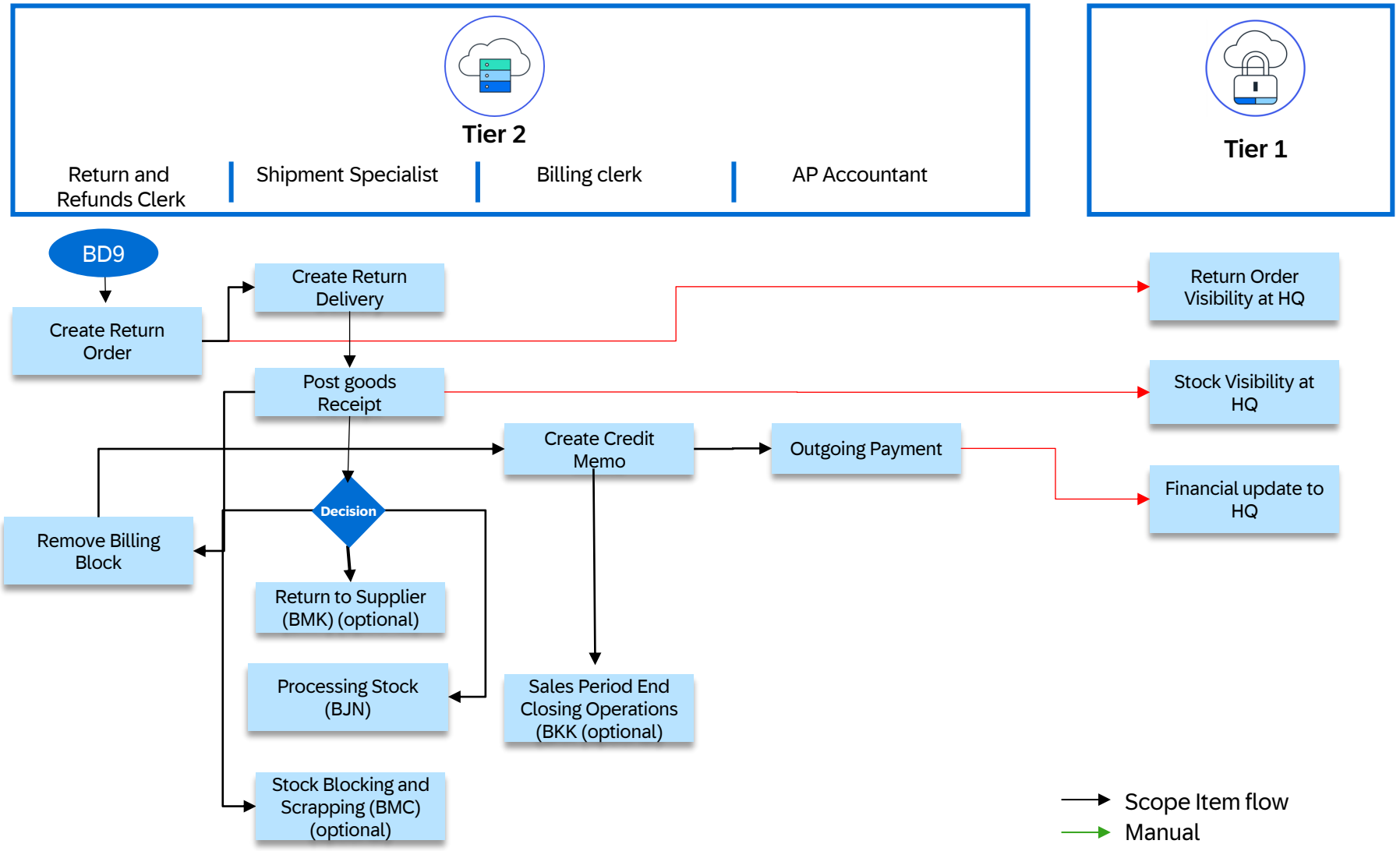
BDD – Customer Returns

Tier 2

- Customer approved for material return
- Return Order created
- Return Delivery document created
- Goods Receipt is posted.
- Remove Billing Block from the Sales Order
- Return Stock Movement Options (A) (B) (C)
  - A. Goods returned to the supplier(BMK)
  - B. Goods moved to processing stock (BJN)
  - C. Goods moved to scrap and block stock (BMC)
- Credit/Debit memo issued
- Accounts Payable
- Periodic Financial update to the Headquarters

Tier 1

- Visibility of Return Orders
- Return Stock visibility



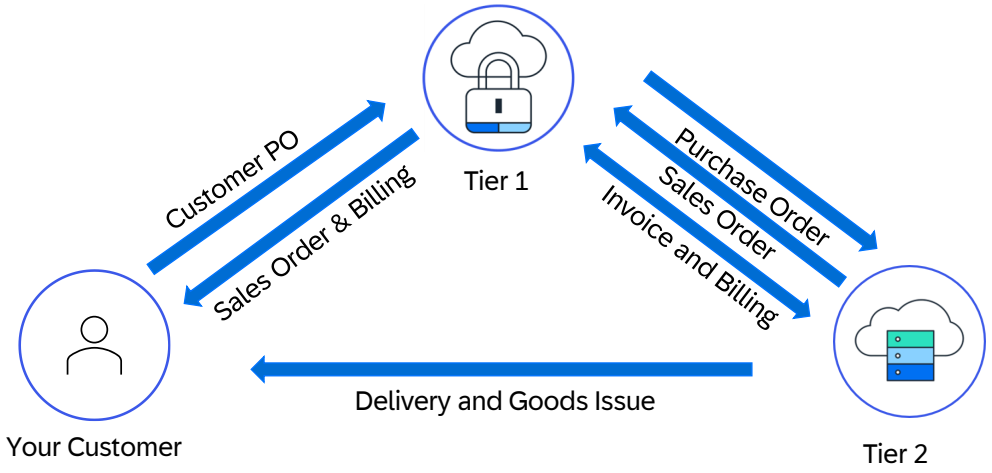
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Order Received at HQ, Drop-shipment from Subsidiary

Business Benefits

- Sales process at HQ can be integrated to deliver the goods directly from Subsidiary to customer
- Seamless Integration of transactional steps like creation of Sales Order at Subsidiary, creation of Inbound delivery and Vendor Invoice at HQ
- Reduction in the data entry points from the business users
- Better decisions at HQ owing to the visibility of the stock position



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary

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Order Received at HQ, Drop-shipment from Subsidiary

Relevant Scope Item

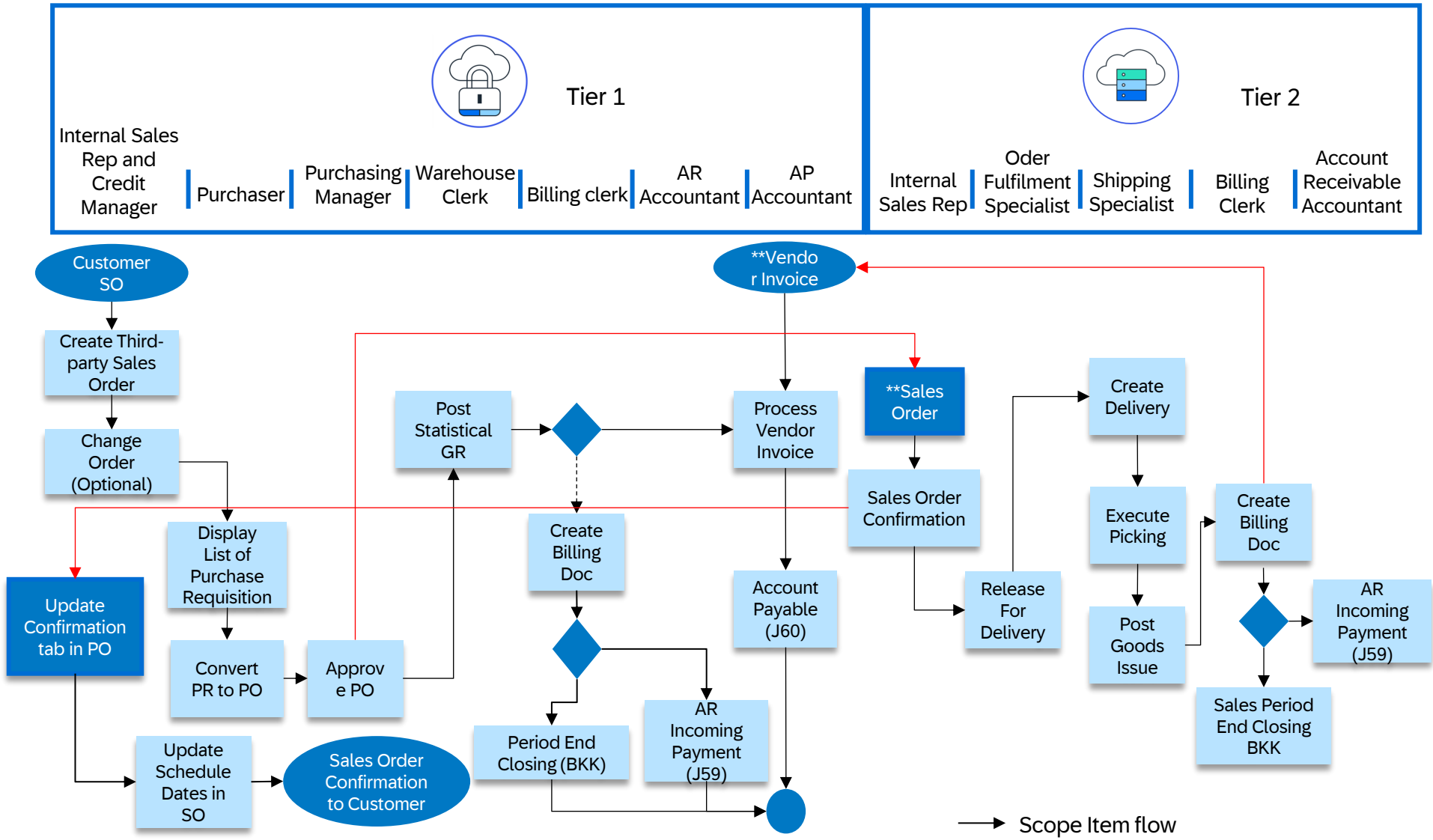
BD9 – Sell from Stock

Tier 1

- Receive Sales Request from customer
- Creates Purchase Order on Subsidiary
- Do Statistical Goods Receipt after GI from Subsidiary
- Create Vendor Invoice against Subsidiary

Tier 2:

- Create Sales Order against PO for HQ, End Customer as Ship-to
- Create Delivery and PGI on Customer
- Create Billing Document on HQ



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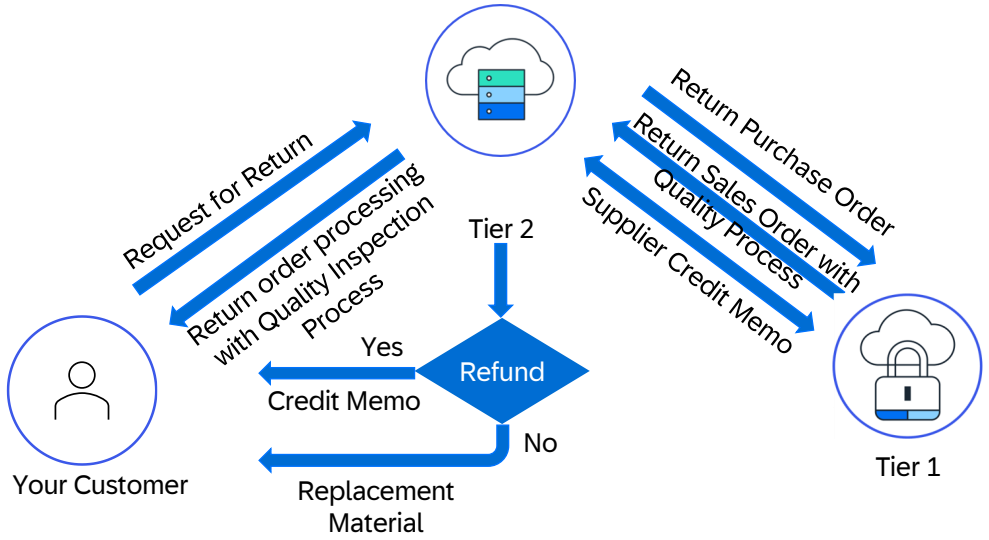
**Mapping in the middleware is project specific

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B2B Scenario for Accelerated Sales Returns in Two-Tier ERP

Business Benefits

- Follow-up documents generated automatically
- The process includes the goods inspection
- Reduce transportation costs and save time while performing inspection at customer site
- Goods can be returned to supplier via seller
- Provide end-to-end support and monitoring of the return process
- Streamlined business process across HQ and Subsidiaries



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary

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B2B Scenario for Accelerated Sales Returns in Two-Tier ERP

Sales

Relevant Scope Item

3QD – Accelerated Third Party Returns

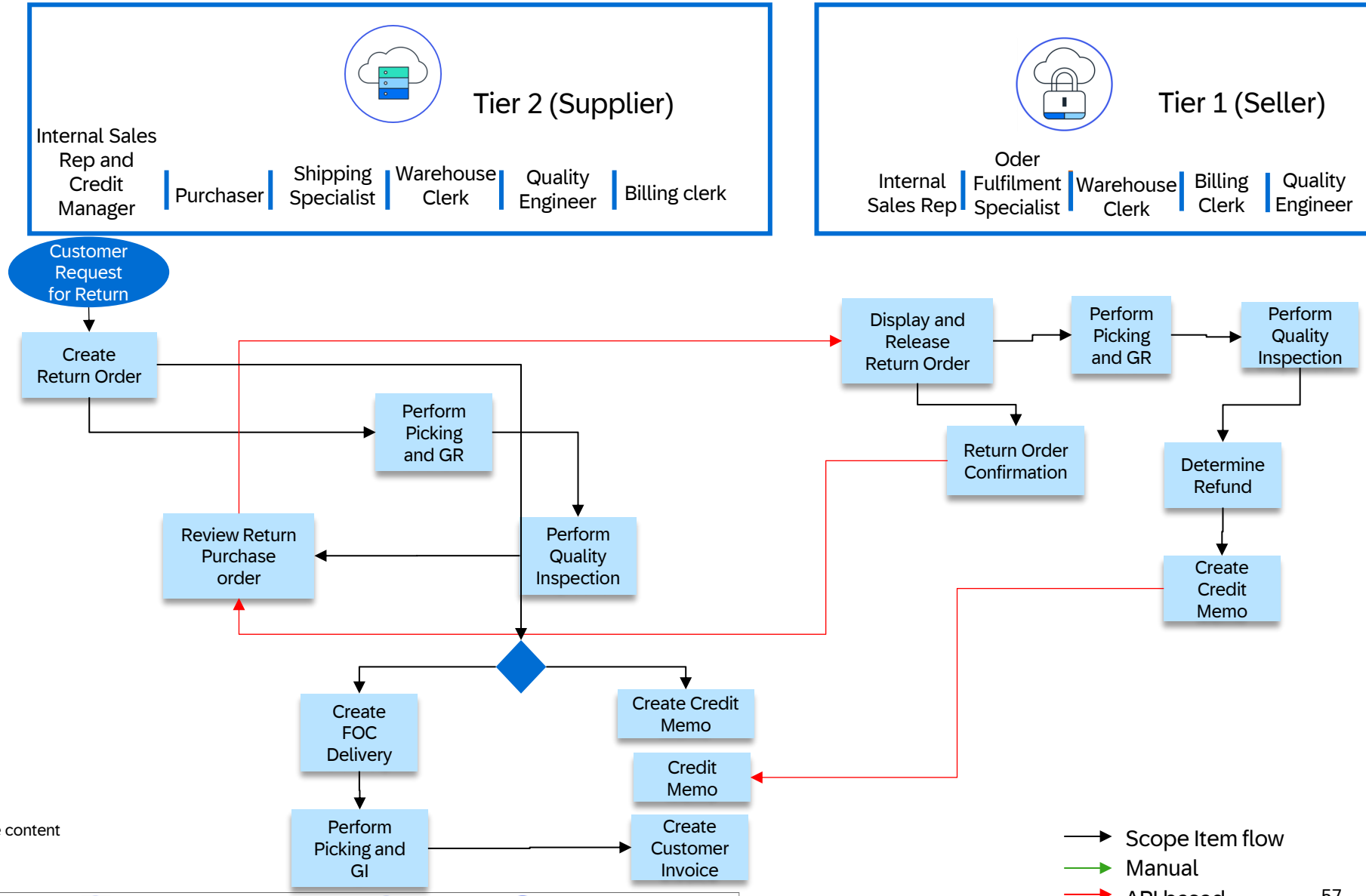
Process Steps:

Seller returning to supplier:

- Create return order
- Perform lean material inspection
- Generate return purchase order: Request return to supplier via RMA
- Ship to supplier if RMA is approved
- Refund from supplier to seller
- Refund to customer from seller with credit memo
- Ship free-of-charge material replacement from seller

Supplier Receiving return request by seller:

- Create return order via EDI
- Decide on return material authorization (RMA) and notify seller
- Receive goods and perform material inspection if RMA is approved
- Determine refund for seller
- Create credit memo towards seller via ED



* For detailed view on the process, kindly go through Best Practice content

**Mapping in the middleware is project specific

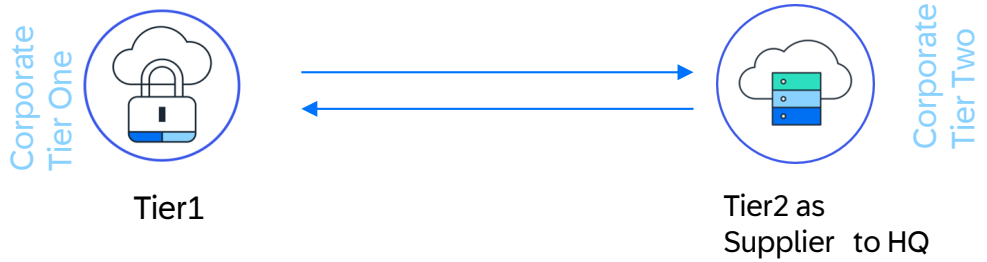
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Sales Schedule Lines

Business Benefits

- Tier2 receives the accurate demand from Tier1.
- It gives end to end visibility on business process.
- Simpler master data maintenance. Due to common master data across HQ and Tier2
- Good visibility of Tier2 production data at HQ, helps in better decision making.



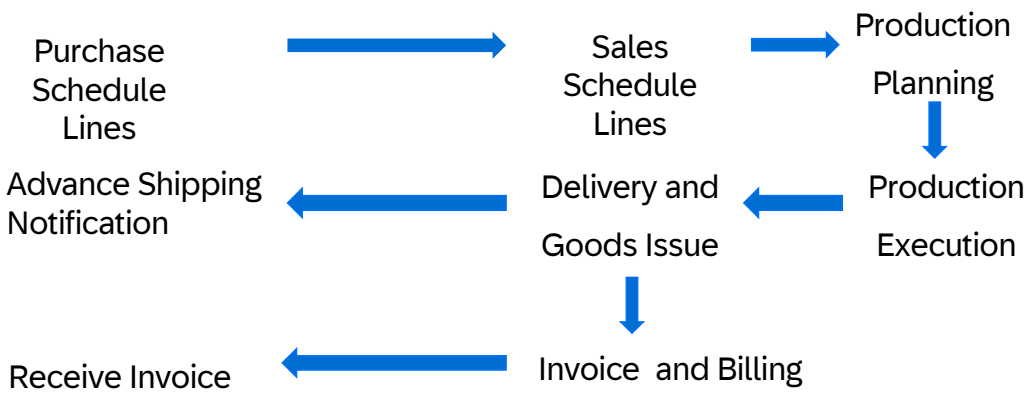
Deployment Options

Tier1:

Tier2:

Deployment Scenarios

- Supply Chain Eco-system



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Sales Schedule Lines

Relevant Scope Items:

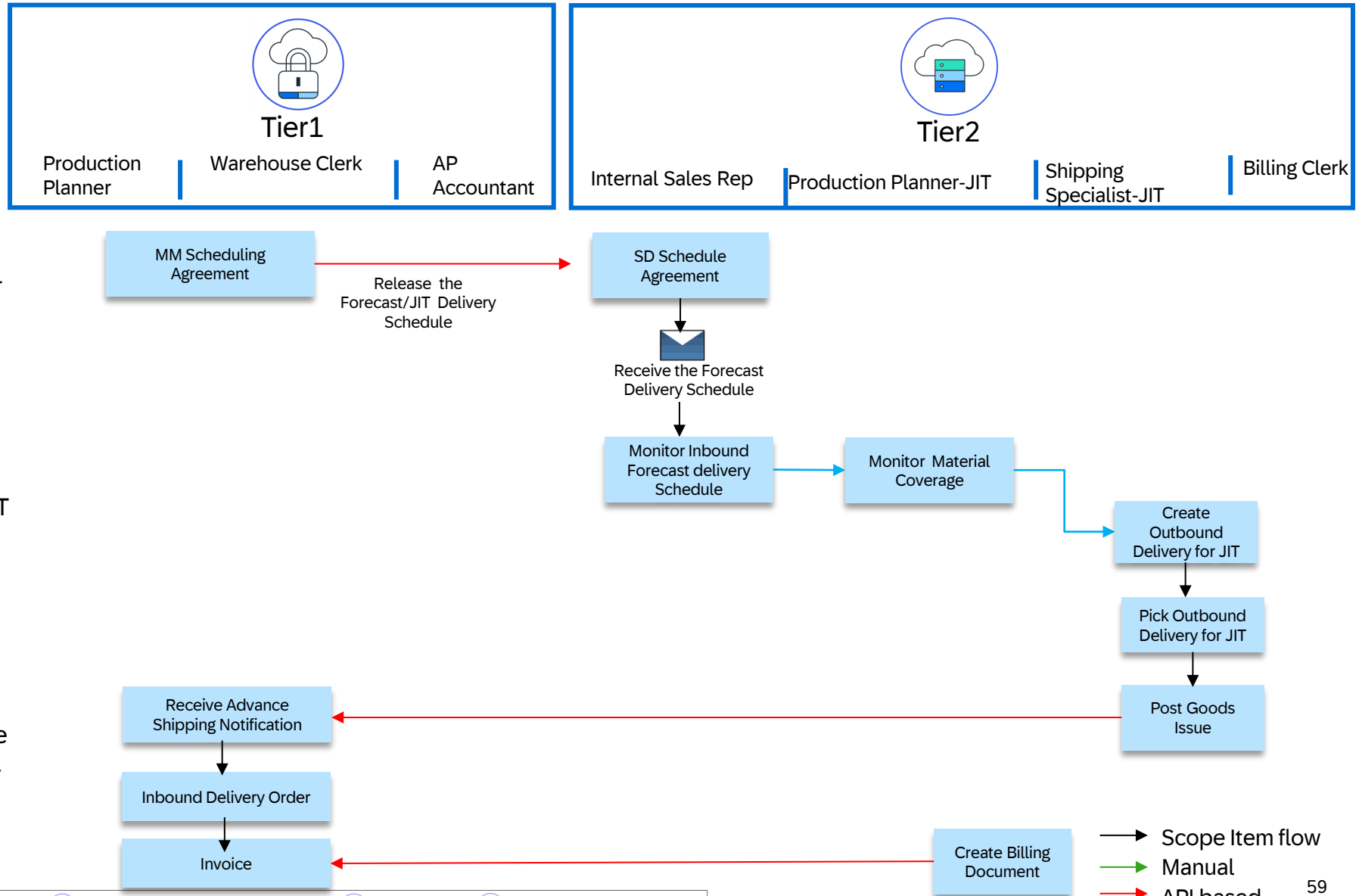
3NR: Sales Schedule Lines

Tier1

- This scenario enables a classical B2B communication between a S/4HANA Sales system and external buyer systems
- Buyer will share the Purchase Forecast/JIT delivery schedules with the Supplier. This will create the Sales schedule forecast/JIT delivery schedule at the supplier system.

Tier2

- Tier2 gets the Forecast Delivery Schedule from the Tier 1 system.
- Based on which Shipping specialist creates the Outbound delivery order based on the JIT call. You can combine multiple JIT calls into single delivery item. You can also change the delivery quantity.
- Shipping Specialist picks the goods from the storage location and do post goods issue of the material.
- After the PGI, there will be automatic Advance Shipping notification sent out to OEM system.
- Finally billing clerk will do the billing. An invoice is created and sent from the SAP S/4HANA system (supplier side) to the Buyer



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Supply Chain Planning



Demand Planning with SAP IBP for Headquarter – Subsidiary Model

Supply Chain Planning

Released in 2508

Business Benefits

- Seamless Integration between headquarter and Subsidiary.
- Centralized Demand Visibility.
- Streamlined forecasting using ML driven algorithms

Relevant Scope Item

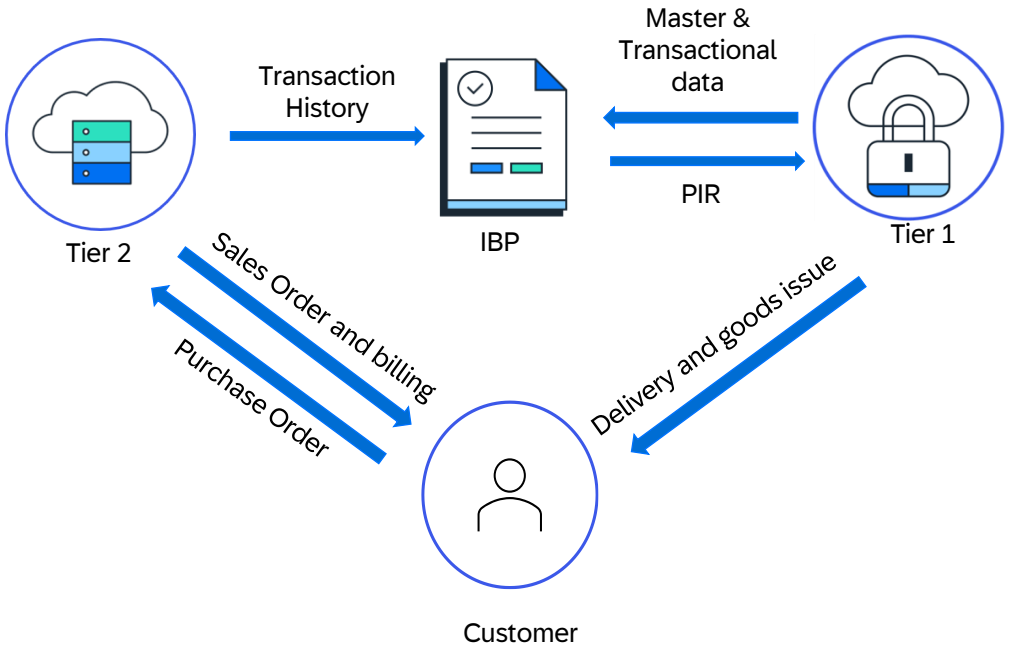
BDK , 78P

Pre-requisite:

Materials , plants and customers are in sync between two ERP systems

Abbreviations

- IBP – Integrated Business Planning
- PIR – Planned Independent Requirement



Deployment Options

Tier1:

Tier2:

Deployment Scenarios

- HQ – Subsidiary

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Demand Planning with SAP IBP for Headquarter – Subsidiary Model

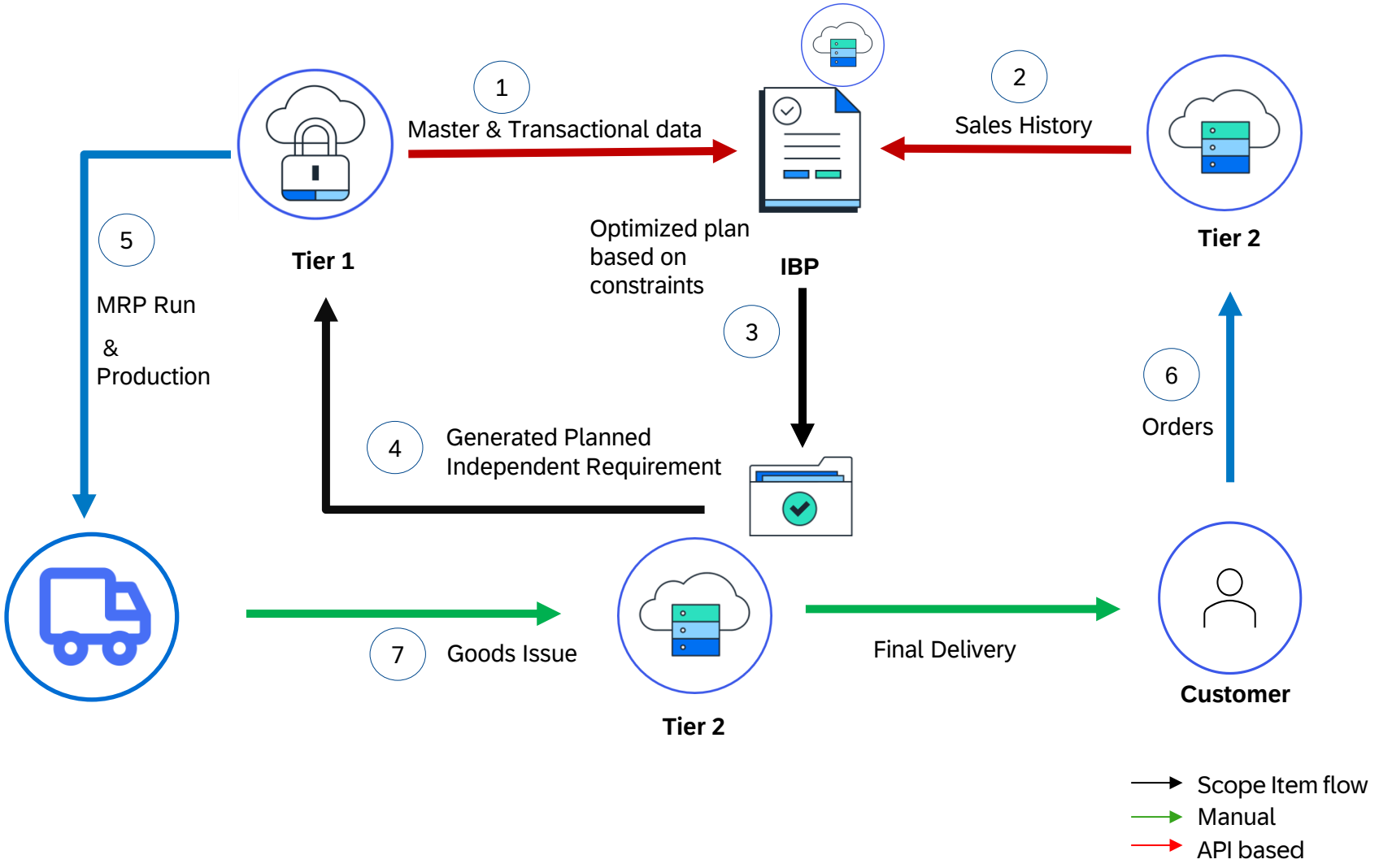
Supply Chain Planning

Relevant scope item: BDK , 78P

Tier 1
- Headquarters sends the master data and the local sales forecast history as applicable to IBP.
- Headquarters needs prepare the relevant materials , plants and customers required for planning.
- The Cloud Integrator Data Services (CIDS) acts as the middleware to extract the relevant data sets from the headquarter and sending them to IBP.

Tier 2
- The Subsidiaries can send their local demand history to IBP using the SAP Cloud Integration (CI)

IBP
- The sales order numbers (actuals sales quantity) from both the headquarters and subsidiary are used to run the statistical forecasting algorithm in IBP
- IBP captures the total forecasted demand quantity, which is translated as Planned Independent Requirements (PIRs) to the Headquarters for further production planning.



Glossary: HQ: Headquarters IBP: Integrated Business Planning PIR: Planned Independent Requirement

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Service Processes



Service Order Management in Headquarter-Subsidiary Model

Business Benefits

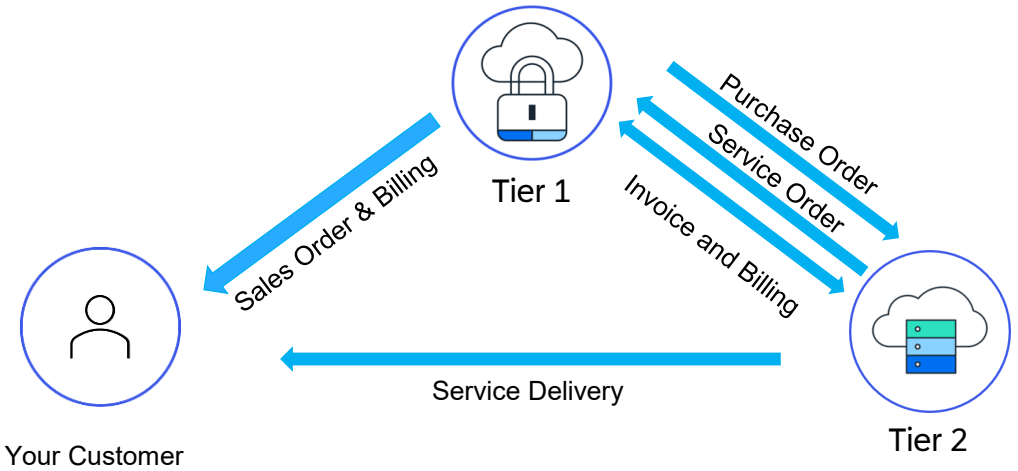
- Services are Directly delivered to Customer from Subsidiary
- Seamless Integration of transactional steps like creation of Service Order at Subsidiary and Vendor Invoice at Headquarter
- Reduction in the data entry points from the business users

Relevant Scope Item

2EL ,3D2

Integration scenario

- Create, change, or cancel service order at Subsidiary (inbound message)
- Subsidiary Send purchase order confirmation (outbound message)
- Subsidiary Send supplier invoice (outbound message)



Deployment Options

Tier1:

Tier2:

Deployment Scenarios

- HQ – Subsidiary

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Service Order Management in Headquarter-Subsidiary Model

Services

Tier 1

- Receives customer Order for Services at Headquarter. Purchase requisition is created against the order
- The PR is converted PO. Once the PO is approved EDI based approach is used to automatically transfer the PO information for creation of service order at Subsidiary.

Tier 2

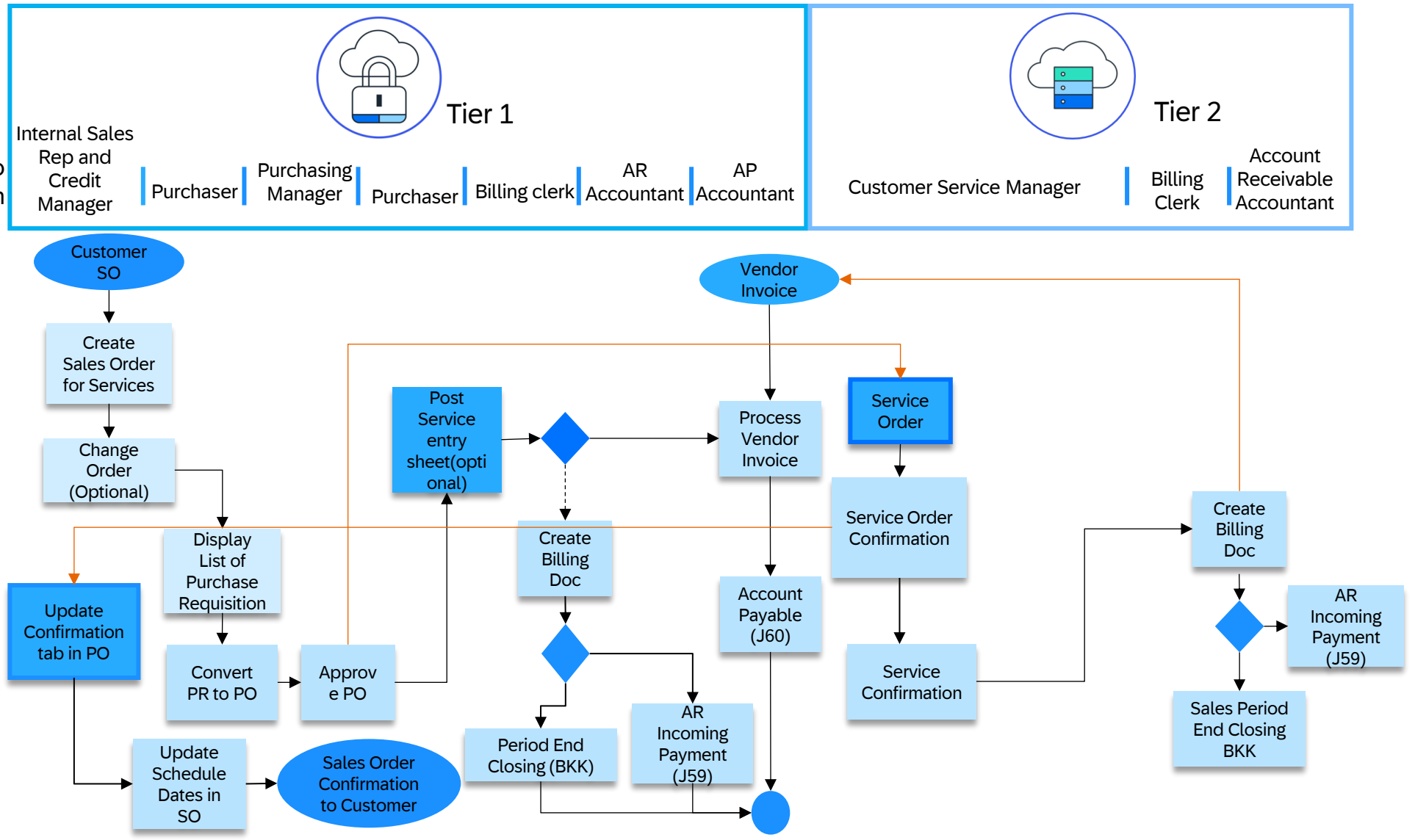
- Receive the automatically generated service order with sold-to as headquarter and ship-to as the end customer.
- Service order is confirmed, EDI based approach is used to confirm the purchase order at headquarters. Service is confirmed at the Subsidiary

Tier 1

- Service entry sheet is posted at the headquarter (optional step)

Tier 2

- Billing document is created and bill to headquarter, corresponding Supplier invoice automatically created at headquarter.
- Headquarter Bills the customer



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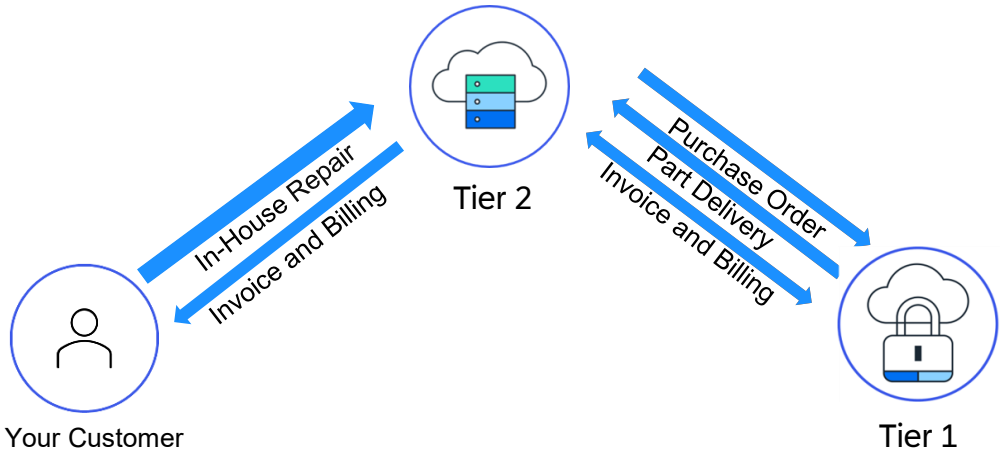
Repair Order Integration in Subsidiary-Headquarter Model

Business Benefits

- Service Providers/Retailers/Resellers through the In-House Repair help Checking the warranty and contract details
- Getting genuine parts from the OEM for further action
- Seamless integration of transactional steps like creation of In-House Repair between subsidiary and headquarters
- Reduction in the data entry points from the business users

Relevant Scope Item

3XK , 2EJ



Deployment Options

Tier1:

Tier2:

Deployment Scenarios

- HQ – Subsidiary

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Repair Order Integration in Subsidiary-Headquarter Model

Services

Tier 1

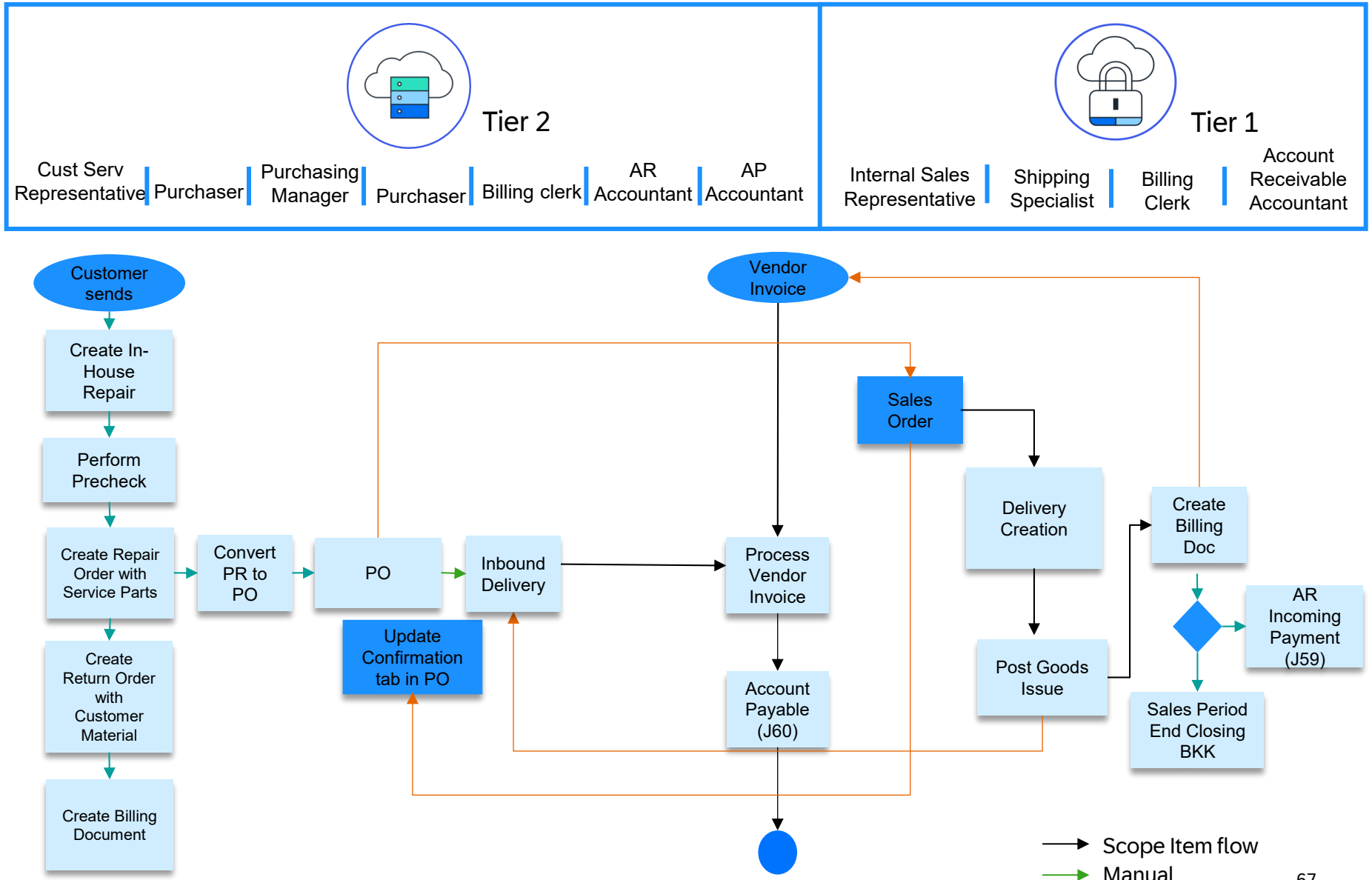
- Receives customer stock for service at subsidiary/warehouse
- Create in-house repair, preform pre-check and create repair order
- Purchase requisition is created against the repair order line item and converted to purchase order
- Once the purchase order is approved EDI based approach is used to automatically transfer the purchase order information, for creation of service order at headquarter

Tier 2

- Receive the automatically generated sales order with sold-to as subsidiary and ship-to as the subsidiary
- Once the sales order is confirmed, EDI based approach is used to confirm the purchase order at subsidiary
- Delivery is created, GI to subsidiary and invoice creation against the delivery document.

Tier 1

- Good issues done to the customer through return order
- Subsidiary bills the customer



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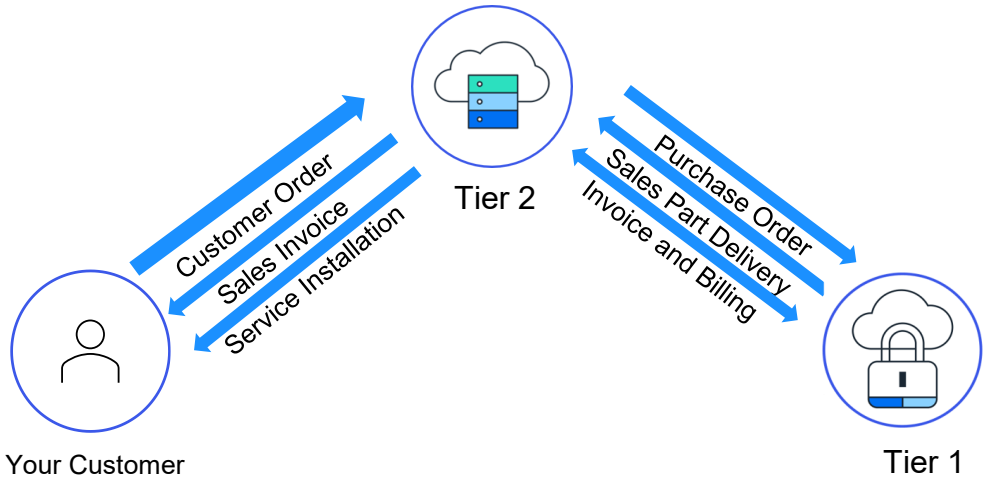
Sales and Installation Process in Headquarter-Subsidiary Model

Business Benefits

- Service Providers/Retailers/Resellers through the Solution Order can help customers in
  - Procurement and
  - Installation
- Seamless Integration of transactional steps like creation of Solution Order, integration with FSM and Services.
- Reduction in the data entry points from the business users
- One Transaction ID for all future reference to customer

Relevant Scope Item

4GT, 2EJ, 49X



Deployment Options

Tier1:

Tier2:

Deployment Scenarios

- HQ – Subsidiary

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Sales and Installation Process in Headquarter-Subsidiary Model

Tier 1

- customer order for sales and services at subsidiary
- Solution order is created that contains both the sales and service (installation) material
- PR is created against the sales order line item and converted to purchase order

Tier 2

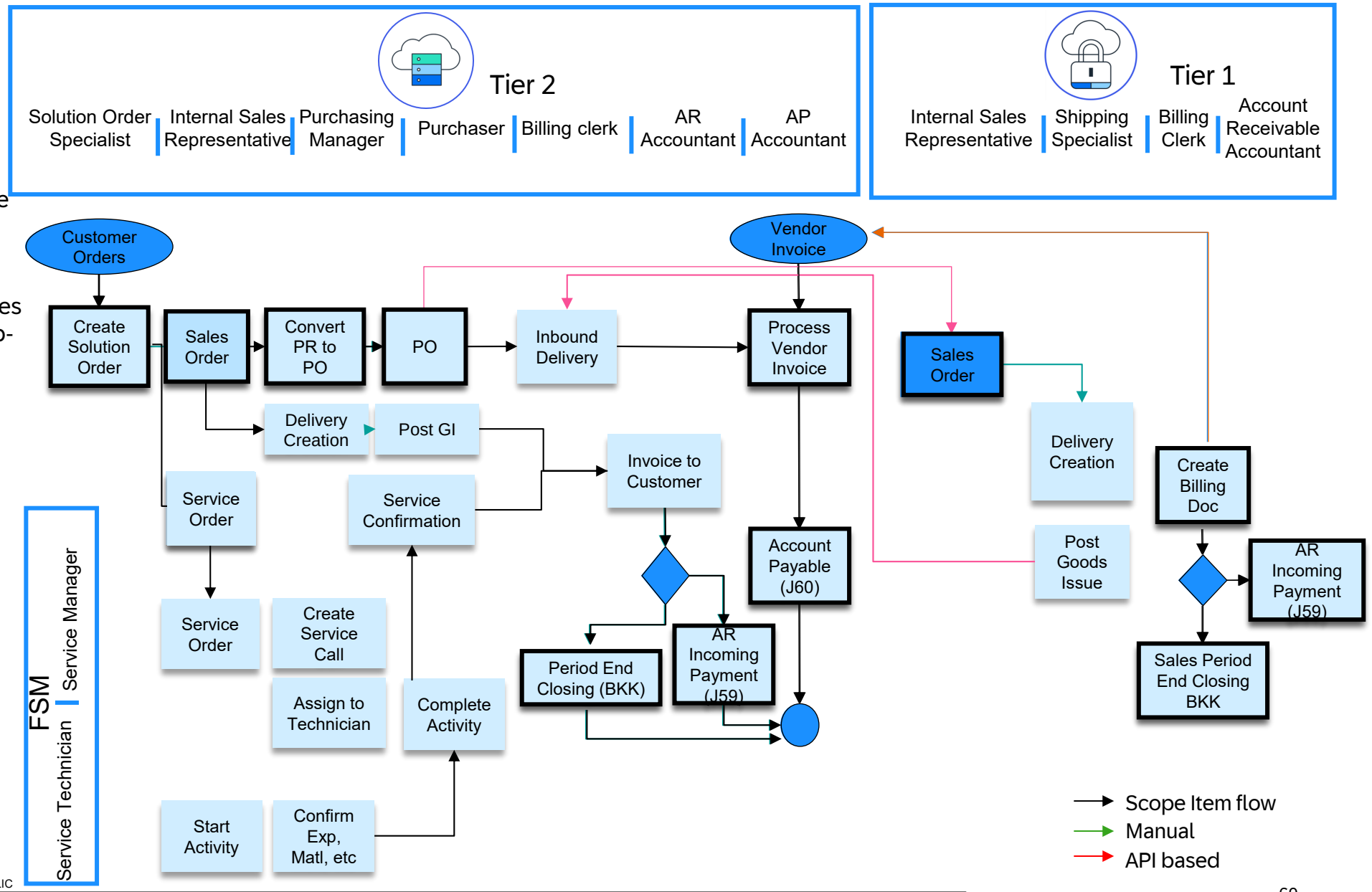
- Receive the automatically generated sales order with sold-to as subsidiary and ship-to as the subsidiary
- Once the sales order is confirmed, EDI based approach is used to confirm the purchase order at subsidiary
- Delivery is created and GI to subsidiary

Tier 1

- Receive goods from headquarters and ship to Customer
- Service order gets replicated to FSM for agent to Install the equipment.

Tier 1

- Billing document is created and bill to subsidiary, corresponding supplier invoice will be created automatically at subsidiary.
- Subsidiary bills the customer



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Warranty Claim process in Headquarter-Subsidiary Model

Business Benefits

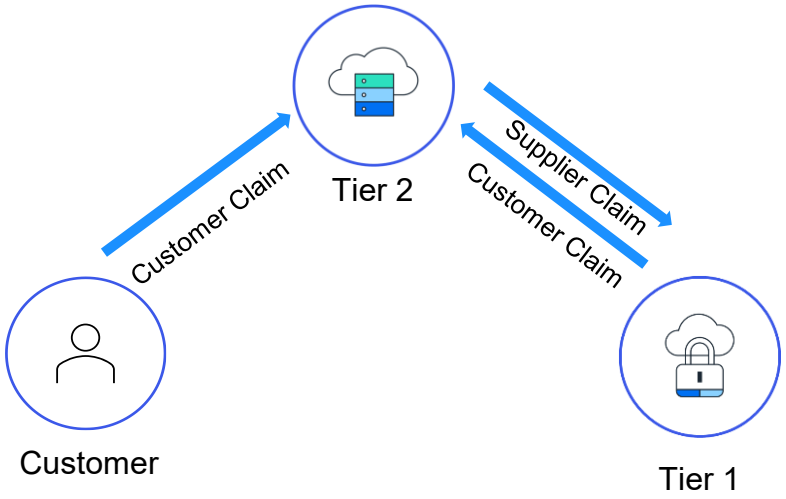
- Seamless Integration between headquarter and Subsidiary.
- Simplified Vendor Claim reimbursement from Headquarters.
- End to end claim reimbursement after the service
- Reduction in data entry points from business user

Pre-requisite:

- Customer and Material Master are in sync between two systems

Relevant Scope Item

63Y , 5HR



Deployment Options

Tier1:

Tier2:

Deployment Scenarios

- HQ – Subsidiary

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Warranty Claim process in Headquarter-Subsidiary Model

Services

Tier 2

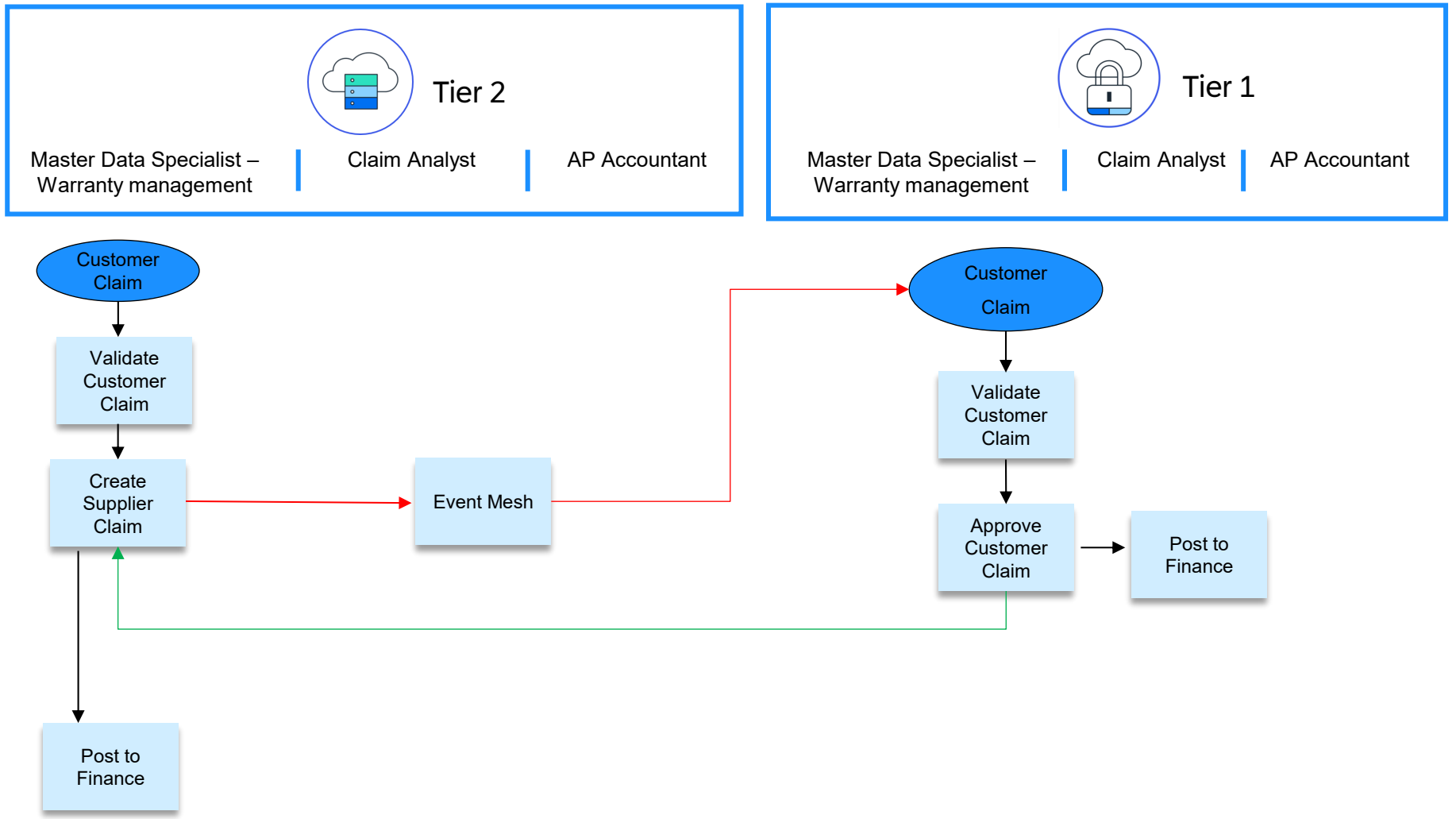
- Customer claim created with an equipment in concern , warranty information updated based on the maintained Equipment warranty and is validated
- Validate and Accept Customer Claim
- Initiate Supplier Claim with the Equipment in concern , warranty information updated based on the maintained Equipment warranty and validated
- Post Customer Claim
- Close Customer Claim
- Send Supplier claim to Headquarter

Tier 1

- Receive the details of the Supplier claim
- Creation of Customer claim based on the Supplier claim
- Validate Customer Claim
- Approve Customer Claim

Tier 2

- Maintain Supplier Responses in the Supplier Claim and maintain the approve
- Post to Finance



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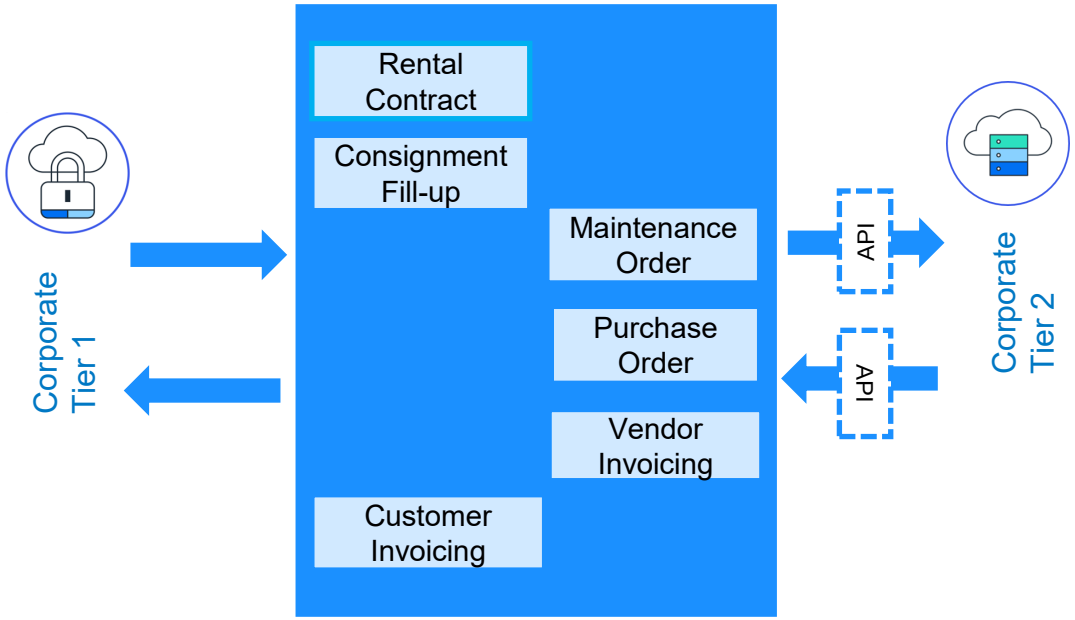
Predictive Maintenance with Service Integration in Headquarter-Subsidiary Model

Business Benefits

- Predictive maintenance through IoT enable data analytics ensure there is zero downtime of the equipment which in turn enhances customer satisfaction.
- Enable real-time condition monitoring and predictive, collaborative maintenance to improve services and support.
- Experience greater automation for maintenance order in Two-Tier ERP. Seamless Integration of transactional steps like creation of service order at subsidiary.
- Reduction in the data entry points from the business users.
- Enable higher degrees of scalability with process efficiency gains

Relevant Scope Item

3D2, BH1, 2EL



Deployment Options

Tier1:

Tier2:

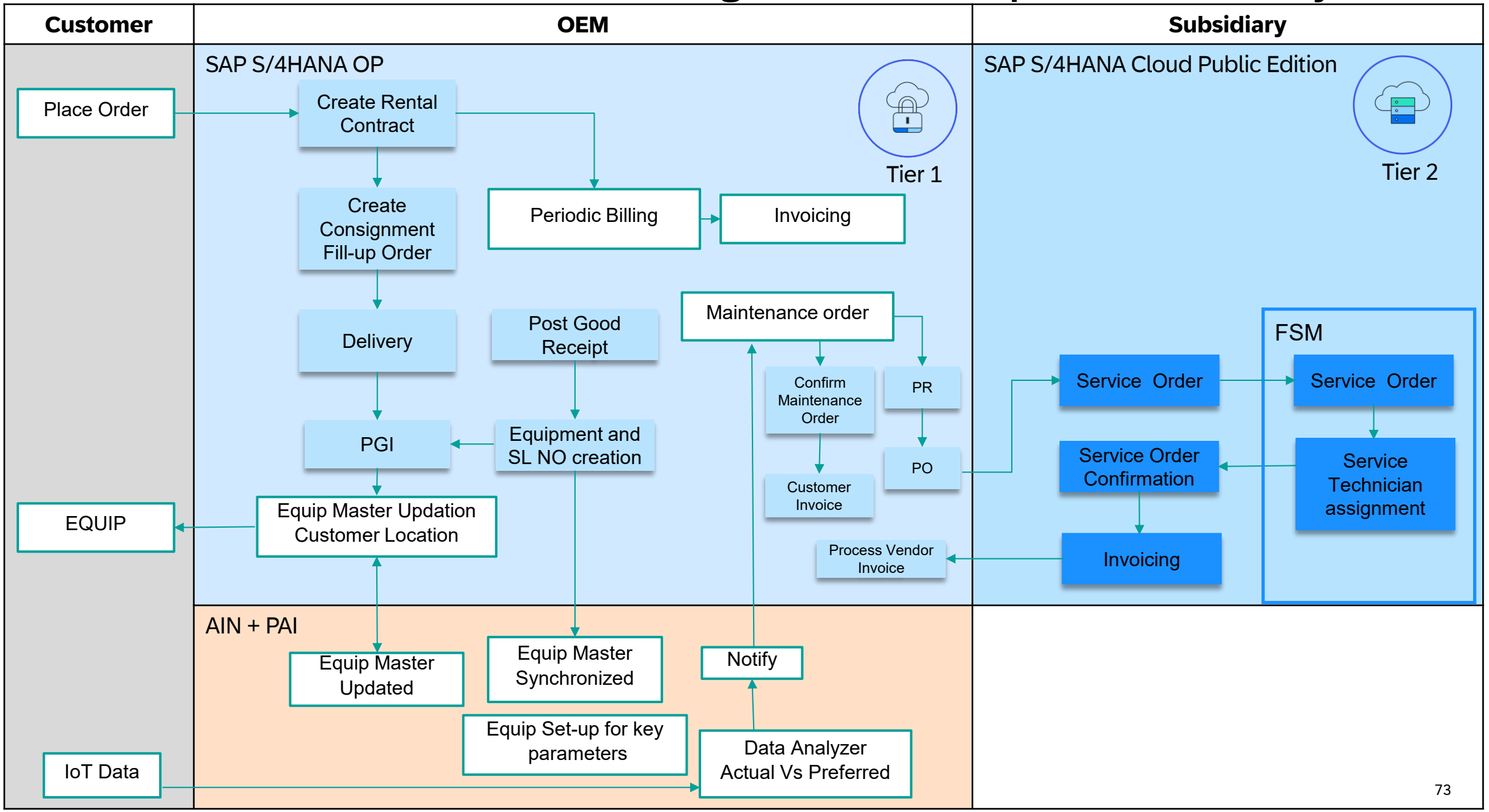
Deployment Scenarios

- HQ – Subsidiary

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Predictive Maintenance with Service Integration in Headquarter-Subsidiary Services



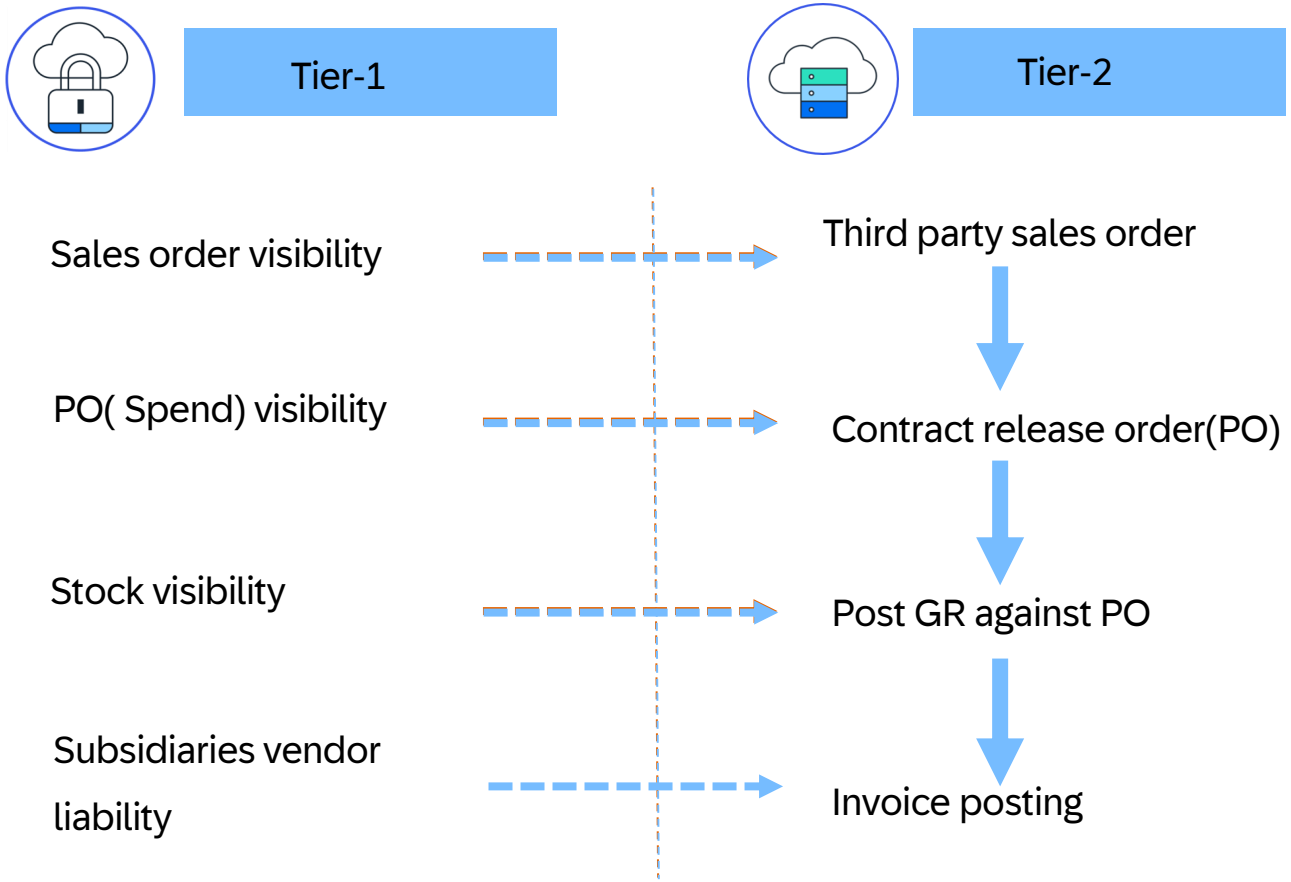
Procurement Processes



Procurement Directly by Tier-2 with Visibility to Tier-1

Business Benefit

- More autonomous procurement functions at Tier-2
- Organizations can play more strategic role since procurement operations are managed at Tier-2
- Improved Process, stocks and spend visibility
- Productivity improvement across Corporate network by defining clear roles & responsibilities



Deployment Option

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary
- Corporate - Affiliates

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*Visibility across the tier: please refer to the blog post:Analytics in Two-Tier Scenario

Procurement Directly by Tier-2 with Visibility to Tier-1

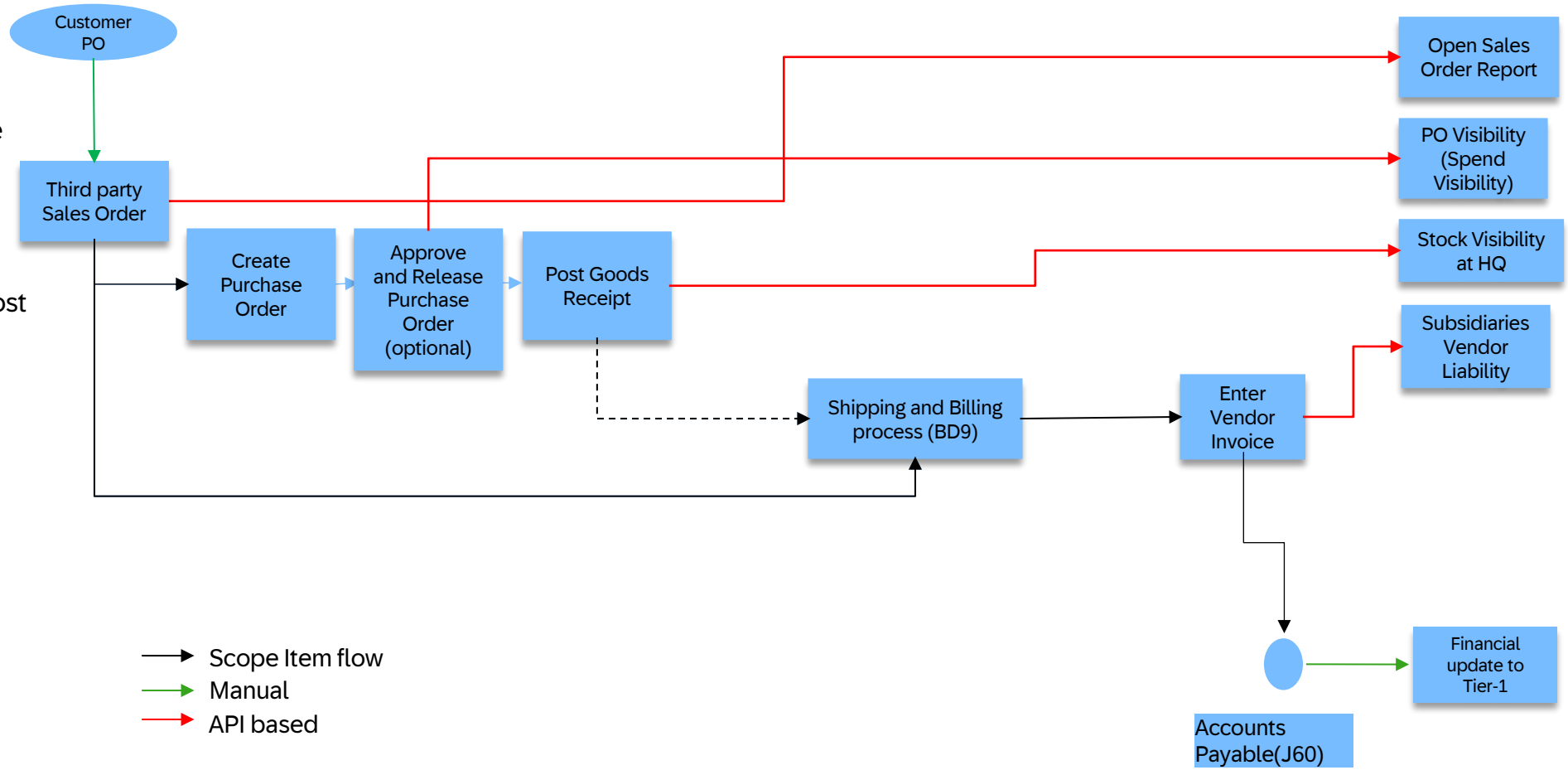
Relevant Scope Items:

J45, BD9



Capabilities

- Tier-2 is equipped to run the procurement and manufacturing operations with ability to manage local inventory.
- Tier-1 would prefer that the purchasing operations be independently be carried out by tier-2 for operational ease and cost effectiveness.

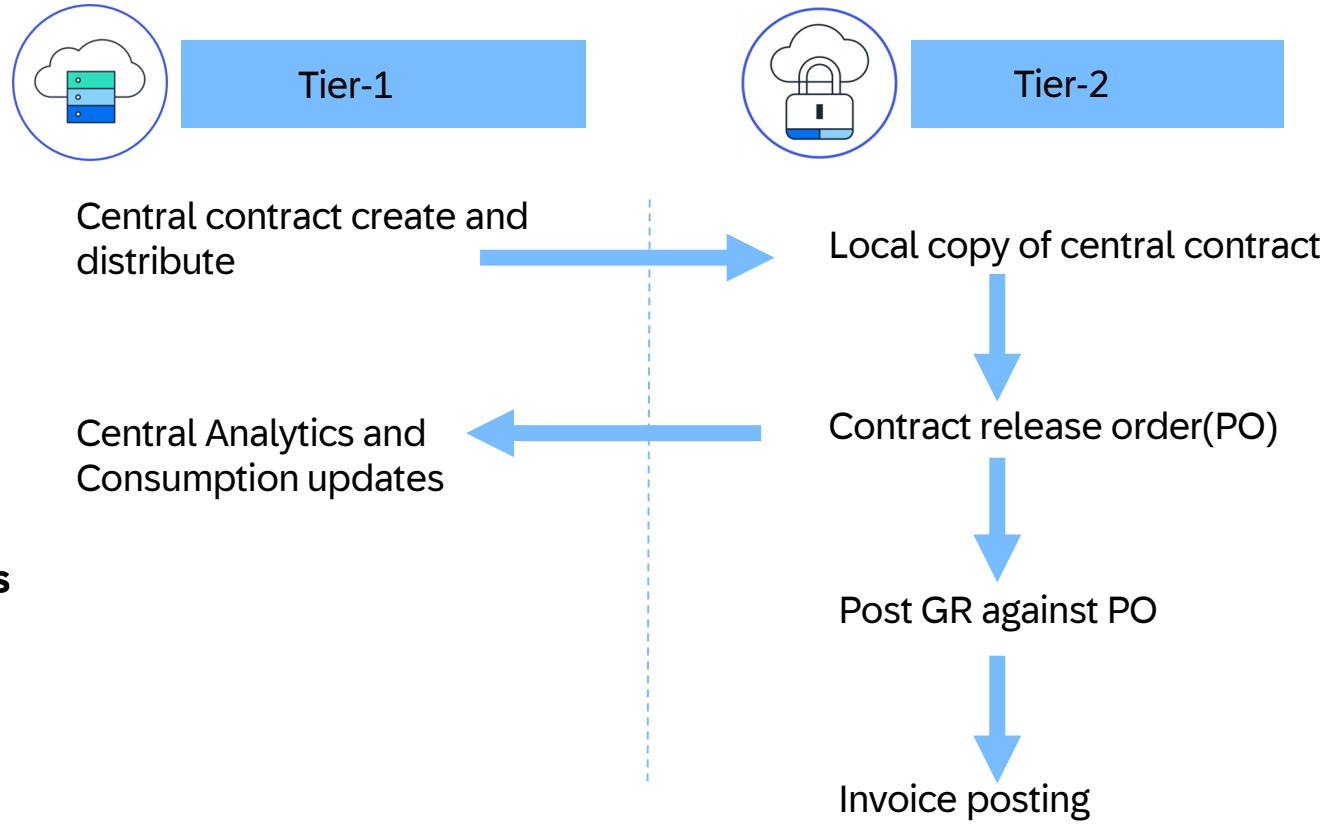


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Procurement - Central Contract

Business Benefit

- Central monitoring of contract consumption across the systems network
- Renewal of expiring contracts is easily managed by the central team
- Improved process, transparency, stocks and spend visibility
- Leveraging volumes results in overall lower costs



Deployment Option

Tier 2:

Tier 1:

Deployment Scenarios

- HQ – Subsidiary
- Corporate - Affiliates

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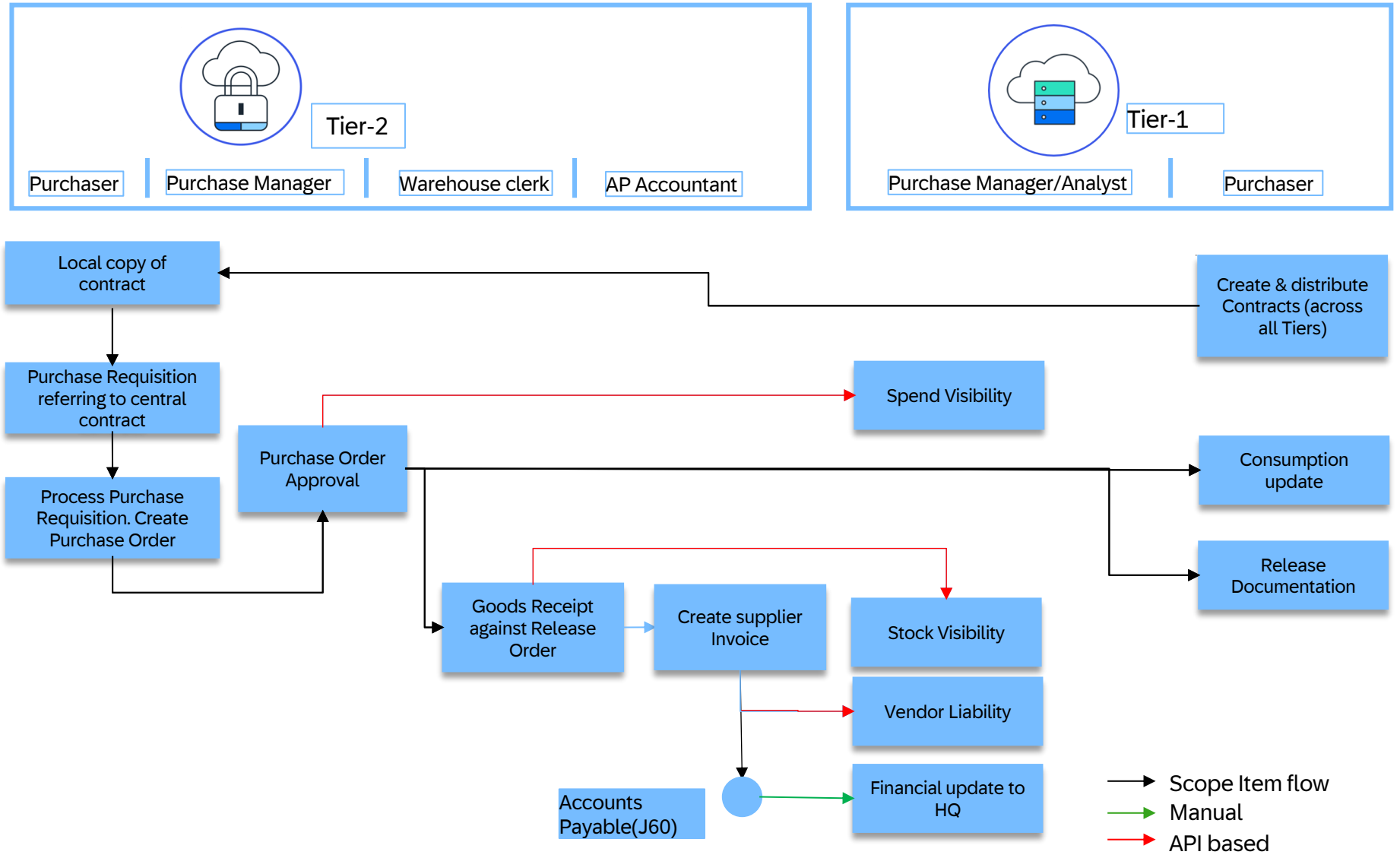
Procurement - Central Contract

Relevant Scope Items:

2ME

Capabilities

- These contracts are typically negotiated centrally, mostly at the Tier-1, and used for globally driving operational efficiency, reduced cost while complying with regulations across multiple Tier-2 systems.
- Once negotiated, the central contract at Tier-1 can be replicated to the relevant Tier-2 systems and used for procurement.



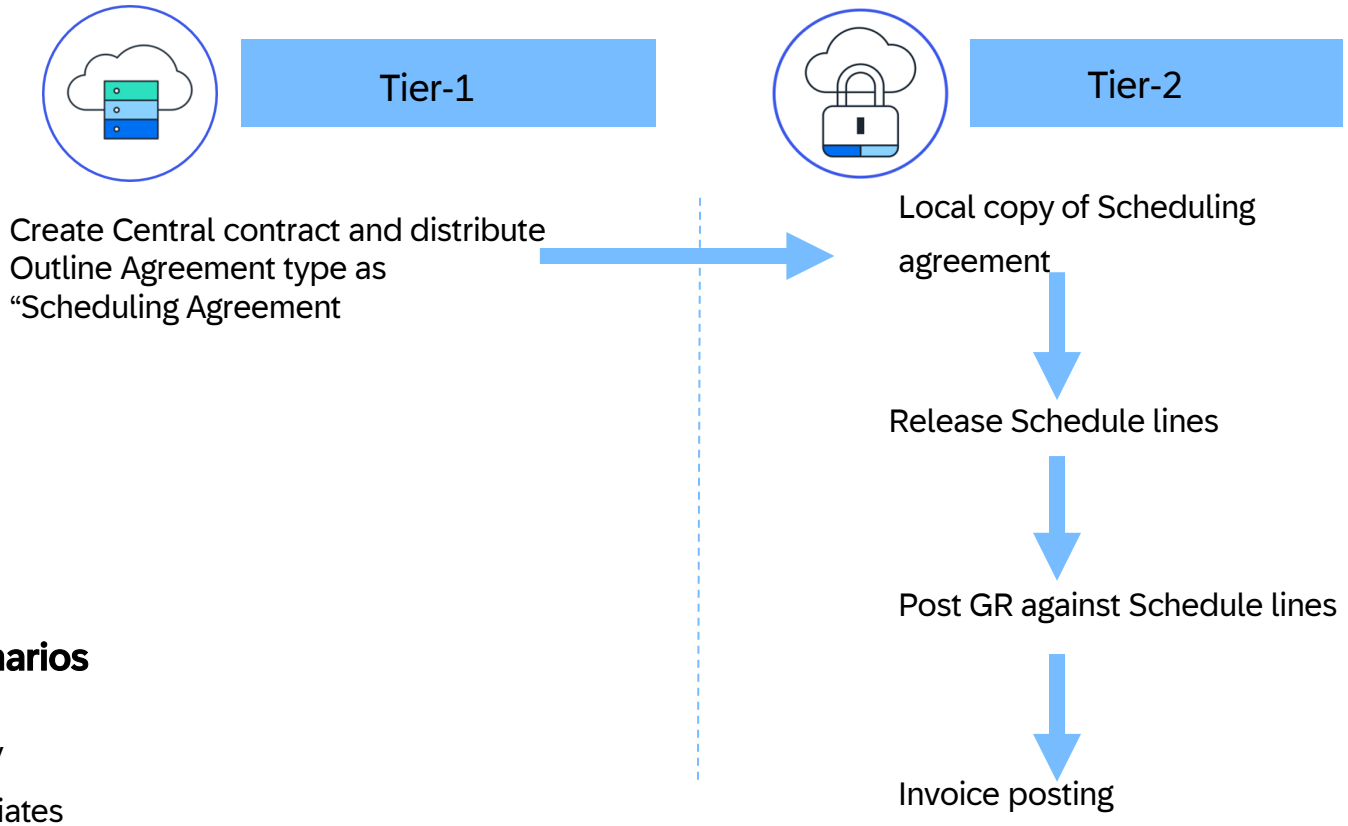
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Procurement - Centralised Scheduling Agreement

Business Benefit

- Reduces the cost of procurement operations by reducing no of purchase documents created in the system
- Improved transparency
- Streamlined process



Deployment Option

Tier 2:

Tier 1:

Deployment Scenarios

- HQ – Subsidiary
- Corporate - Affiliates

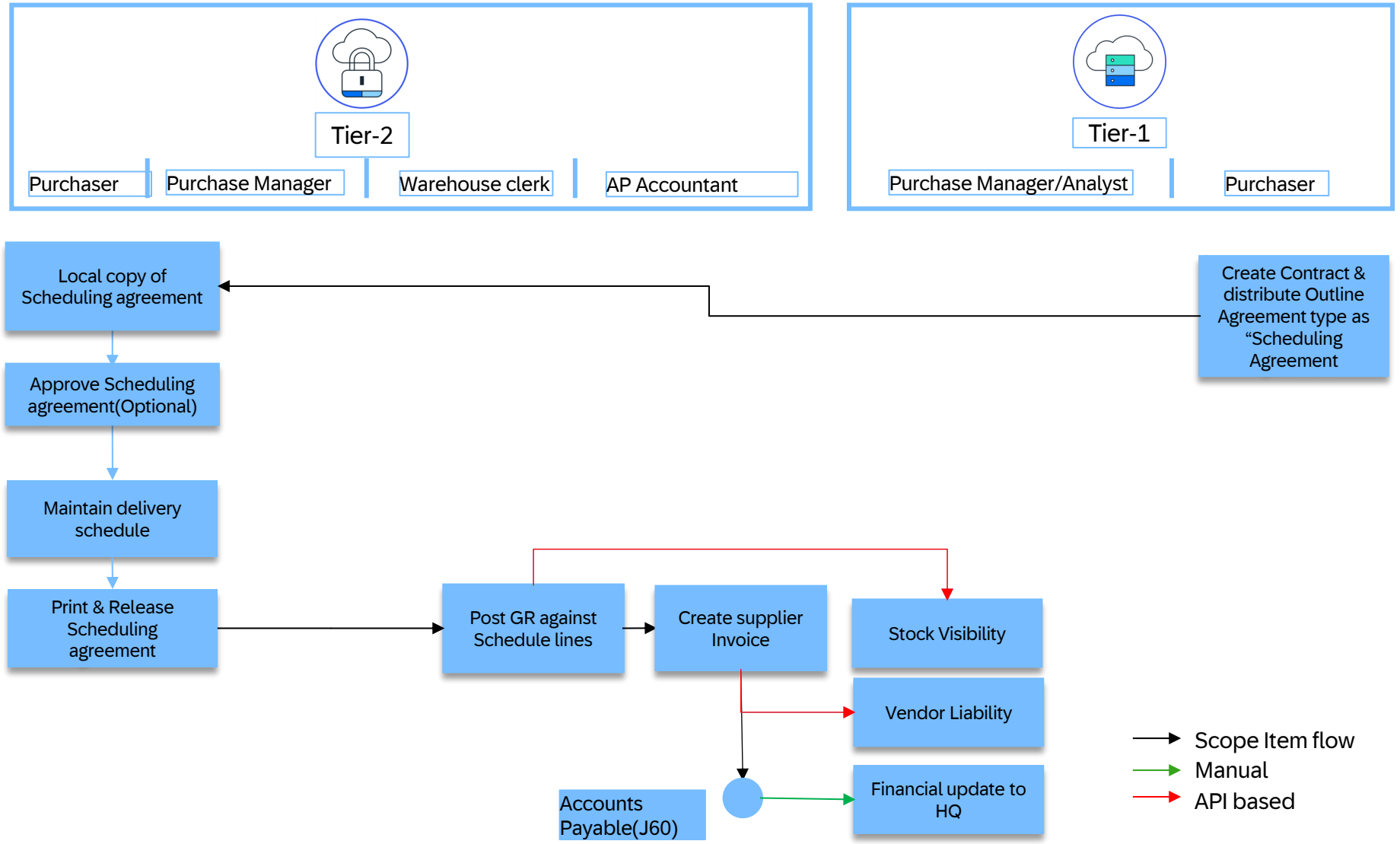
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Procurement - Centralised Scheduling Agreement

Relevant Scope Items:
2ME, BMR

Capabilities

- Centralized scheduling agreement is a long term outline agreement between vendor and ordering party over a predefined material or service which are procured on predetermined dates over a framework of time.
- Scheduling agreement with and without release information (LP and LPA) shall be supported
- Scheduling agreement shall not be editable in the connected Tier-2 systems. However, Schedule lines can be manually added in the Tier-2 system



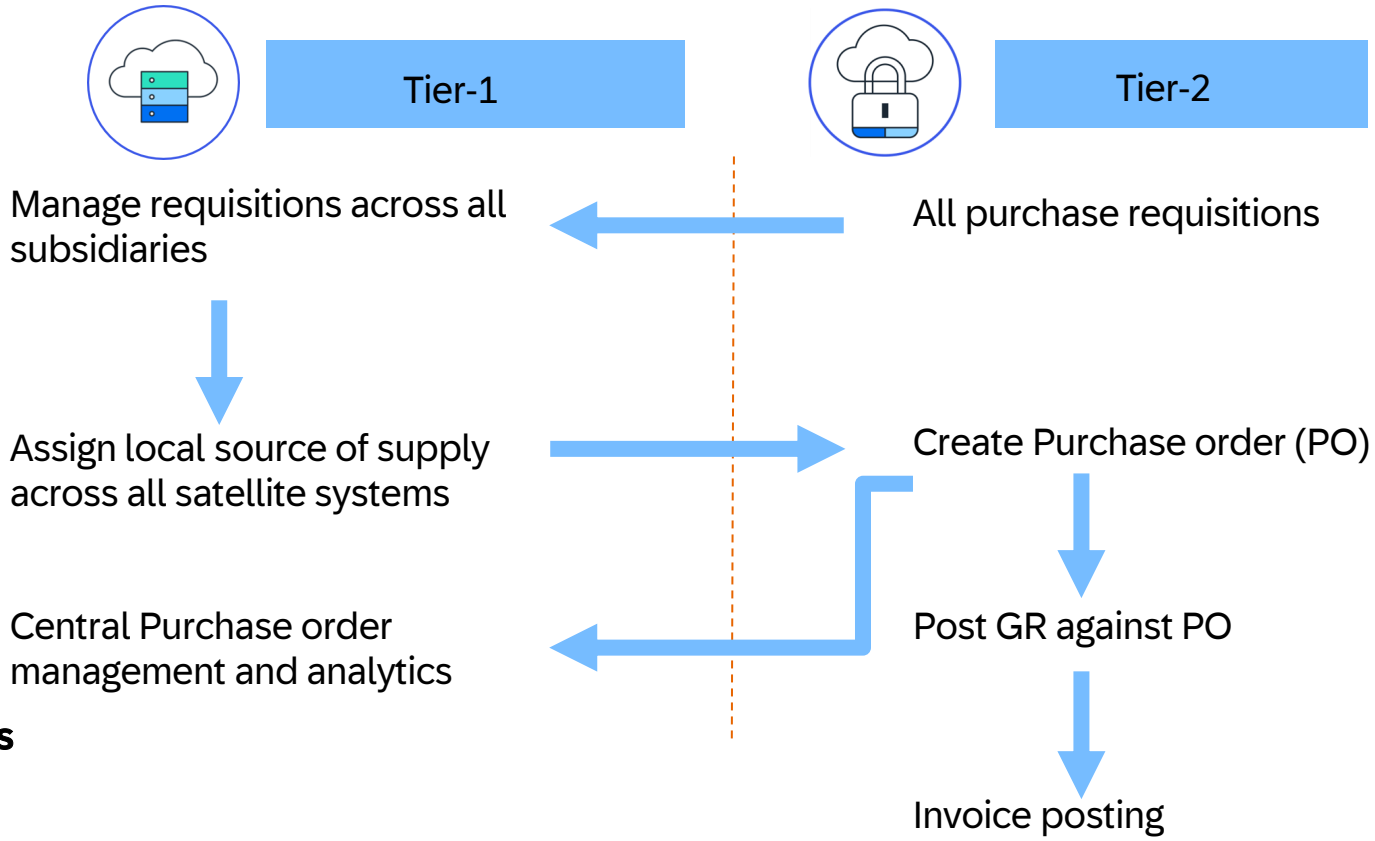
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Procurement - Central Purchasing

Business Benefit

- Managing purchasing documents from central portal as a single access point
- Centralized approval for purchasing documents to stream line process
- Real time central analytics for continuous monitoring



Deployment Option

Tier 2:

Tier 1:

Deployment Scenarios

- HQ – Subsidiary
- Corporate - Affiliates

Visibility across the tier: please refer to the blog post:[Analytics in Two-Tier Scenario]

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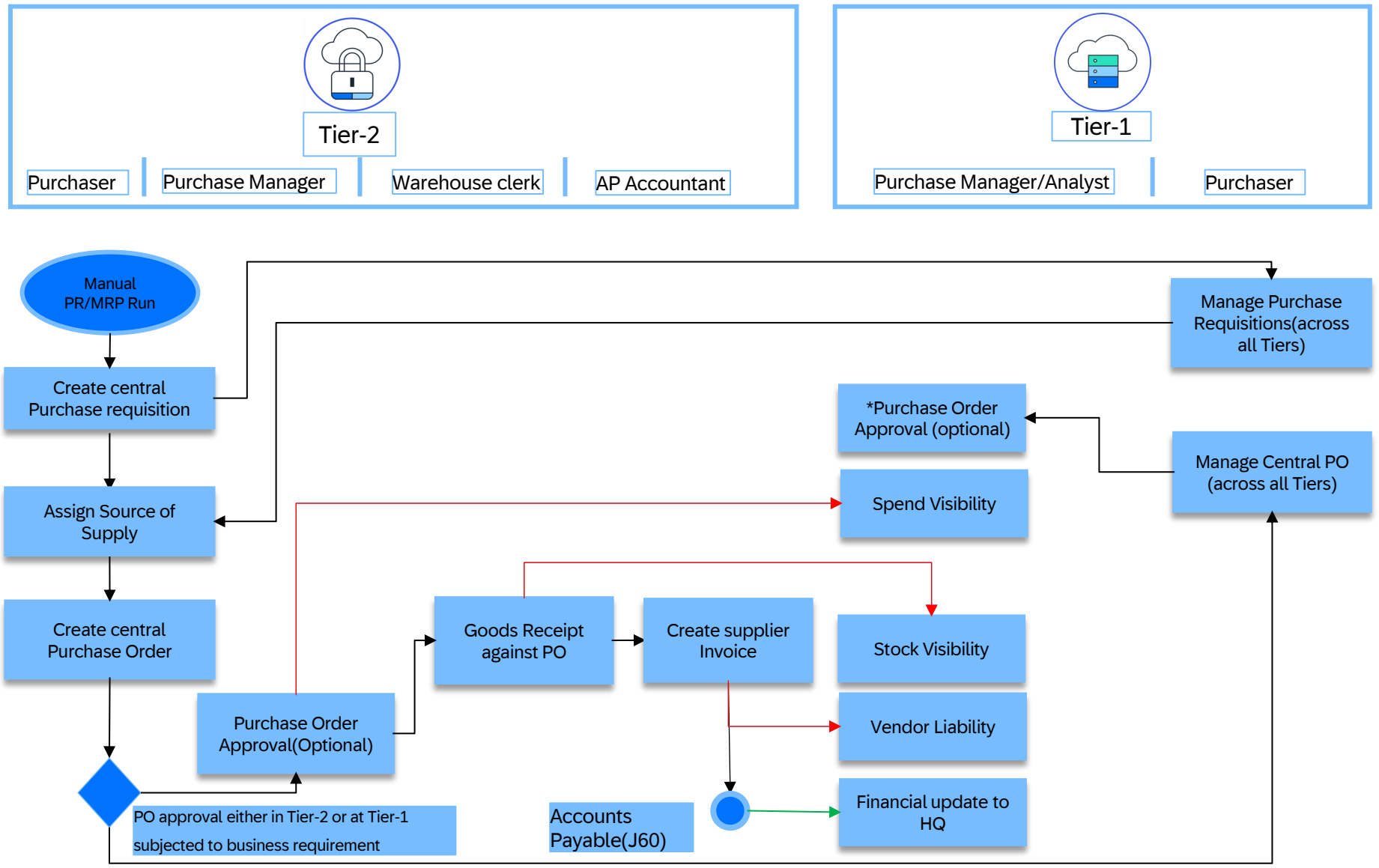
Procurement - Central Purchasing

Relevant Scope Items:

2XT

Capabilities

- Purchasers can access to all unsourced purchase requisitions and can assign to them to a valid a source of supply, to create a purchase order out of it.
- For extracting the Purchase orders an application jobs needs to be scheduled in the SAP S/4HANA HQ system.
- * PO can go through approval steps with in Tier-2 system or at Tier-1 itself subjected to business rules

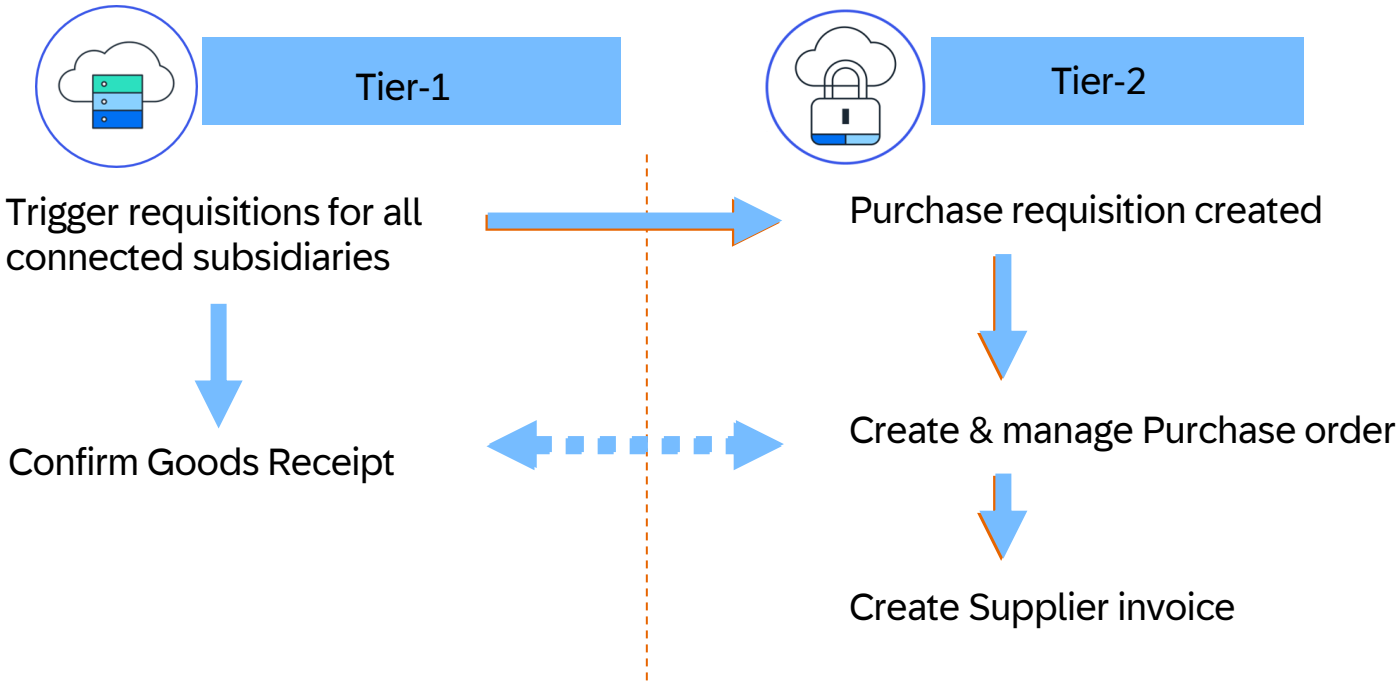


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Procurement- Central Requisitions

Business Benefit

- Single view point for employees and possibility to process procurement activities centrally
- Reduce TCO significantly for procurement departments through centralized process



Deployment Option

Tier 2:

Tier 1:

Deployment Scenarios

- HQ – Subsidiary
- Corporate - Affiliates

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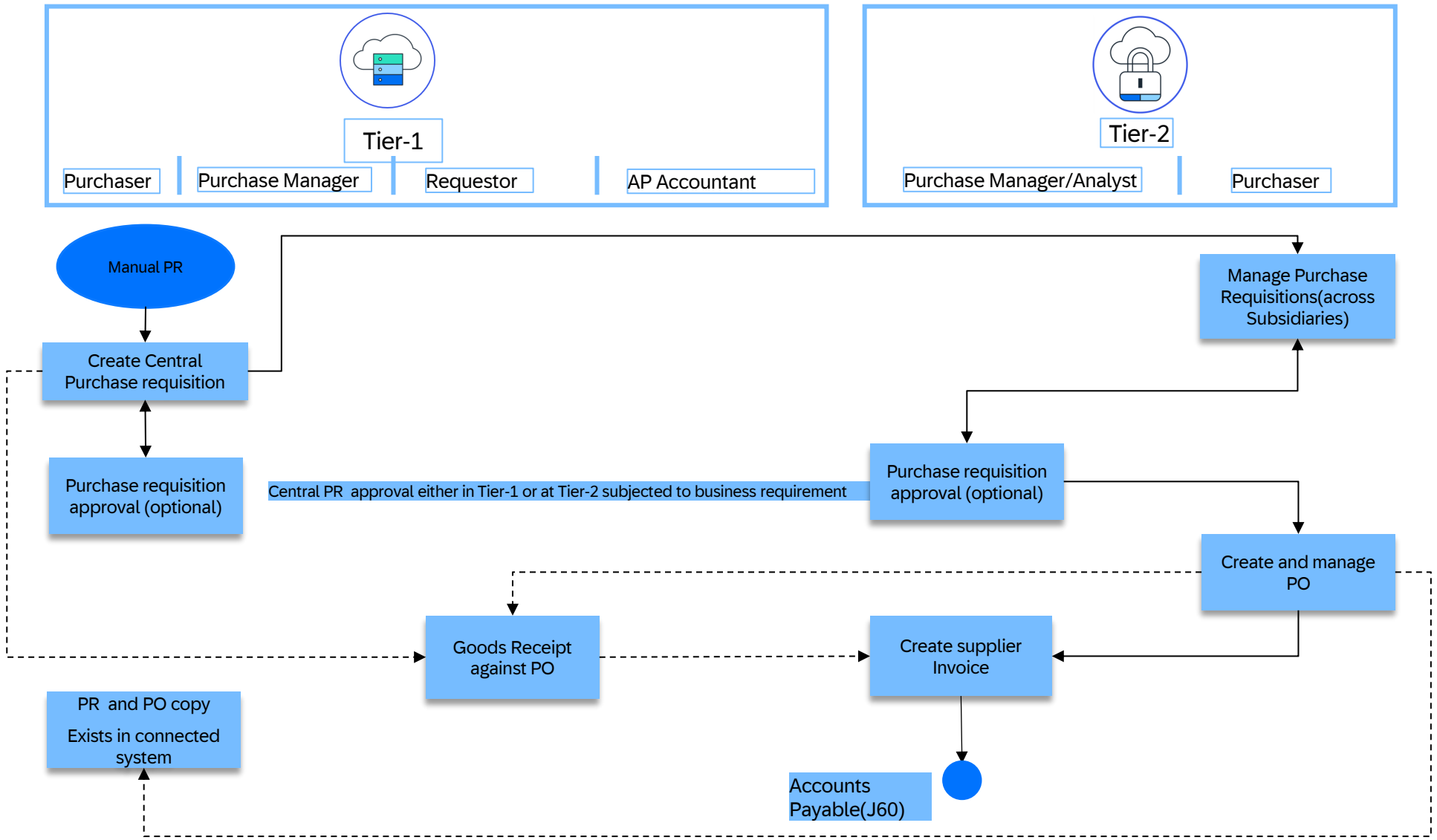
Procurement- Central Requisitions

Relevant Scope Items:

1XI

Capabilities

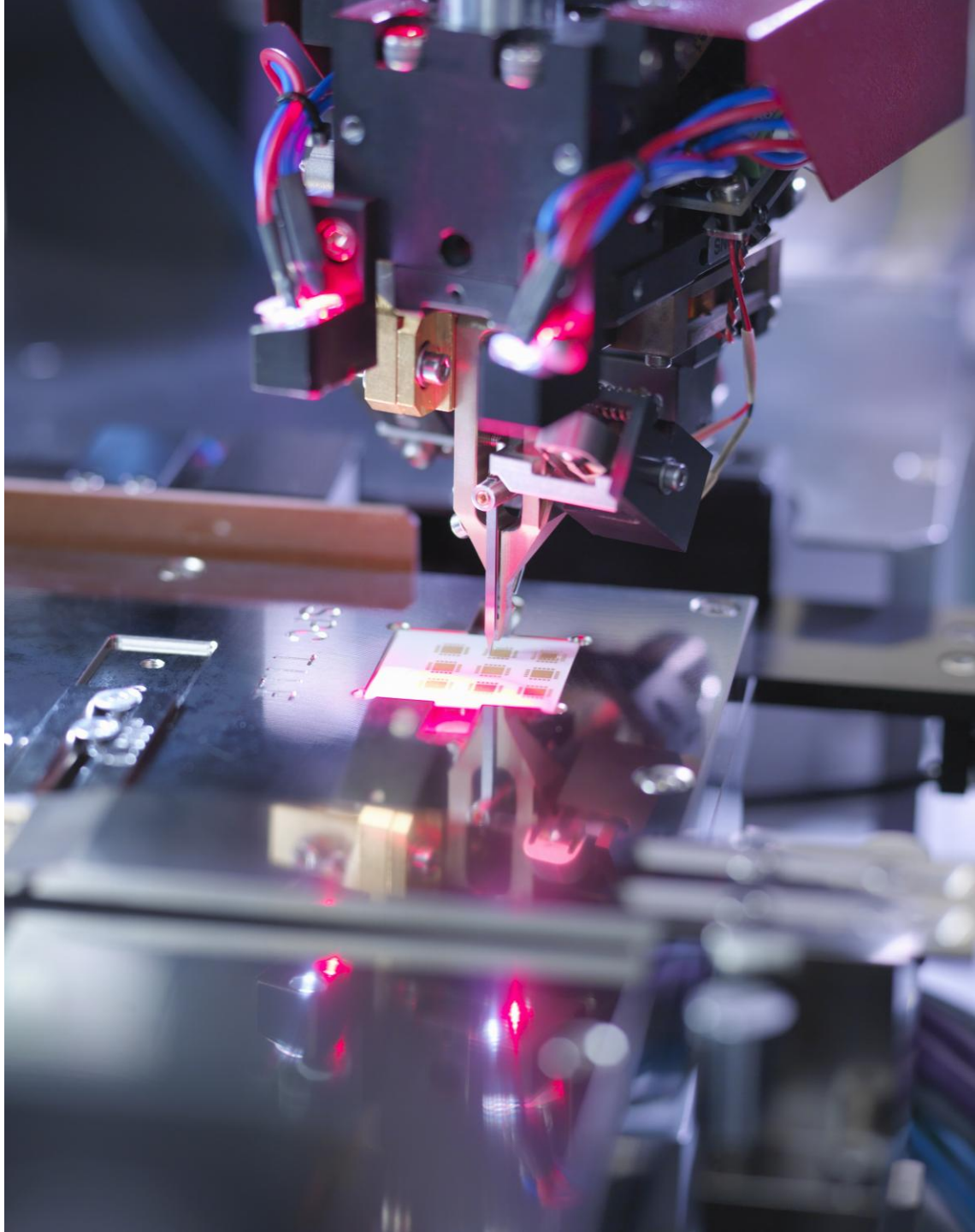
- Purchasers can access to all purchase requisitions and can assign to them to a valid a source of supply, to trigger a purchase order in the connected system.
- Requestor can confirm goods in Tier-2.
- * PR can go through approval steps with in Tier-2 system or at Tier-1 itself subjected to business rules



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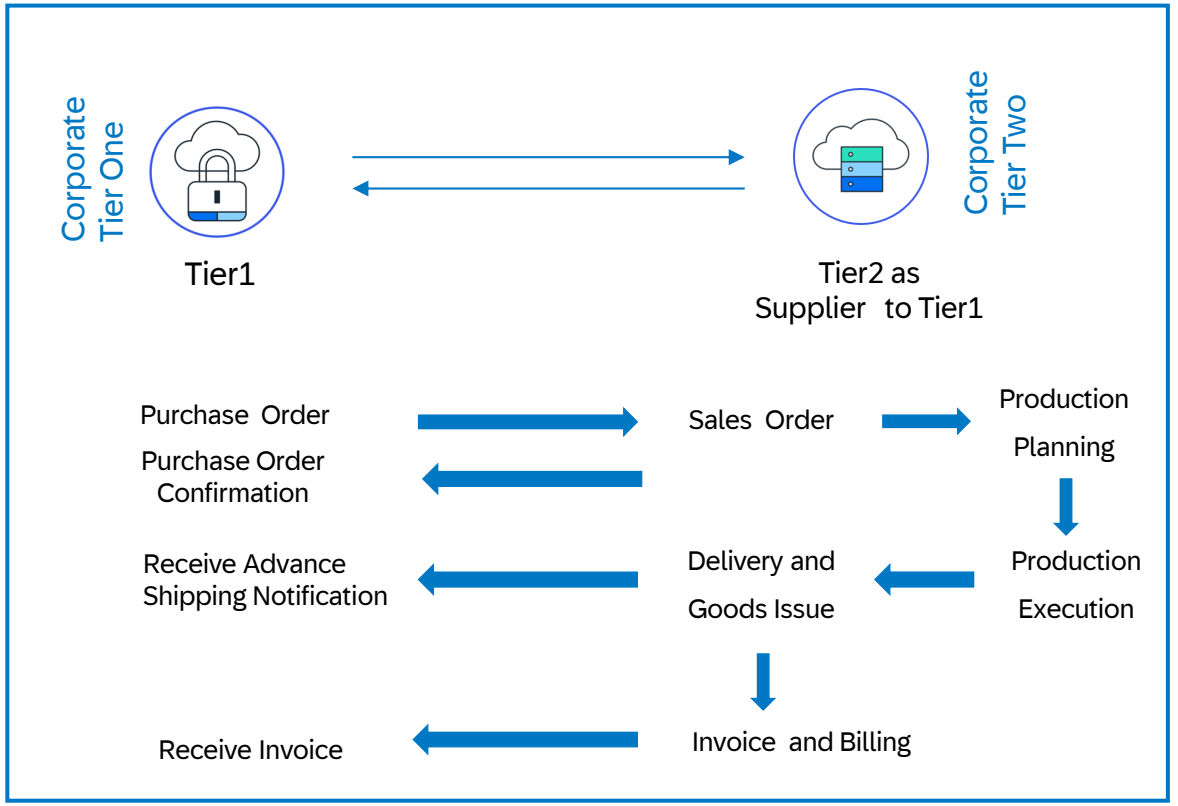
Manufacturing Processes



Subsidiary as Production Unit and Internal Supplier to Headquarters

Business Benefits

- Reduces manual activities at Tier2
- HQ gain immediate insights about Subsidiaries activities to drive faster business decisions and optimal resource utilization
- Enables HQ to improve planning accuracy due to visibility of component stocks at Subsidiaries thus facilitates controlling the Inventory effectively and meeting customer demand promptly
- Tier2 receives the accurate demand from Tier1
- It provides end to end visibility on business process
- Simpler master data maintenance. Due to common master data across HQ and Tier2
- Good visibility of Tier2 production data at HQ, helps in better decision making



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary
- Corporate – Affiliates

Visibility across the tier: please refer to the blog post:[Analytics in Two-Tier Scenario]

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Subsidiary as Production Unit and Internal Supplier to Headquarters

Manufacturing

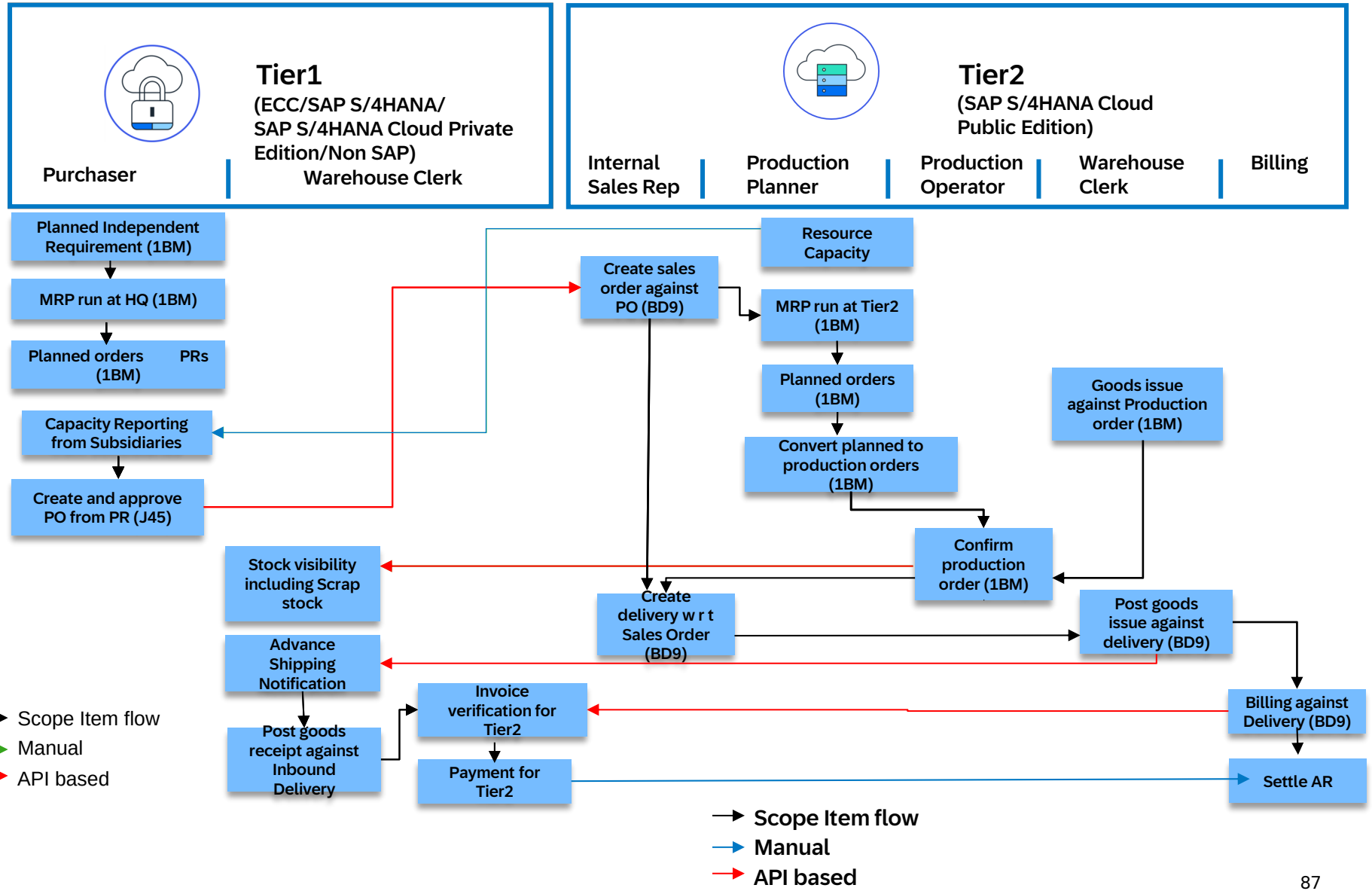
Relevant Scope Items: 21T

Tier1

- Plan for the Finish Goods with Planned Independent Requirements
- Headquarter runs the MRP and generates Purchase Requisition, requirement for components from Tier2
- Headquarter converts Purchase requisition to Purchase Order for Tier2 which will create Sales Order at Tier2 automatically

Tier2

- Tier2 gets the Sales Order created automatically with reference to PO from HQ and send Order confirmation back to HQ
- MRP creates Planned Order for materials
- Production planners analyze and manually change planned order based production plan
- Goods Issue against the production order.
- After Production, order is confirmed to create stock, and Tier1 views stock at Tier2
- Tier2 creates goods issue against the delivery which creates the Advance shipping notification at Headquarter
- Billing from Tier2 which creates the Invoice for Tier2 at Headquarter



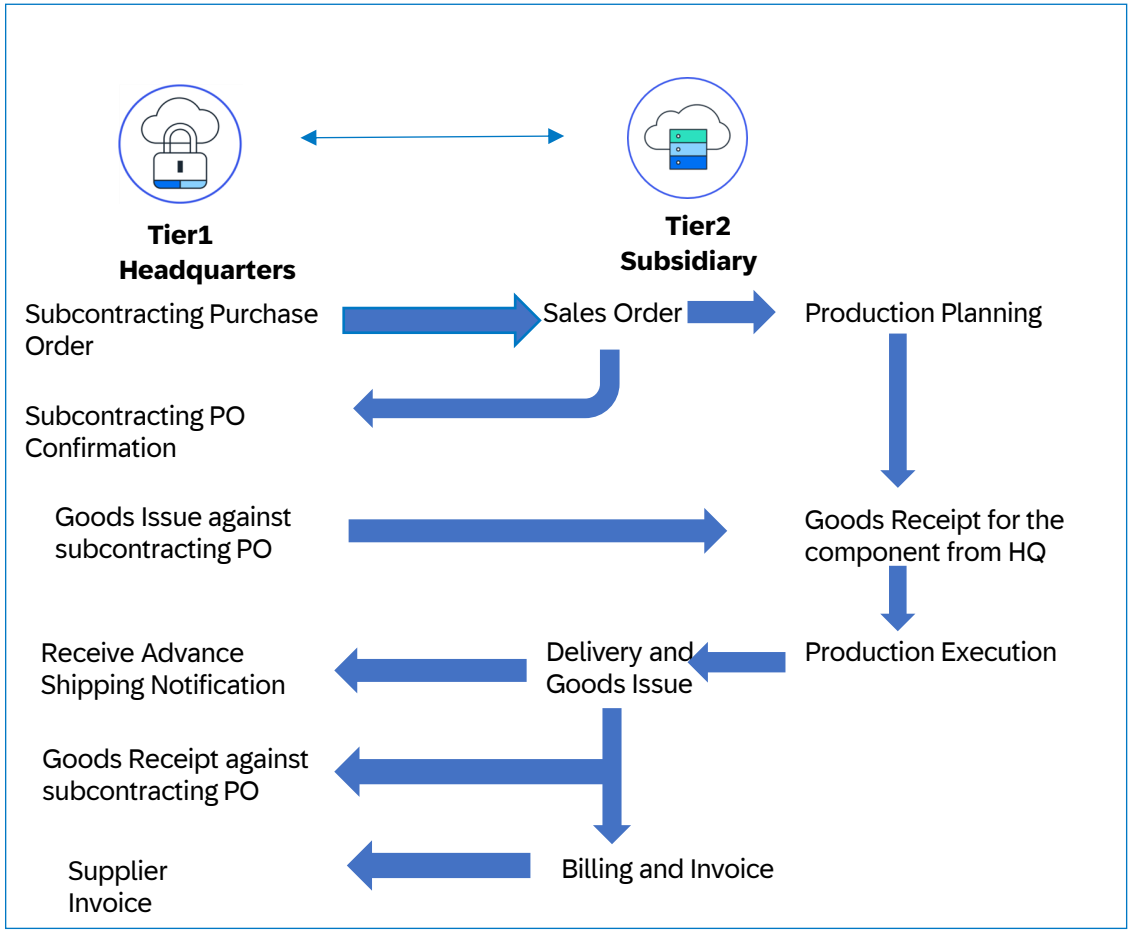
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Enable Manufacturing Subsidiary to Handle Assembly for Headquarters

Manufacturing

Business Benefits

- Subsidiaries planning considers demands from Tier1 thus avoiding shortages and emergency situations
- The Headquarter gets complete visibility of
  - the production process and
  - available inventory at subsidiaries
- The Headquarter can monitor the performances of their subsidiaries.



Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary
- Corporate – Affiliates

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Enable Manufacturing Subsidiary to Handle Assembly for Headquarters

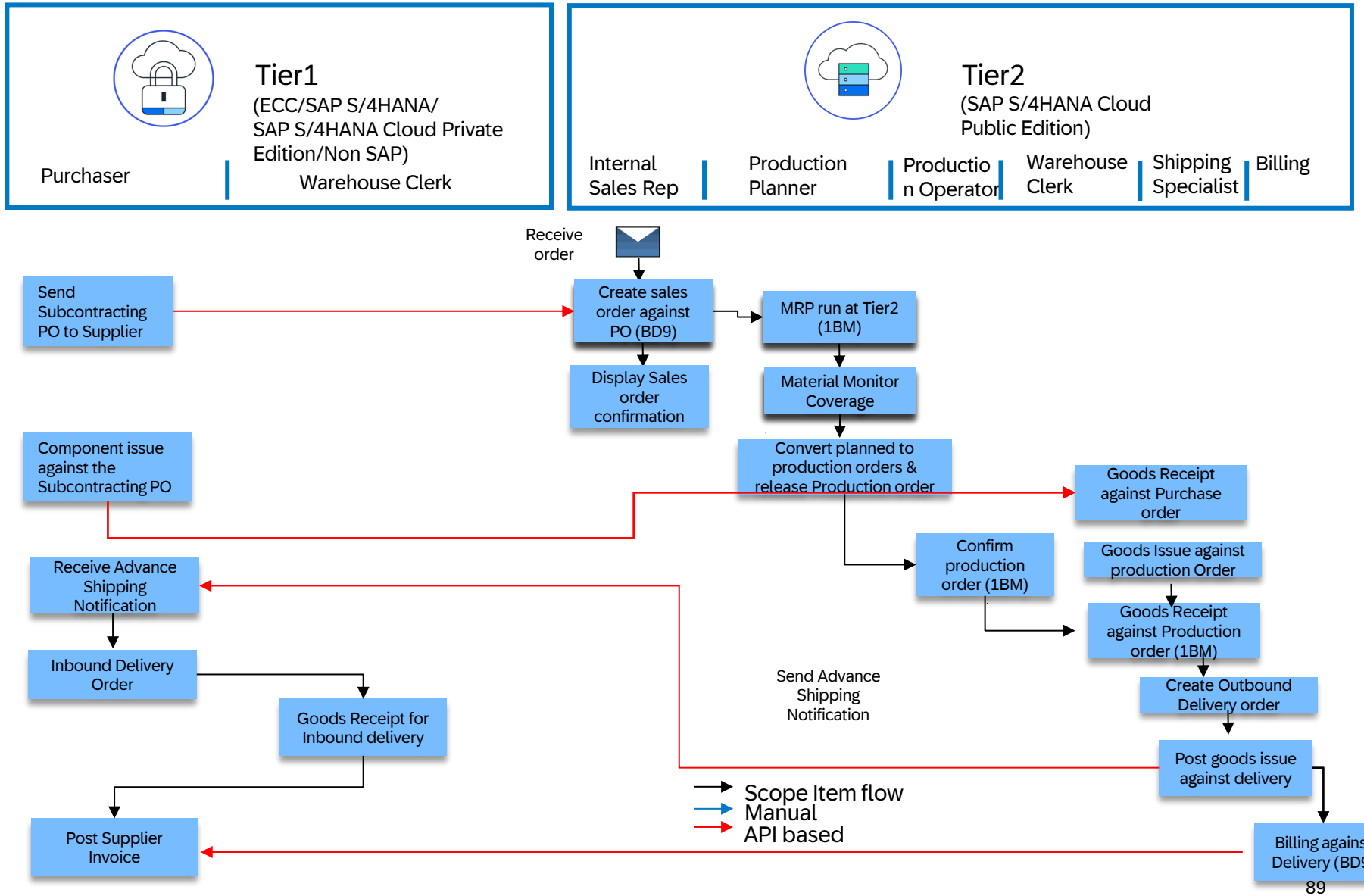
Relevant Scope Items: 2WL

Tier1

- The HQ creates subcontracting purchase order for the Assembly. A corresponding sales order triggered at the subsidiary and confirmation would be sent back to headquarter automatically.
- Goods issue would be posted against the subcontracting purchase order.

Tier2

- Subsidiary runs MRP to fulfill the demands generated by the sales order from Headquarter, will generate planned orders and purchase requisition at Subsidiary for the assembly and components for Goods Issue against the production order.
- Once the stocks are available at Subsidiary from Production process, Warehouse clerk at Subsidiary will create the outbound delivery against the sales order with Customer as HQ and Tier2 creates goods issue against the delivery which creates the Advance shipping notification at Headquarter
- An Advance Shipping notification would be sent to headquarter automatically. Finally billing document would be generated and an invoice would be sent to HQ for payment automatically



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Just-in-Time Supply to Customer

Business Benefit

- Just-in-Time (JIT) processing is a common practice in Automotive Industry for efficient demand-driven production and logistics across supply chains
- Long-term supply relationships are in place between supplier and customer, with outline agreements upon target quantities per material for a contract period, e.g. one year
- The customer sends JIT calls to transfer dedicated requirements for delivery within a short-term horizon

Deployment Options

Tier 1:

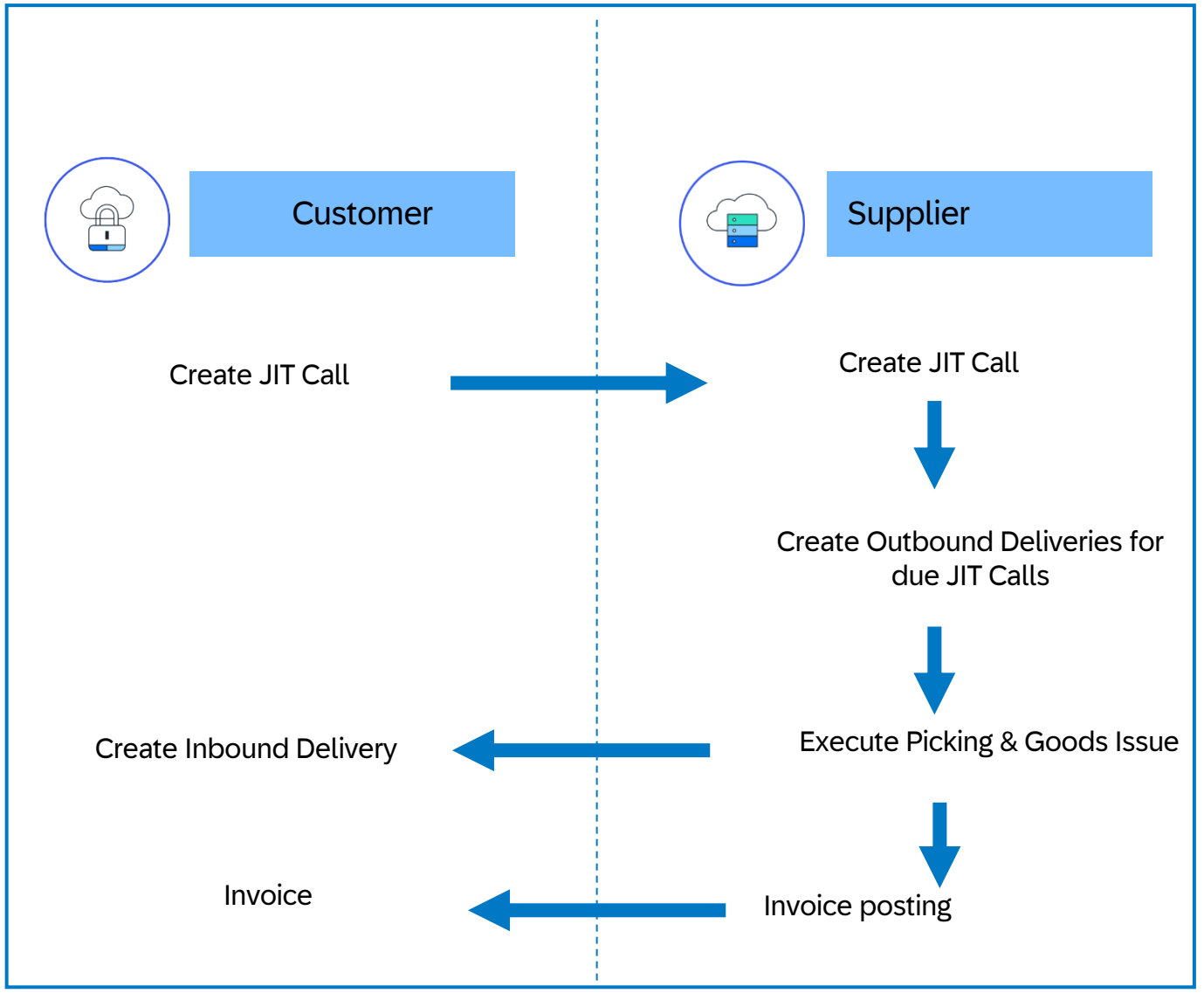


Tier 2:



Deployment Scenarios

- Supply Chain Eco-system



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Just-in-Time Supply to Customer

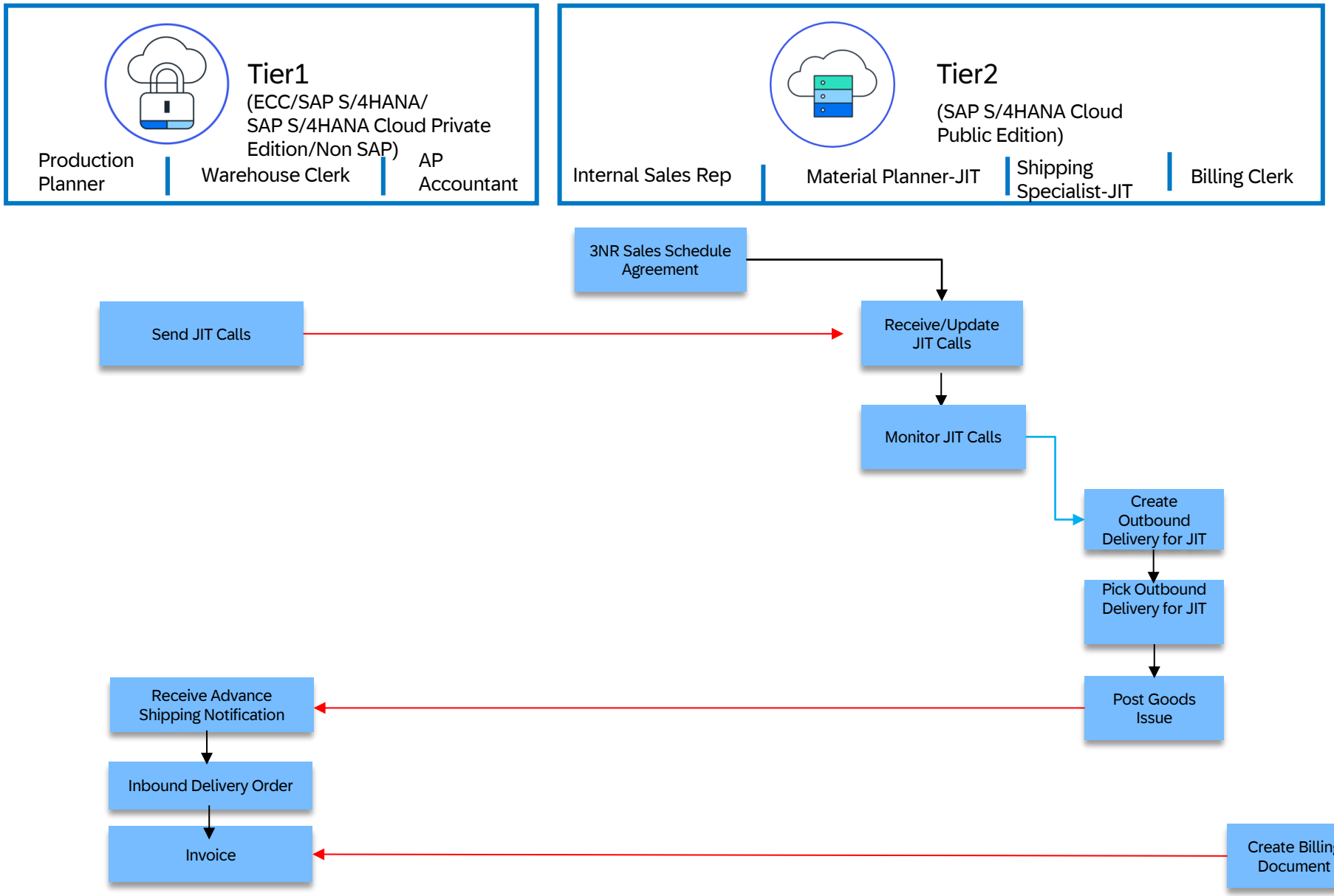
Relevant Scope Items: 2EM

Tier1

- Trigger JIT call from On-premise system. This will be transferred to Tier 2 system ie Supplier system.
- Purchase schedule agreement document should be created with type LPA and the Kanban indicator should be set.

Tier2

- Tier2 gets the JIT calls from the Tier 1 system. Based on which Shipping specialist creates the Outbound delivery order based on the JIT call. You can combine multiple JIT calls into single delivery item. You can also change the delivery quantity.
- Next step Shipping Specialist picks the goods from the storage location and do post goods issue of the material.
- After the PGI, there will be automatic Advance Shipping notification sent out to OEM system. Suppose if you would like to verify the confirmation has been sent out. Then check the Delivery document output status. It should be under completed status.
- Finally billing clerk will do the billing. An invoice is created and sent from the SAP S/4HANA system (supplier side) to the Buyer system.



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Two -Tier based pMRP and Scheduling Agreement Integration

Business benefits

- Capability to create simulations at both the headquarters and subsidiary considering types of flexible constraints, enabling to plan effectively with resource-based simulations.
- Joint planning between HQ and subsidiary to arrive at consensus plan for the final product and subassembly.
- Operative planning to intimate FRC schedules with forecast based schedules for subsidiary to initiate material resource planning.
- JIT schedule lines from headquarters as firm quantities to deliver to help maintain lean inventory and production avoiding material shortage.

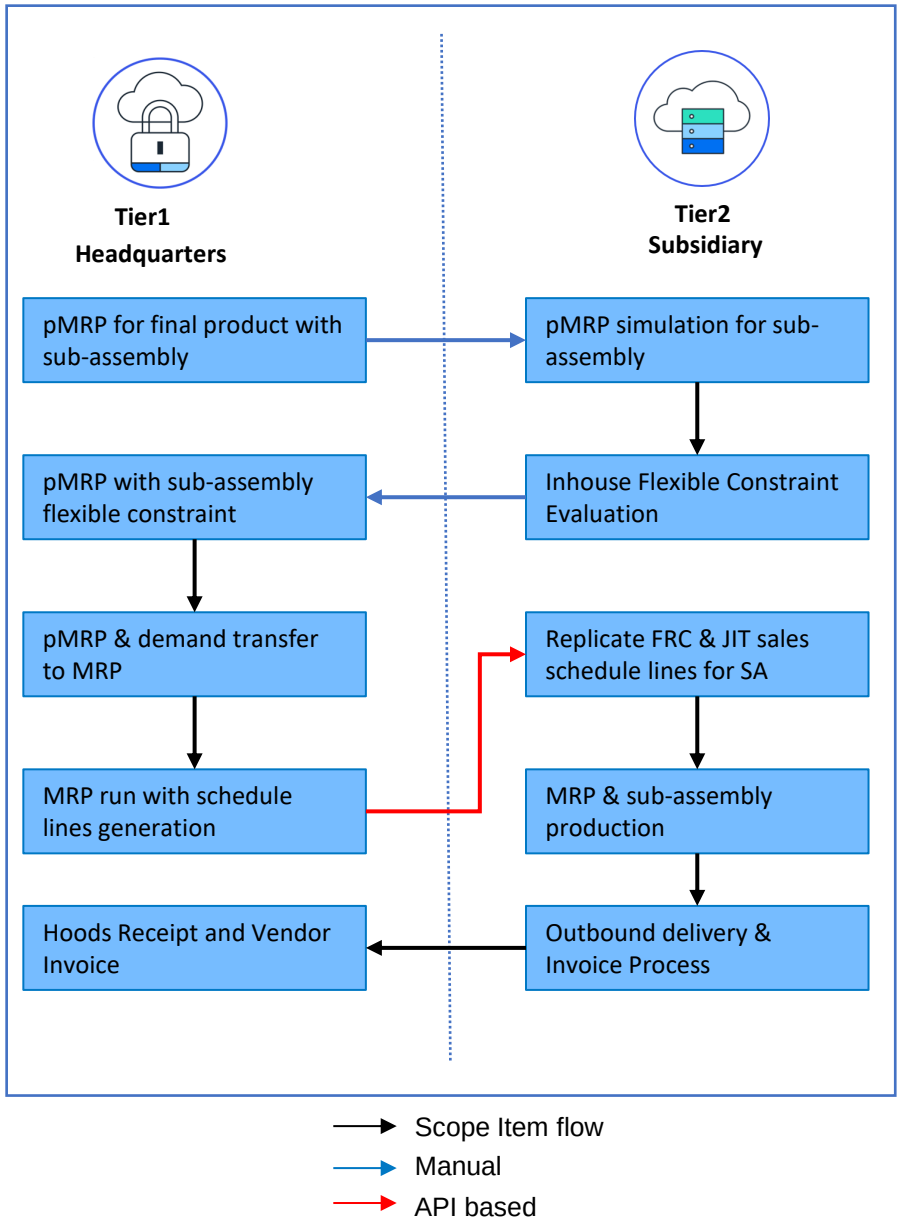
Deployment Options

Tier 1:

Tier 2:

Deployment Scenarios

- HQ – Subsidiary



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Two-Tier based pMRP and Scheduling Agreement Integration

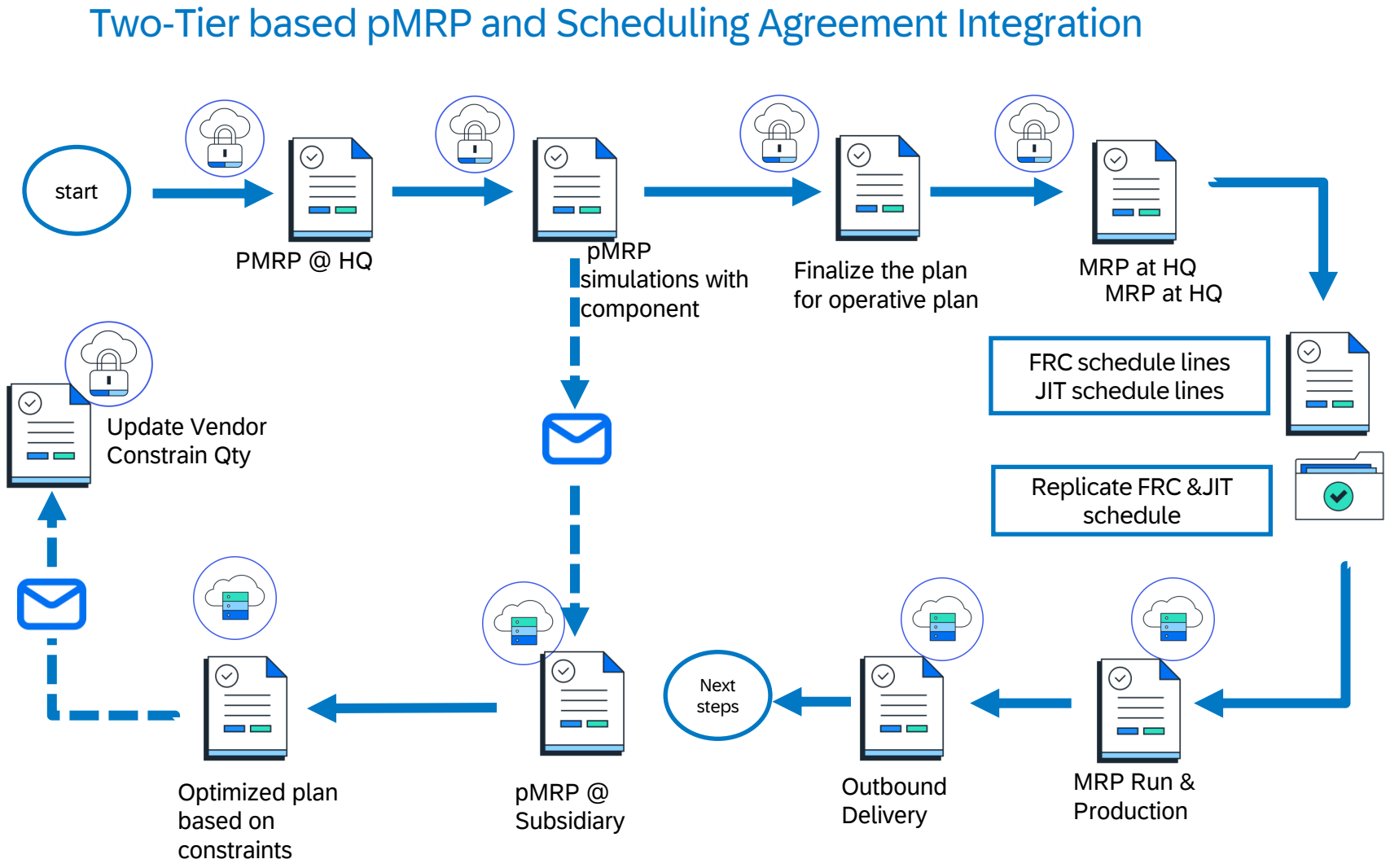
Relevant scope item: 4B5, 3NR

Tier 1

- Headquarters initiates planning process through PMRP and shares sub-assembly plan with the subsidiary .
- Headquarters receives flexible constraint quantity as output of simulation at subsidiary
- Finalized plan for the final product along with sub-assembly quantities forms demand for MRP.
- Purchasing scheduling agreement are updated with FRC & JIT schedule lines
- Goods receipts are posted at the headquarters
- Invoice generated at the subsidiary is received at the headquarters.

Tier 2

- pMRP simulation help arrive at the flexible constraint quantity for sub-assemblies to communicate with the headquarters
- In house production proposals from MRP irun at the subsidiary.
- Outbound delivery is created, PGI for the delivery allows to generate invoice for sharing with the headquarters.



Glossary: HQ: Headquarters JIT: Just In time Delivery Schedule FRC: Forecast Delivery Schedule pMRP: Predictive Material & Resource planning

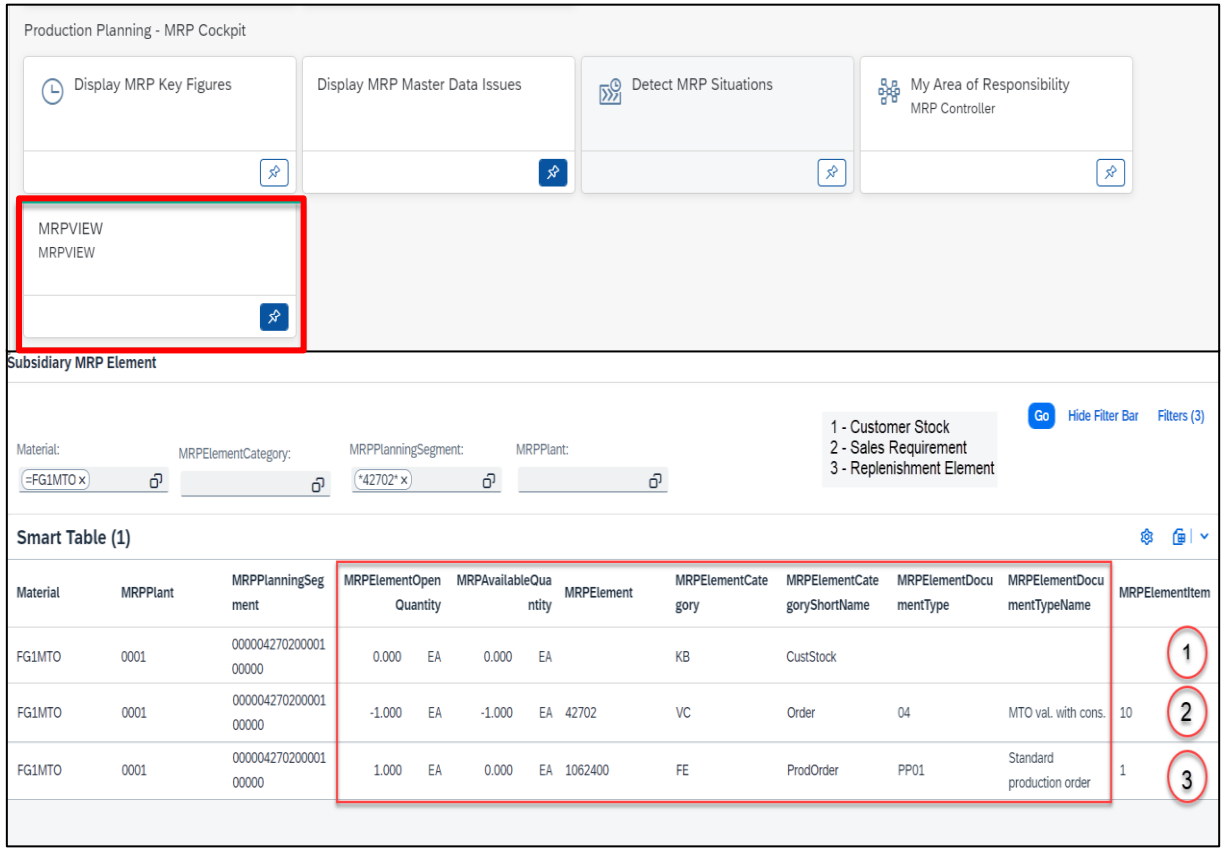
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Material Requirement Planning Visibility in Two-Tier ERP

Business Benefits

- Subsidiaries can have better visibility on MRP planning results of the production materials at headquarters.
- Enables subsidiaries to deliver the product to customer without any delay
- Headquarters can access the demand planned for the materials at the subsidiary end.
- Enables headquarters to plan for production components in prior and make it available for production.
- Monitor material coverage between two-tier systems
- Increased planning accuracy
- Reduced production delays and time to delivery





Deployment Options

Tier 1:

Tier 2:

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Material Requirement Planning Visibility in Two-Tier ERP

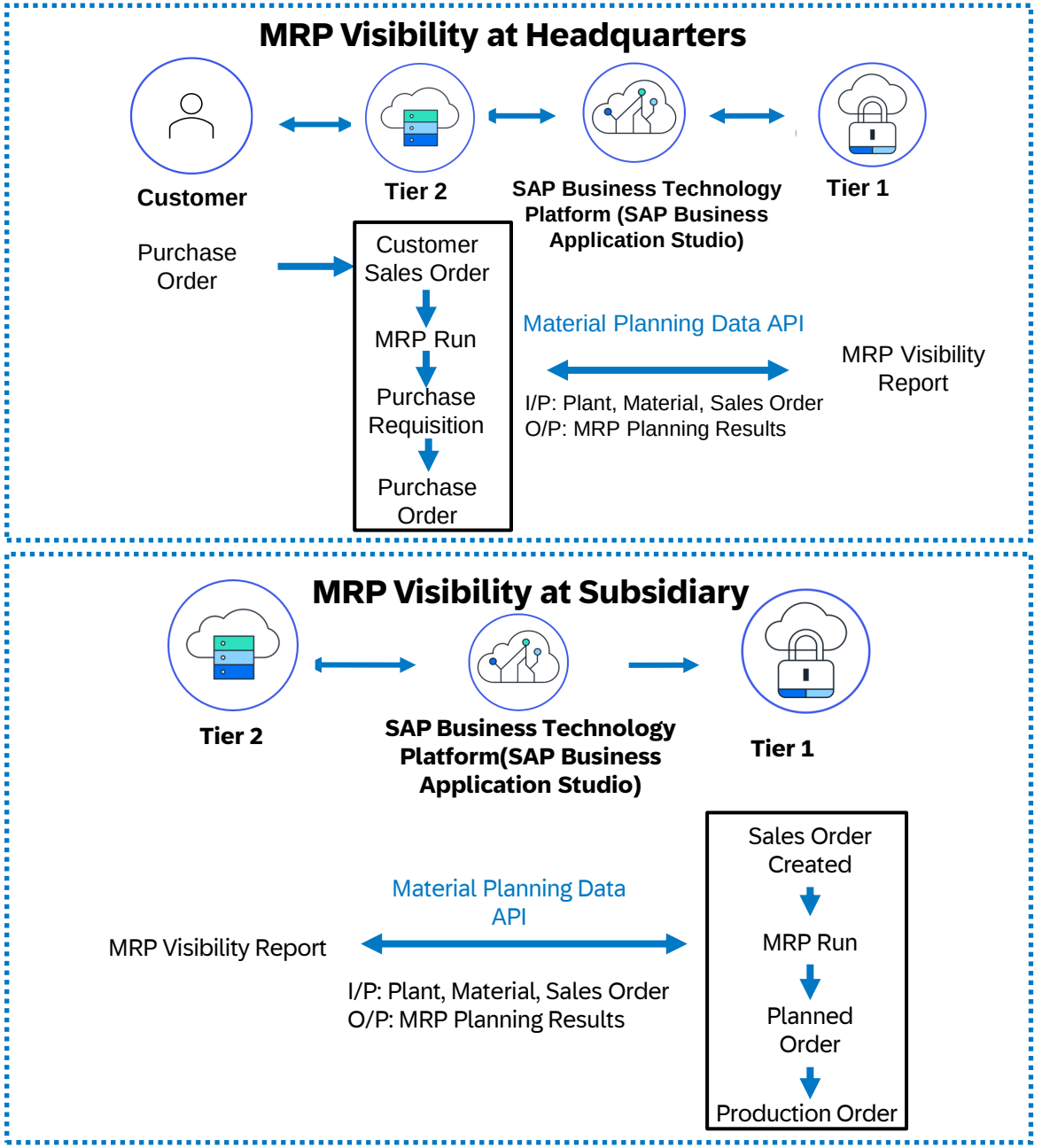
Relevant Scope Item: J44, J45, 1BM

Tier 1

- Tier 2 system receives the demand from external customer and creates customer sales order manually. Planner performs the MRP run which generates Procurement proposals at Tier 2. procurement proposals to flow as demand to the Tier 1 system, and the production planning process follows as said above.
- Tier 1 system can access the MRP Results view app by entering the material number/MRP Element category/plant and it displays the list of demands with the required stock for the given material
- Tier 1 planners can act proactively by planning for the underlying components to produce the assembly on time.

Tier 2

- The process starts with the creation of purchase order at Tier 2 system and in turn to trigger automatic creation of sales order at Tier 1 and sends back the purchase order confirmation to Tier 2 system. in Tier 1, production planner perform the MRP run to generate the planned order against the customer sales requirement. Planned order will be converted to Production order to proceed with the production activities.
- Now, Tier 2 system can access the MRP results View app to check the status of production planning. The list of replenishment elements along with stock availability for the given material/sales order for Tier 2 planner to act proactively to fulfil the customer requirement on time .



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Integrated Multiple Specification Inspection btw Two-Tier systems

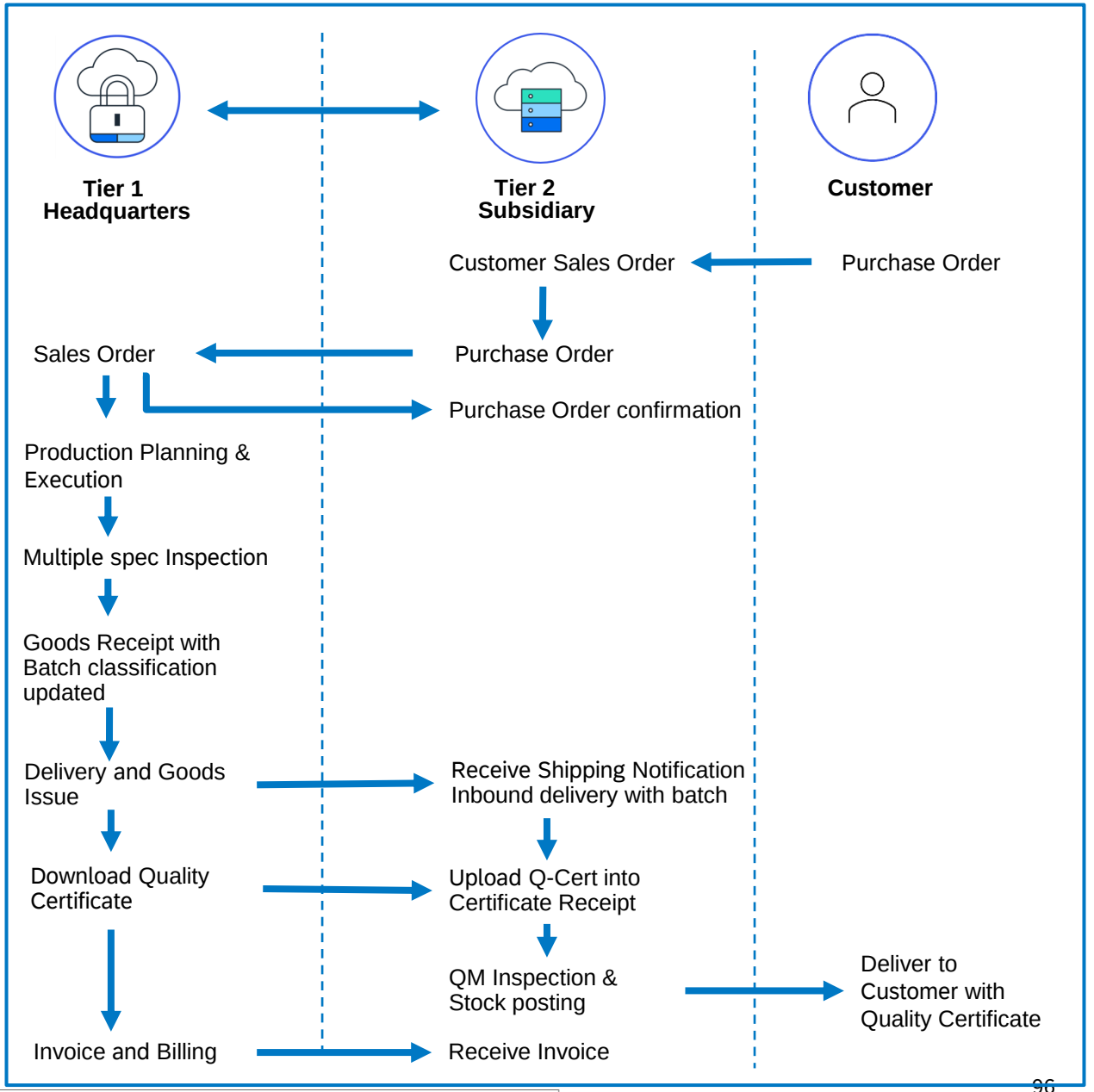
Business Benefits

- Enhances operational efficiency for industries that necessitate quality inspections with multiple specifications.
- Streamlines the assignment of production batches to customer orders by seamlessly integrating with inventory and batch management, sales, and distribution.
- Supports process industries to manufacture the product and conduct inspections based on the specific standards of the target country to ensure suitability and compliance to meet customer requirements
- The outbound API enables the linkage of production batches with classification details created at the Headquarters till it is sold to the end customer at the subsidiary running on SAP S/4HANA Cloud Public Edition.
- The quality certificate for inspections with multiple specifications is shared across subsidiary in order to reference the same during sale of the batch to end customers
- This allows two-tier systems to have visibility into the recorded values of inspection results with multiple specifications.

Deployment Options

Tier 1:

Tier 2:



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Integrated Multiple Specification Inspection between Two-Tier Systems

Relevant Scope Item: 1FM, 1E1

Tier2 System:

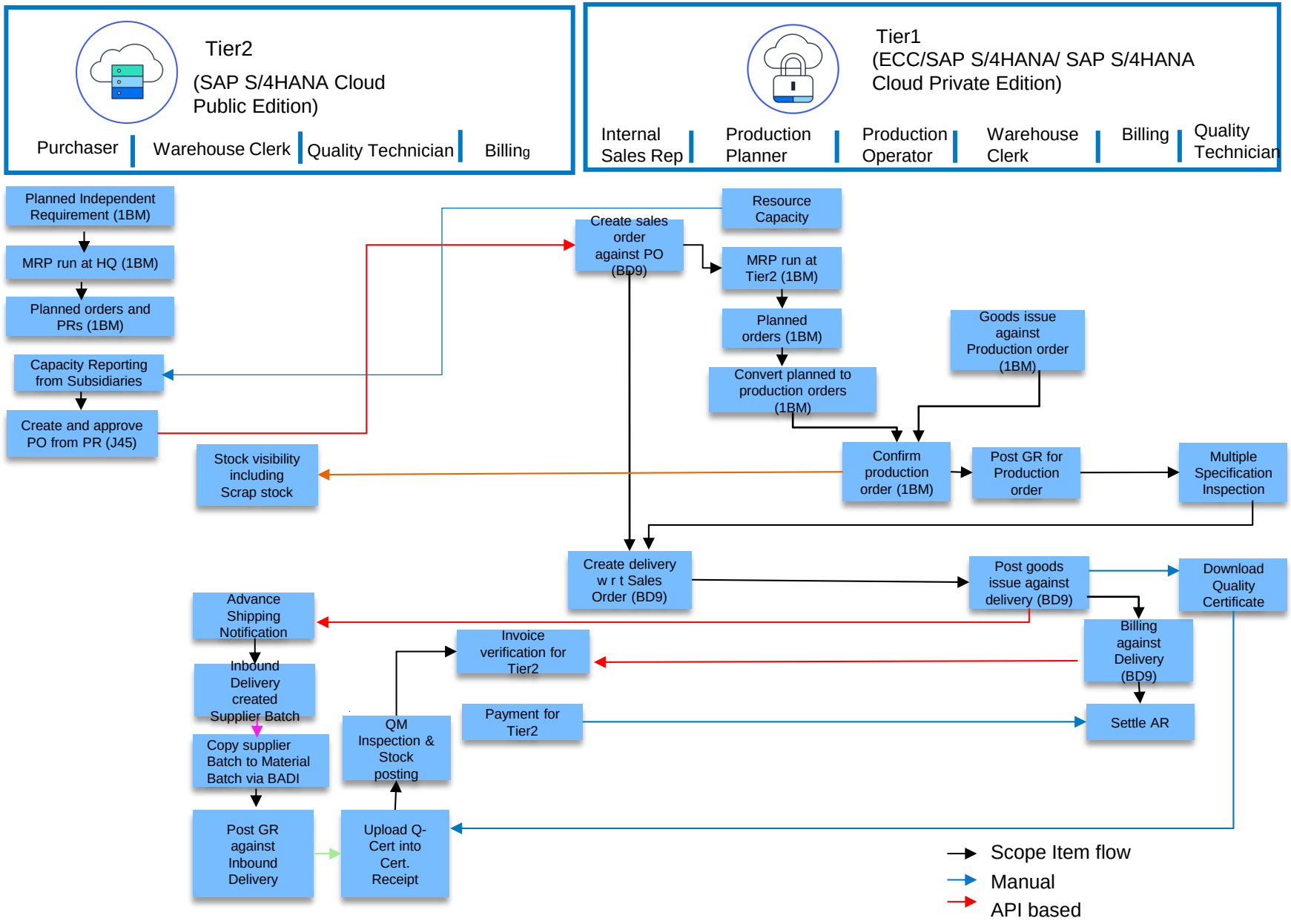
- Purchase order creation triggers sales order creation at Tier 1, sends Purchase order confirmation updated with the sales order number from Tier1.

Tier1 System:

- MRP run creates Planned orders and converted to production orders.
- Goods Issue (GI) and Goods Receipt (GR) against posted & generates final inspection lot. Multiple Specification inspection completed, batch classification characteristics updated and Usage decision posted.
- Outbound delivery created, PGI against sales requirement triggers Quality Certificate generation.

Tier2 System:

- PGI at Tier 1 triggers shipping notification and automatic creation of inbound delivery with Supplier batch.
- Supplier batch copied to Material Batch via BAdI "LE_SHP_SAVE_DOCUMENT_PREPARE."
- Post Goods Receipt (PGR) against inbound delivery by Receiving Specialist.
- Quality Inspector attaches Quality Certificate, confirms receipt .
- Quality Inspector completes result recording and usage decision in Tier2.
- Accountant generates invoices and billing documents in Tier 1, triggers the receipt into Tier2.
- Products meeting country-specific requirements delivered to external customer in the respective country.



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Equipment Calibration in Two-Tier ERP

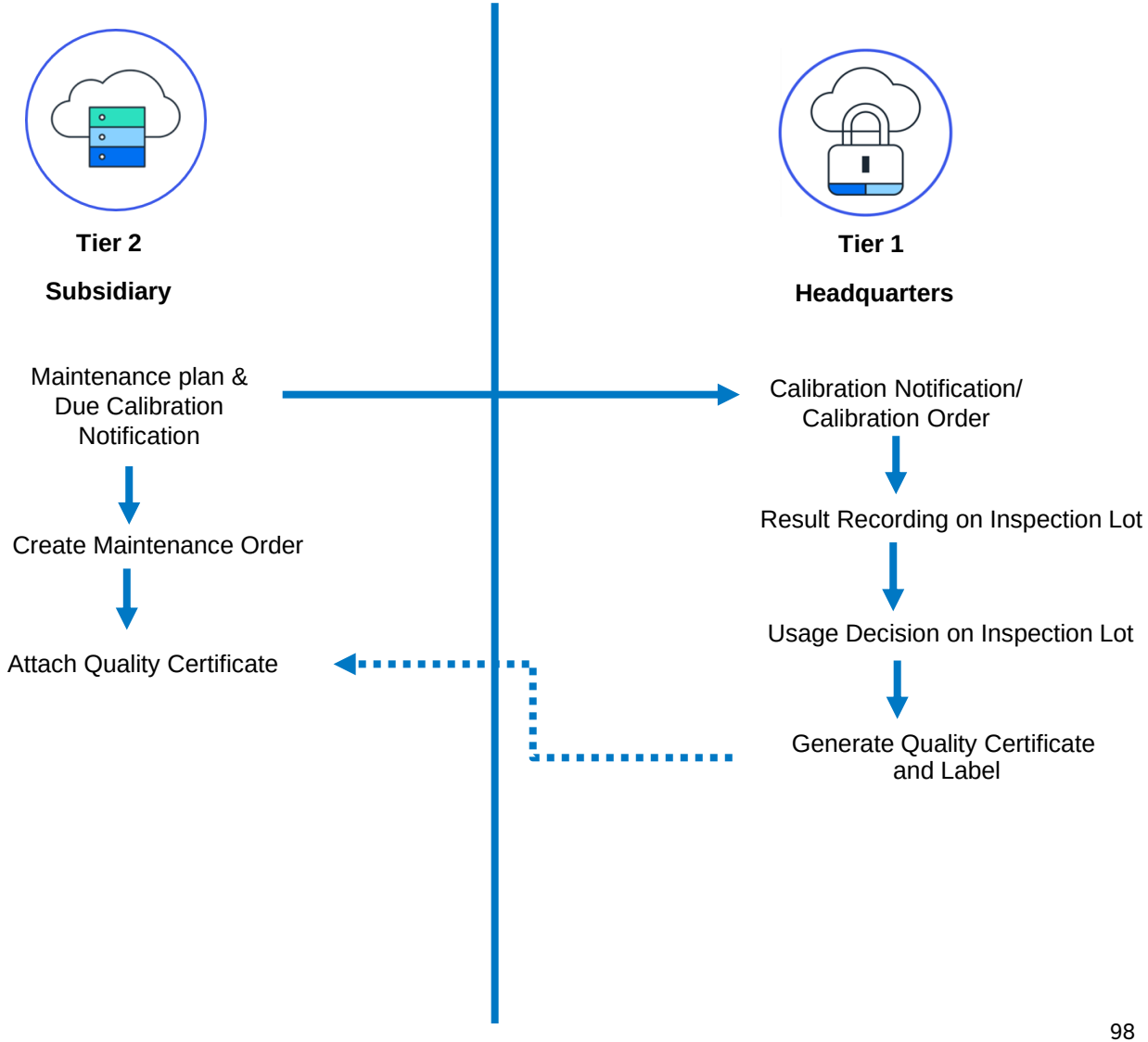
Business Benefits

- This scenario offers the standardized capability to calibrate test equipment provided by headquarters and in use by subsidiary on Lease/rental basis.
- End to End process starting with scheduled calibration notification at the subsidiary and execution of the calibration process at the headquarters.
- This process caters to notifying the Headquarters on timely basis to carry out the calibration of test equipment and exchange of calibration specifications and details between two systems
- There is a data replication of maintenance notification generated in subsidiaries to headquarters. Subsidiaries can be on SAP S/4HANA Cloud Public Edition. The headquarters, on the other hand, can be on SAP S/4HANA Cloud Private Edition.
- The calibration in integration with quality management is mainly carried out at Headquarter followed with the printing of calibration certificate and labels
- The headquarters to have visibility into the scheduling overview and subsidiaries on master inspection characteristics, inspection lots, calibrated values

Deployment Options

Tier 1: SAP S/4HANA Cloud, Private Edition/ SAP ECC 6.0

Tier 2: SAP S/4HANA Cloud, Public Edition



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Equipment Calibration in Two-Tier ERP

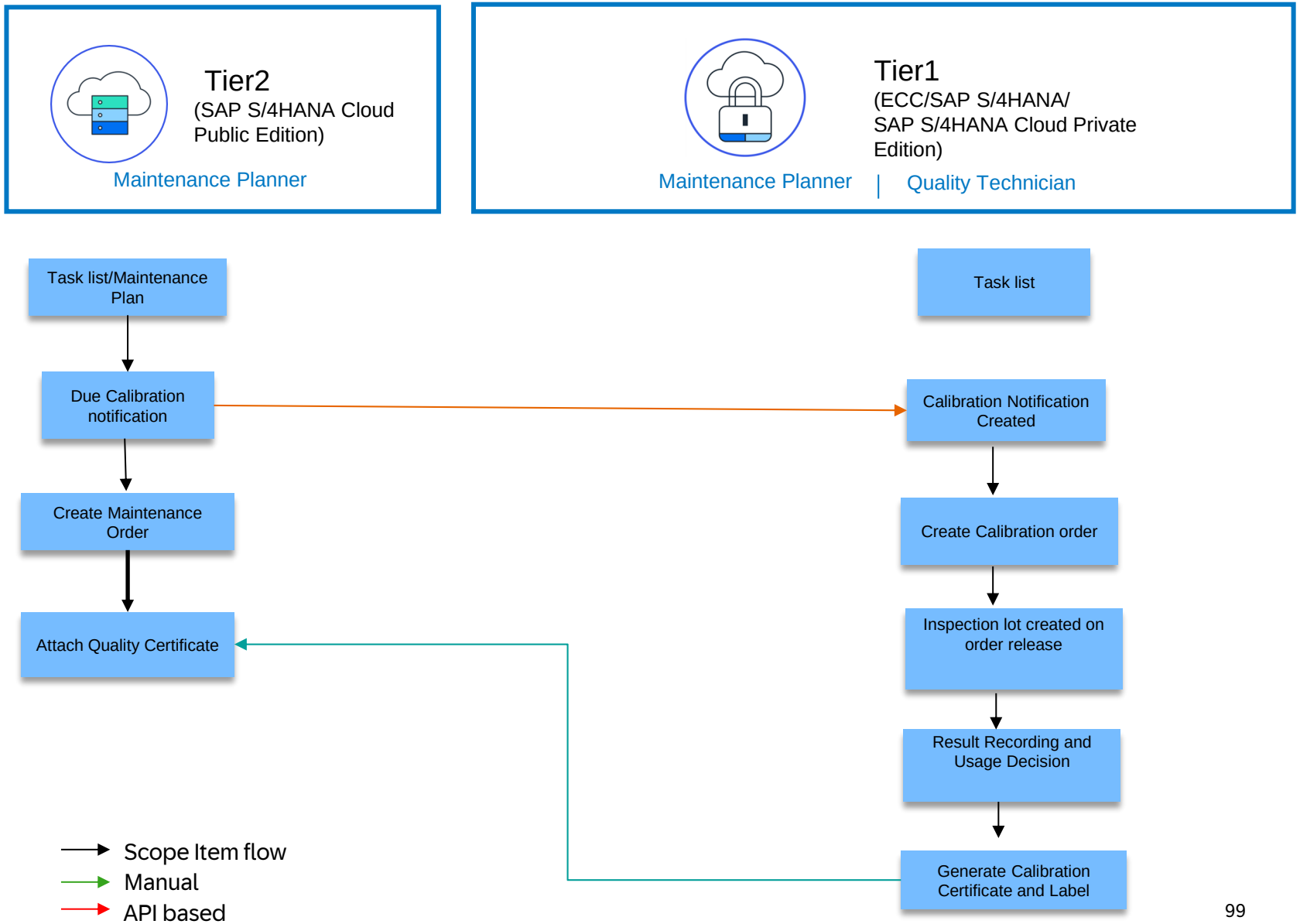
Relevant Scope Item: 4HI

Tier-2

- The Leased Test equipment at Tier 2 will have a Time-based Maintenance plan. Based on the schedule, the maintenance Plan will generate notification for the due calibration tasks.
- This due notification will create an event, is sent to Event Mesh and is replicated to Tier 1. The data replication is done by capturing the event using an AMQP adapter in an integration flow and then replicating the notification to Tier 1 via an OData service to create the notification.
- A maintenance order is created
- After the calibration by Headquarters, the quality certificate provided by Headquarters is attached to Maintenance Order..

Tier-1

- The Test equipment at Tier 1 System has corresponding task list created manually
- Tier 1 system receives the calibration due notification .
- A calibration order is created by the Headquarters to carry out the calibration process for the test equipment. Corresponding task list is added at the order creation.
- Inspection lot is generated at the calibration order release and Result recording, usage decision is carried out on the inspection lot.
- Subsequently calibration label and certificate are generated.



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Two-Tier ERP : Refurbishment with Service

Asset Management

Relevant Scope Item

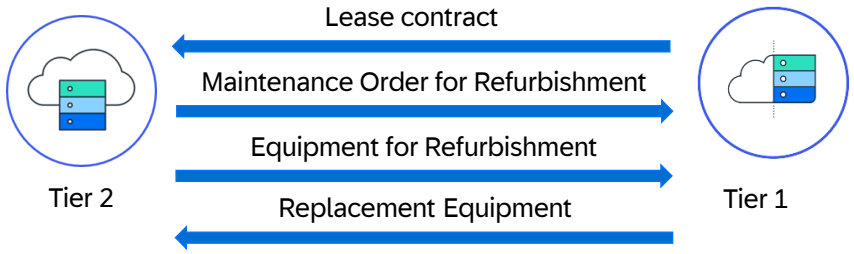
3D2, 4HH, 3XK

Released in 2508

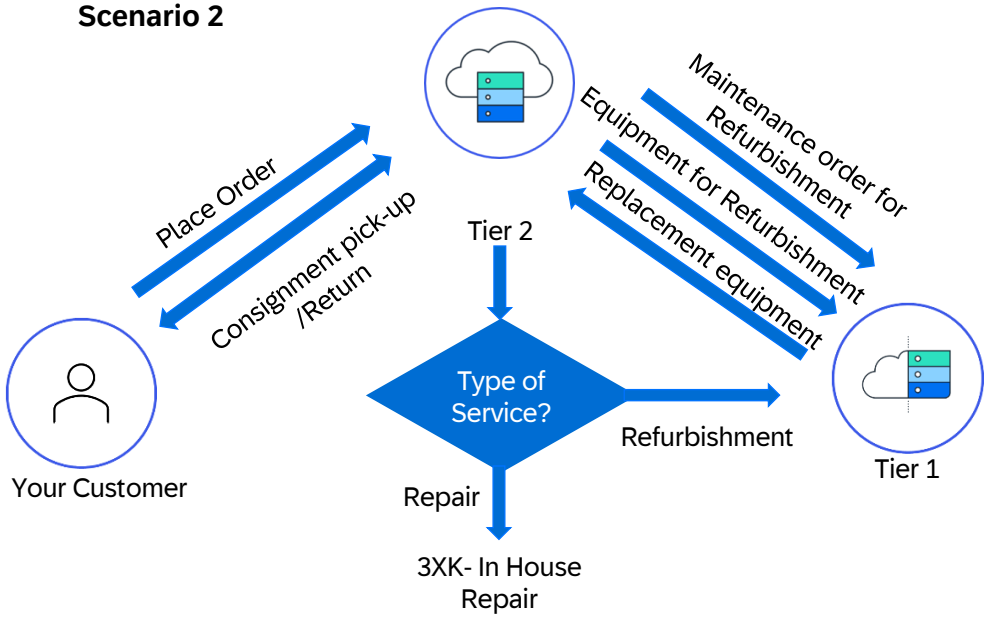
Business Benefits

- This scenario offers the capability to Refurbish equipment provided by headquarters and in use by subsidiary on Lease/rental basis in scenario 1 and in Scenario 2 where a customer has rented the equipment, and servicing happens at the subsidiary and in case the equipment needs to be refurbished it is sent to headquarters for refurbishment
- There is a data replication of maintenance order generated in subsidiaries to headquarters. Subsidiaries can be on SAP S/4HANA Cloud Public Edition. The headquarters, on the other hand, can be on SAP S/4HANA On Premise/SAP S/4HANA Cloud Private Edition.
- End-to-End Process Visibility: Integration between HQ and subsidiary ERPs ensures real-time tracking of equipment
- Optimized Refurbishment Workflow: Refurbishment requests can be initiated at the subsidiary (where equipment is handled) and approved/tracked by HQ.
- Seamless Sales & Service Integration

Scenario 1



Scenario 2



Deployment Options

Tier 1:

Tier 2:

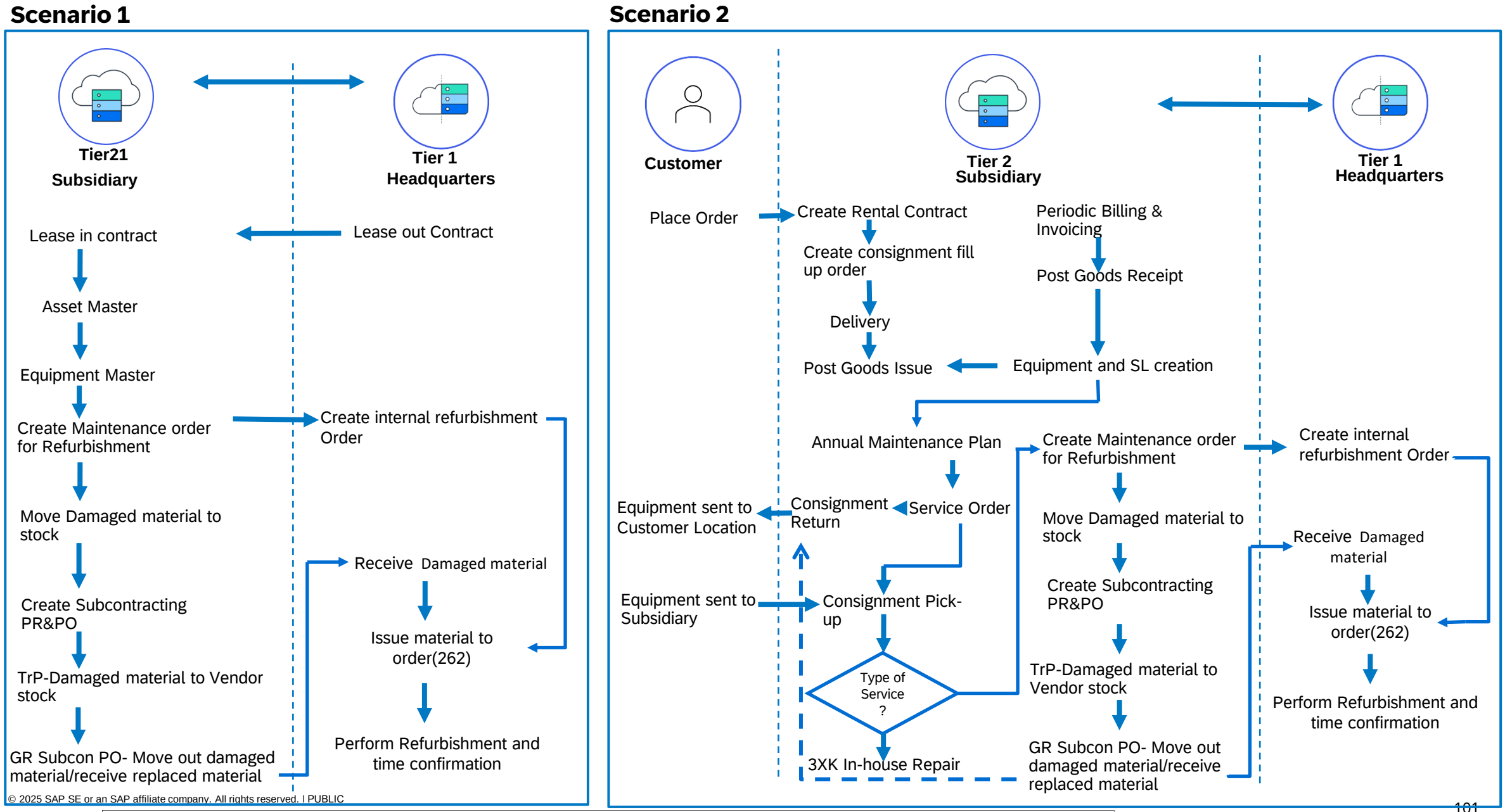
Deployment Scenarios

- HQ – Subsidiary

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Two-Tier ERP : Refurbishment with Service



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Enterprise Portfolio and Project Management & Professional Services Processes

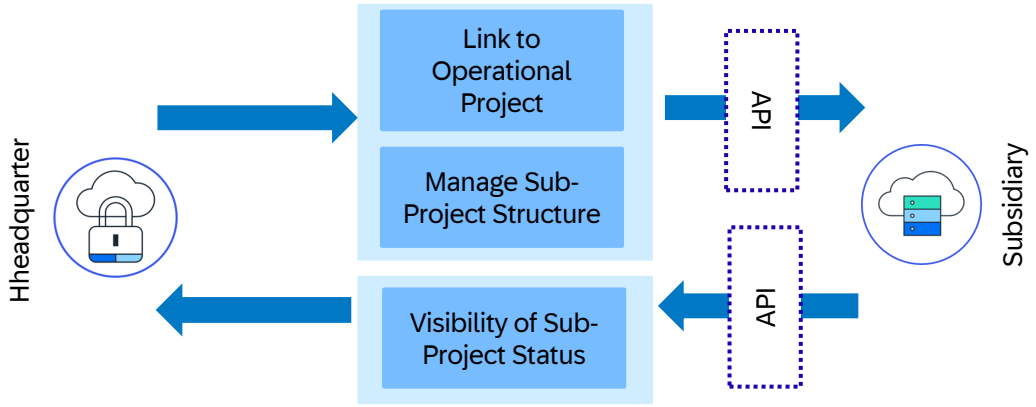


Multi-Level Project Scenario in Headquarter-Subsidiary Model

Subsidiaries need a simpler, flexible, yet robust and cost-effective system that delivers the same results while integrating with the Headquarters system.

Business Benefits

- Headquarters has real-time visibility on all project activities associated with the master project
- Single platform to track and manage projects for customers dealing with multiple subsidiaries
- Subsidiary projects operated in silos on the cloud enabling restricted to access only to specific project areas
- Integrations with cloud-based procurement, billing and resource management capabilities for all subsidiary projects
- Light weight project management on subsidiary side to increase time to adoption and reduce change management efforts
- Real-time reporting of the invoicing process between the subsidiary and headquarters



Deployment Options

HQ:

Sub:

Deployment Scenarios

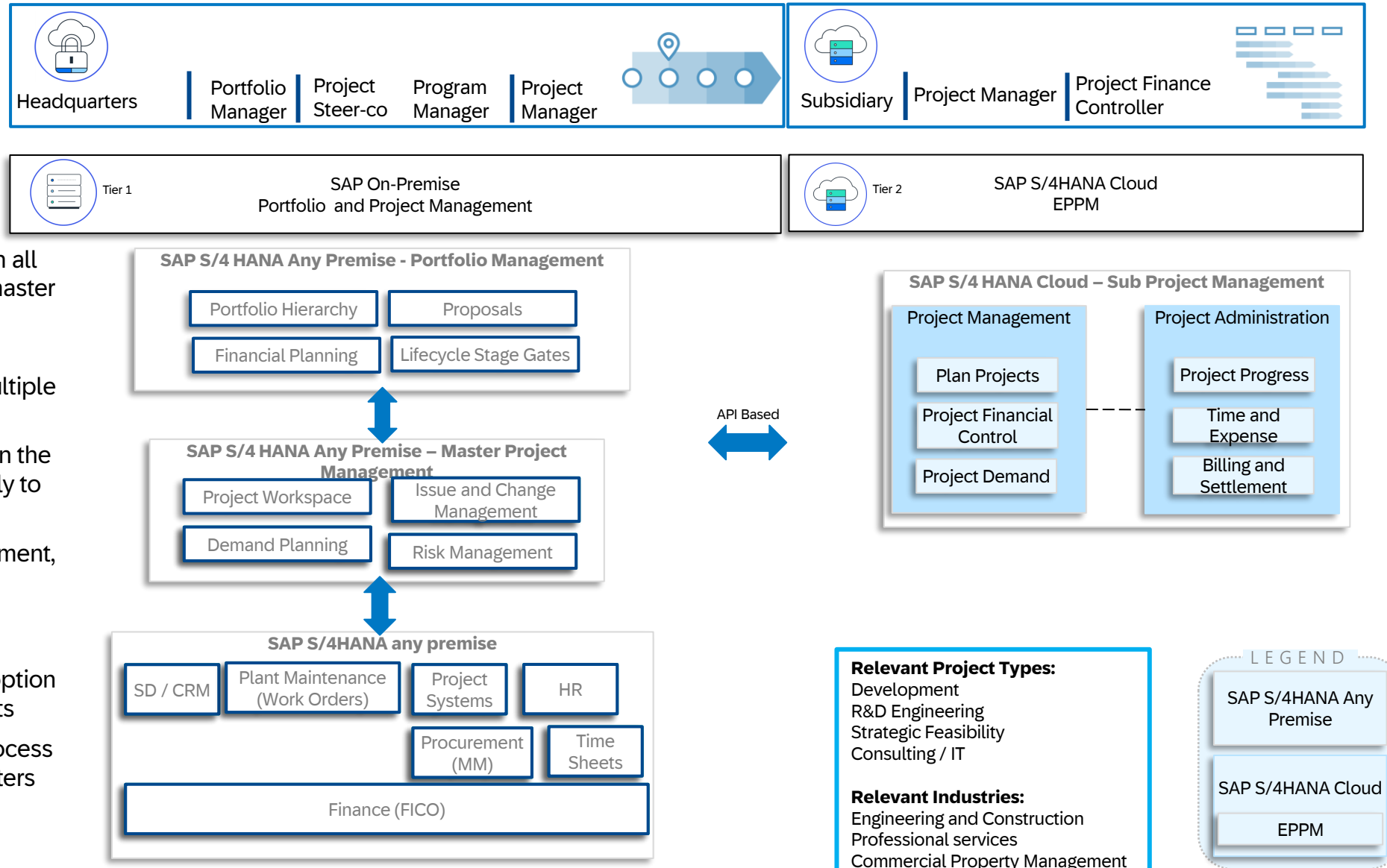
- HQ – Subsidiary
- Corporate – Affiliate

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Multi-Level Project Scenario in Headquarter-Subsidiary Model

Relevant Scope Items:
1NT, 1YF, 35F



Business Benefits

- Headquarters has real-time visibility on all project activities associated with the master project
- Single platform to track and manage projects for customers dealing with multiple subsidiaries
- Subsidiary projects operated in silos on the cloud enabling restricted to access only to specific project areas
- Integrations with cloud-based procurement, billing and resource management capabilities for all subsidiary projects
- Light weight project management on subsidiary side to increase time to adoption and reduce change management efforts
- Real-time reporting of the invoicing process between the subsidiary and headquarters

Relevant Project Types:
Development
R&D Engineering
Strategic Feasibility
Consulting / IT

Relevant Industries:
Engineering and Construction
Professional services
Commercial Property Management

LEGEND
SAP S/4HANA Any Premise
SAP S/4HANA Cloud
EPPM

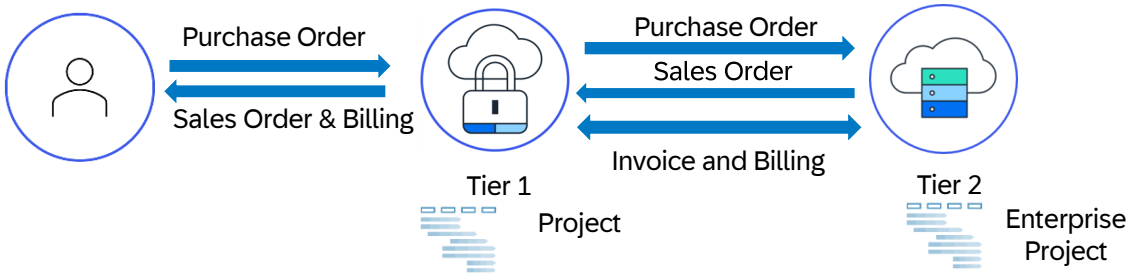
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Project Based Engineer-to-Order with Two-Tier Integration

Subsidiaries need a Project based Manufacturing to be simpler, flexible, cost-effective, yet loosely coupled system to deliver to customers while integrating with the Headquarters.

Business Benefits

- Help companies in organizing well the various production-related task allocated to different subsidiaries.
- Clear connect between the headquarters and subsidiary. This avoids the chances of miscommunication between two entities.
- Regular updates related to project execution.
- Proper utilization of resources.
- Real-time cost analysis related to project. Bringing operational cost in alignment to company's goal.
- Proper production planning results in positive impact on revenue.
- Easy management of inventory demands across various subsidiaries.



Deployment Options

Tier 1:

Tier 2:

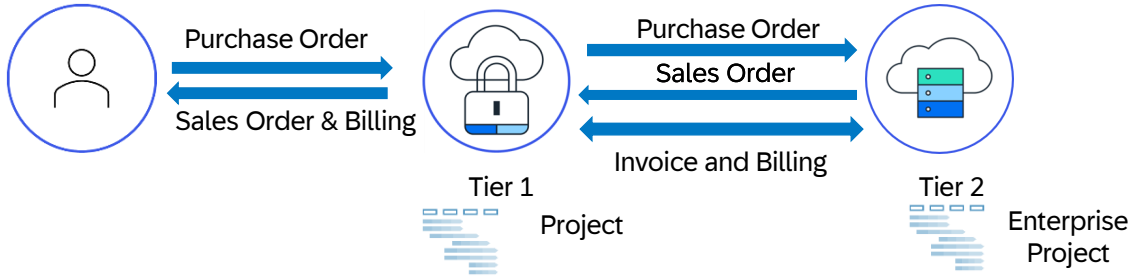
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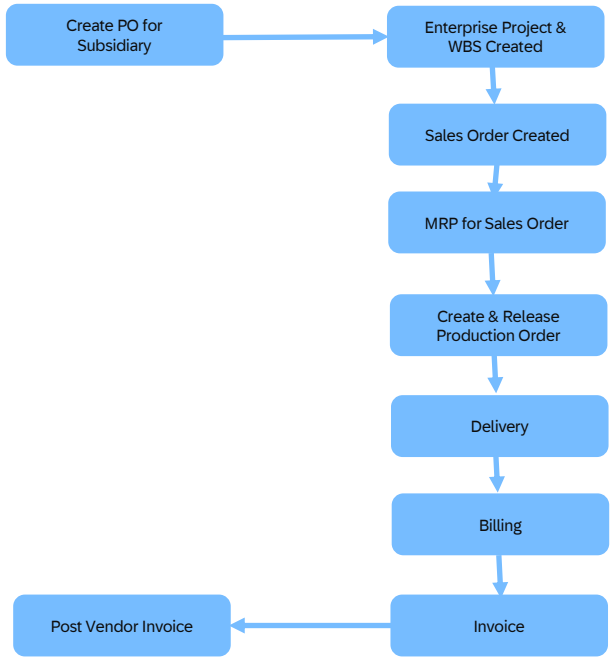
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Project Based Engineer-to-Order with Two-Tier Integration

Relevant Scope Items:

2EL, 2EJ, 4I9

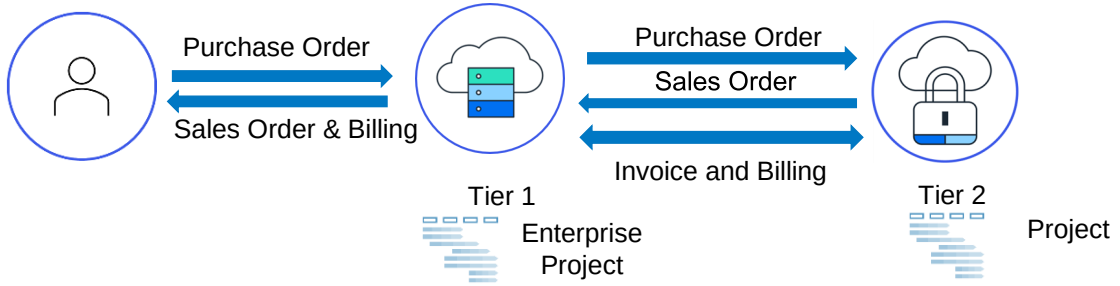


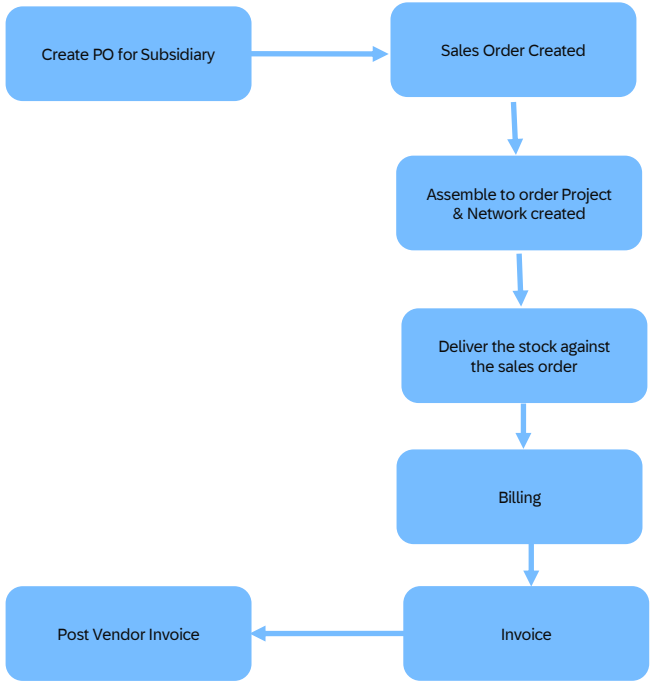


Deployment Options

Tier 1:

Tier 2:





Deployment Options

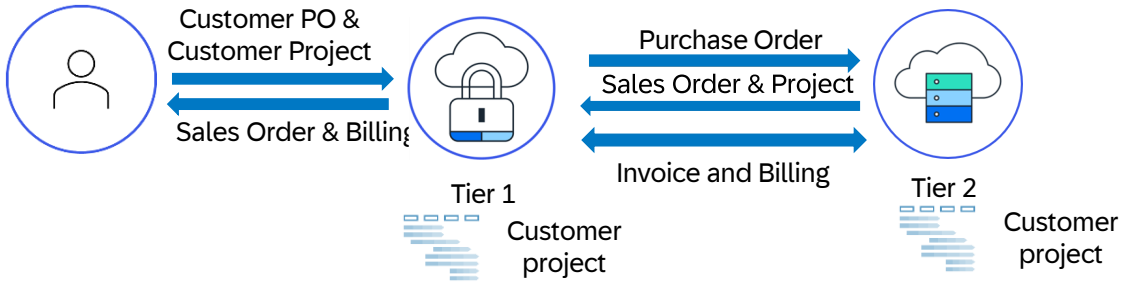
Tier 1:

Tier 2:

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Managing Intercompany Prof Services Projects with Two-Tier integration

Subsidiaries need a Project based simpler, flexible, cost-effective, yet loosely coupled system to deliver to customers while integrating with the Headquarters.



Business Benefits

- Integrated project execution between Headquarters and subsidiary
- Reduced manual intervention in the business process between HQ and the subsidiary by automated project creation
- No replication of projects and flexibility is provided to subsidiary in project execution
- Reduce chances of revenue leakage at subsidiary
- Real-time automation of the invoicing process between the subsidiary and headquarters

Deployment Options



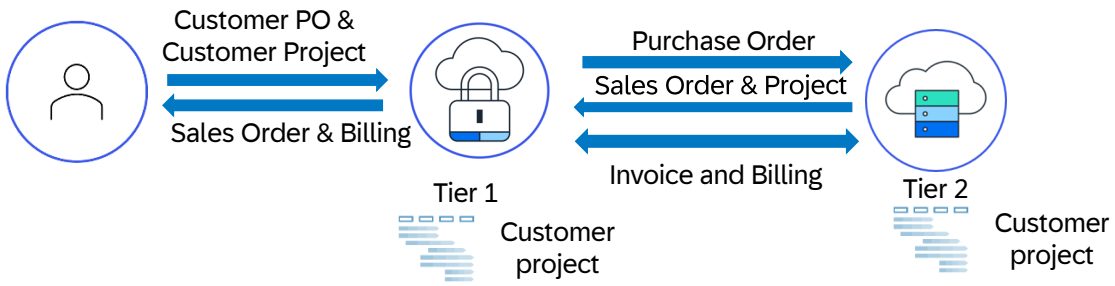
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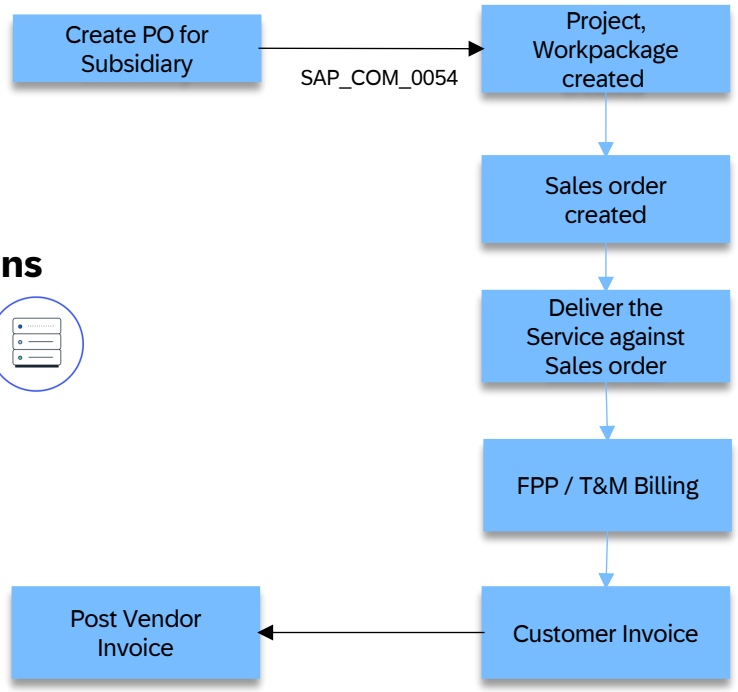
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Managing Intercompany Prof Services Projects with Two-Tier integration

Relevant Scope Items:

2EL, J11

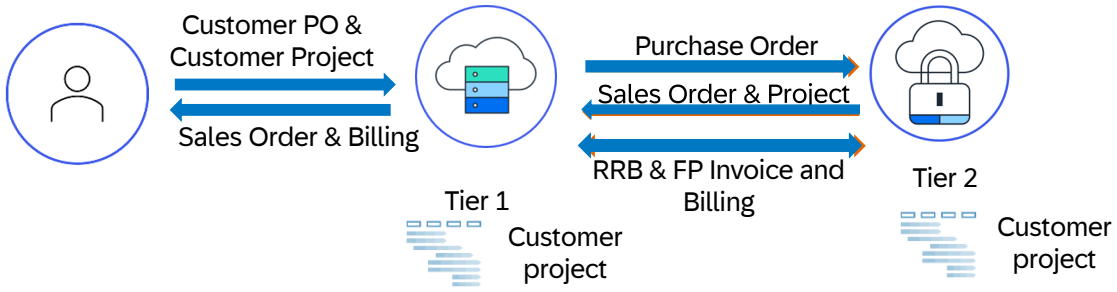


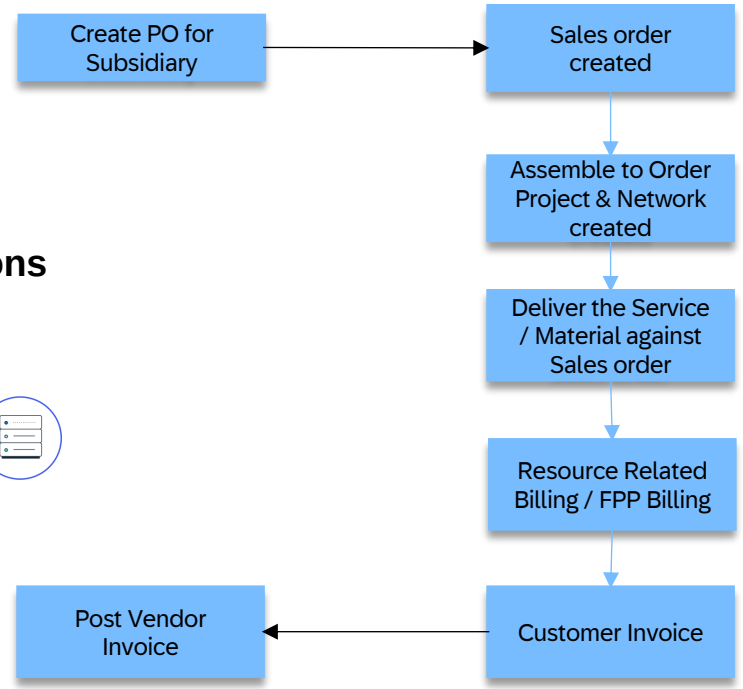


Deployment Options

Tier 1:

Tier 2:





Deployment Options

Tier 1:

Tier 2:

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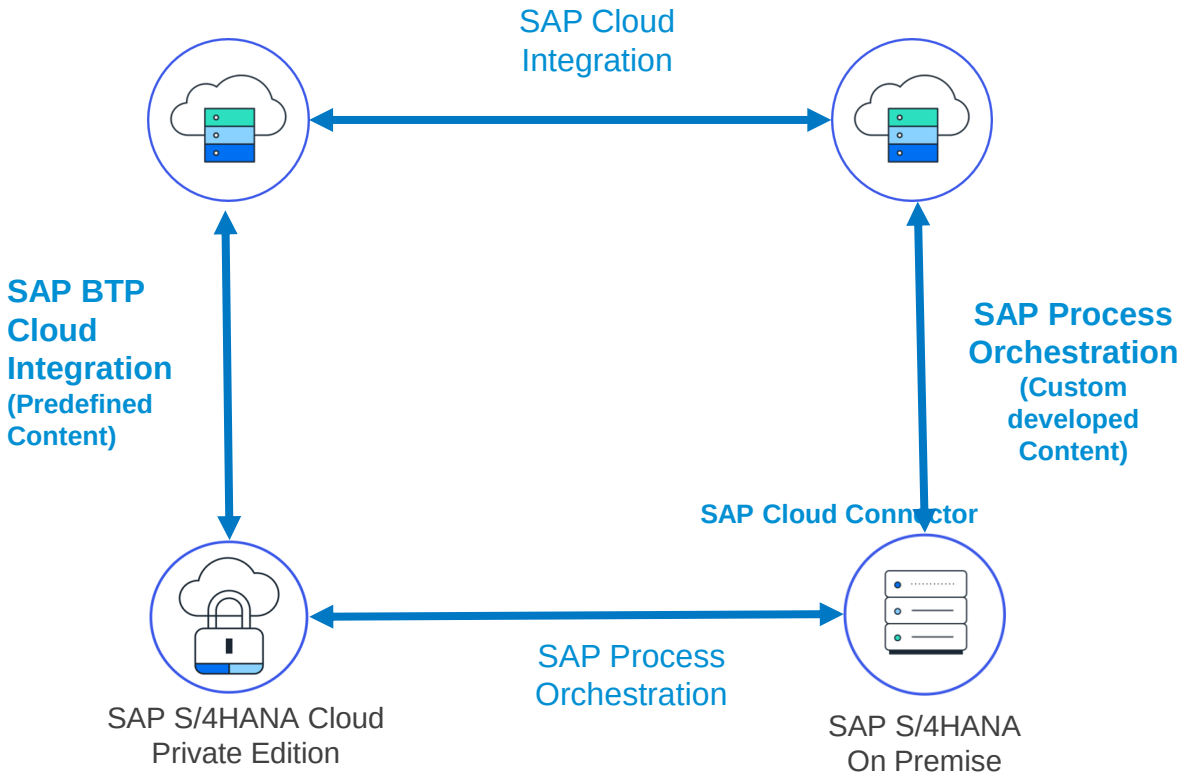
Integration & Hybrid Cloud SAP Landscape Master Data



Integration Approach in Hybrid Cloud Landscape

Integration Approach

- **SAP BTP Cloud Integration :**
  - Preferred process integration cloud-based middleware
  - Prepackaged integration content available (iFlows) works as ready to use integration content
  - Cloud integration operated by SAP, monitoring by customer
-
- **SAP Process Orchestration**
  - On-premise integration landscape, but also possible for on-premise to cloud
  - On-premise installation
  - Operated by customer
- **SAP Cloud Connector**
  - Relevant only for SAP S/4HANA Cloud Public Edition integration with SAP applications on Premise
  - Bi-direction RFC and HTTP calls via tunnel connection
  - Cloud Connector works as a secure VPN connection to connect to S/4HANA Cloud Private Edition.

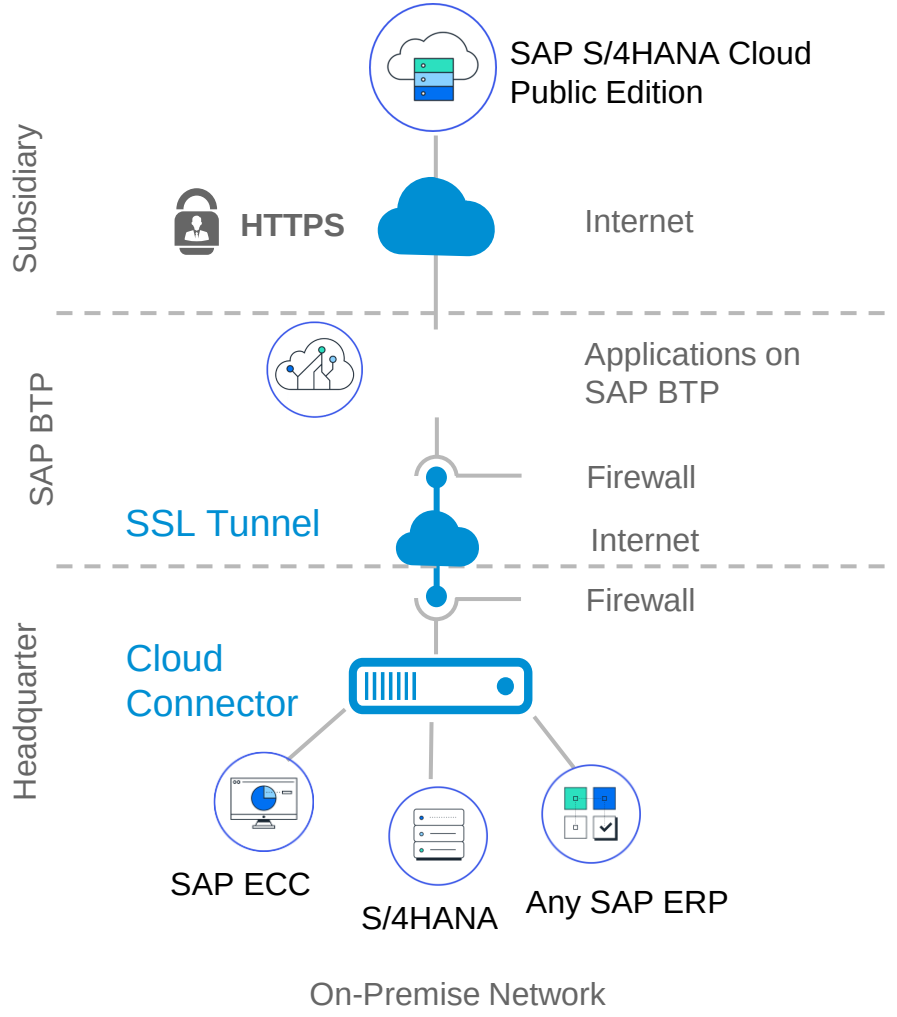


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SAP BTP Cloud Connector

- The Cloud Connector allows you to securely connect your on-premise backend systems to the SAP BTP
  - establishes secure SSL tunnel between SAP BTP and the customers‘ on-premise network
  - runs as an on-premise agent and acts as a reverse invoke proxy
- It provides fine-grained control over
  - On-premise systems and resources that shall be accessible by cloud applications
  - Cloud applications that shall make use of the Cloud connector
- It supports multiple protocols: HTTP, SOAP, OData, LDAP, IDoc, etc.
- You can connect multiple cloud connectors to your SAP BTP account
- It can be run in a high-availability setup



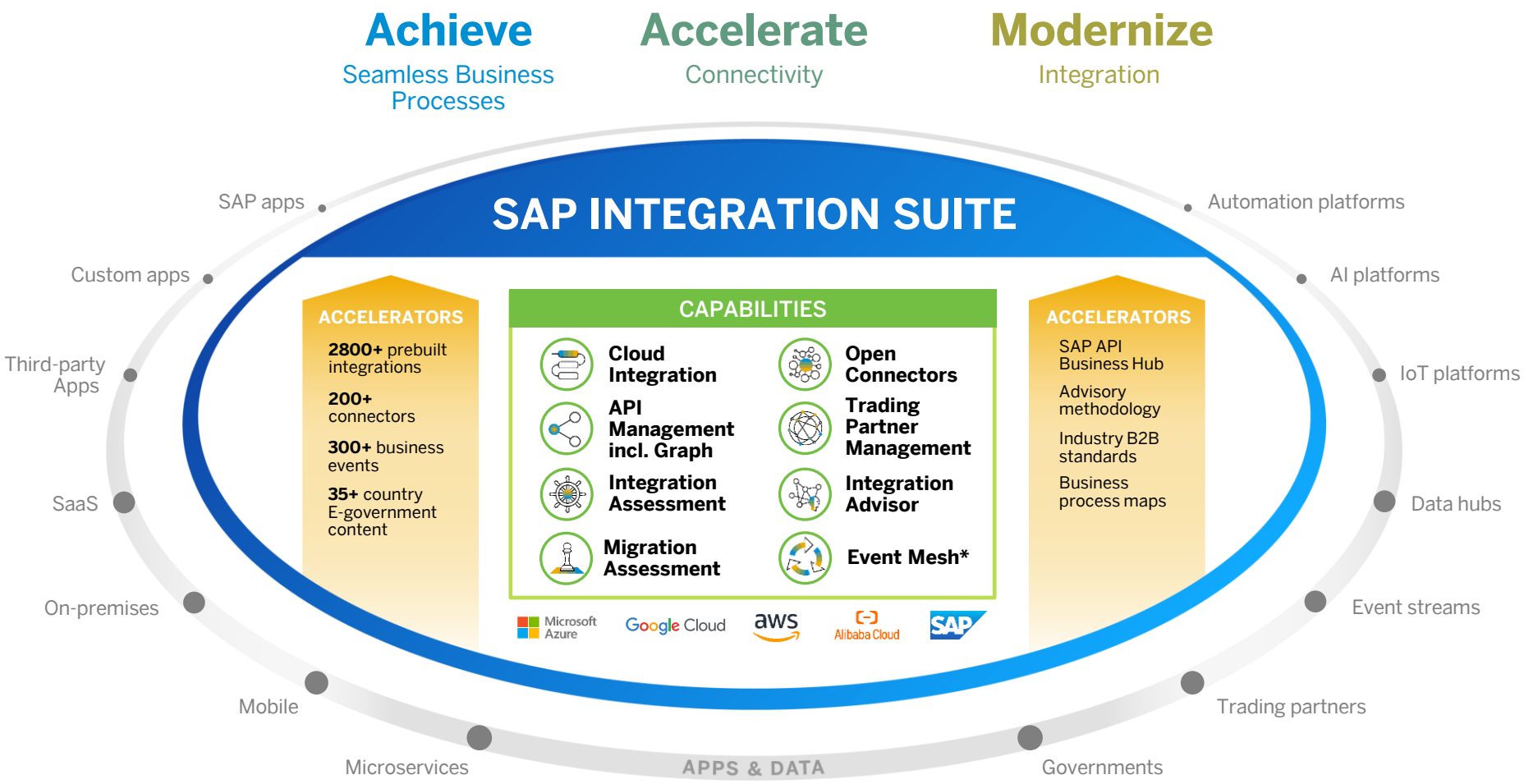
SAP Help for Cloud Connector

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SAP Integration Suite

SAP's hybrid integration platform for the Intelligent Enterprise



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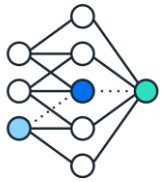
Connect and automate your business

Integration capabilities of SAP BTP



Cloud Integration

Integrate applications and data across diverse landscapes everywhere.



API Management

Expose your data and processes as APIs. Manage E2E life cycle.



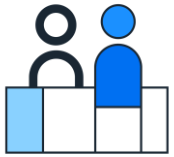
API Business Hub*

Jump start integration projects with APIs, packaged integration content and adapters.



Integration Assessment

Shaping and execution of your integration technology strategy.



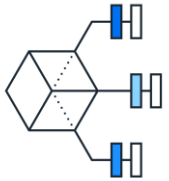
Integration Advisor | TPM

Accelerate implementation and maintenance of B2B scenarios using machine learning.



Open Connectors

Accelerate connectivity to third-party applications.



Event Mesh *

Enabling applications, integrations and extensions to communicate asynchronously through events.



Migration Assessment

Modernize your integration platform by smoothly transition to the cloud from SAP Process Orchestration.

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Reference Architecture

Typical system view leveraging BTP

Relevant Scope Items

1SG - Financial Consolidation with SAP S/4HANA Cloud (1SG)

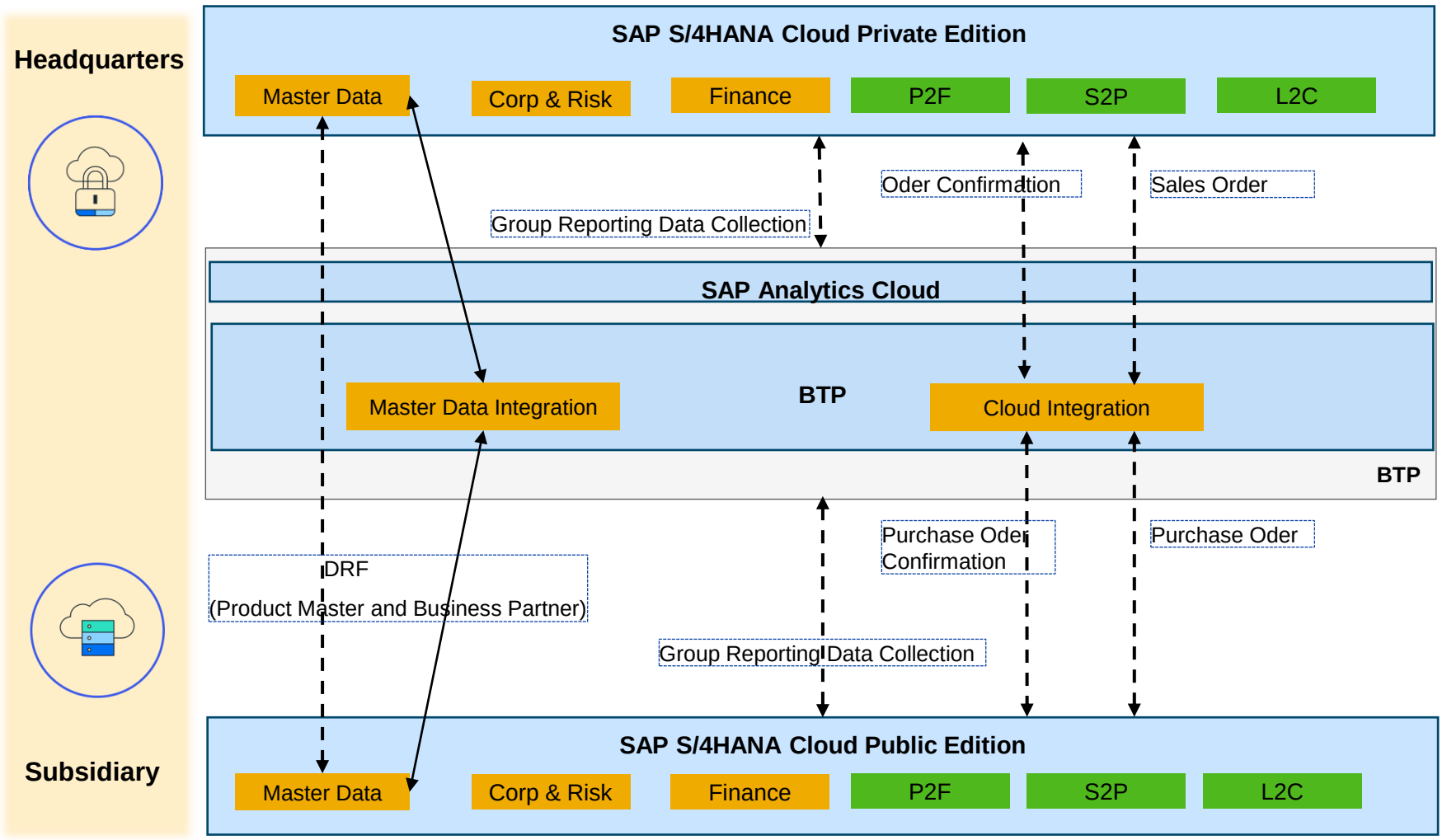
J78 - Cash Operations - Extra (J78)

1RO- Master Data Integration (1RO)

2EJ- Integration of Sales with External Buyers

2EL – Integration of Procurement with External Suppliers (2EJ)

J45 - Procurement of Direct Materials (J45)



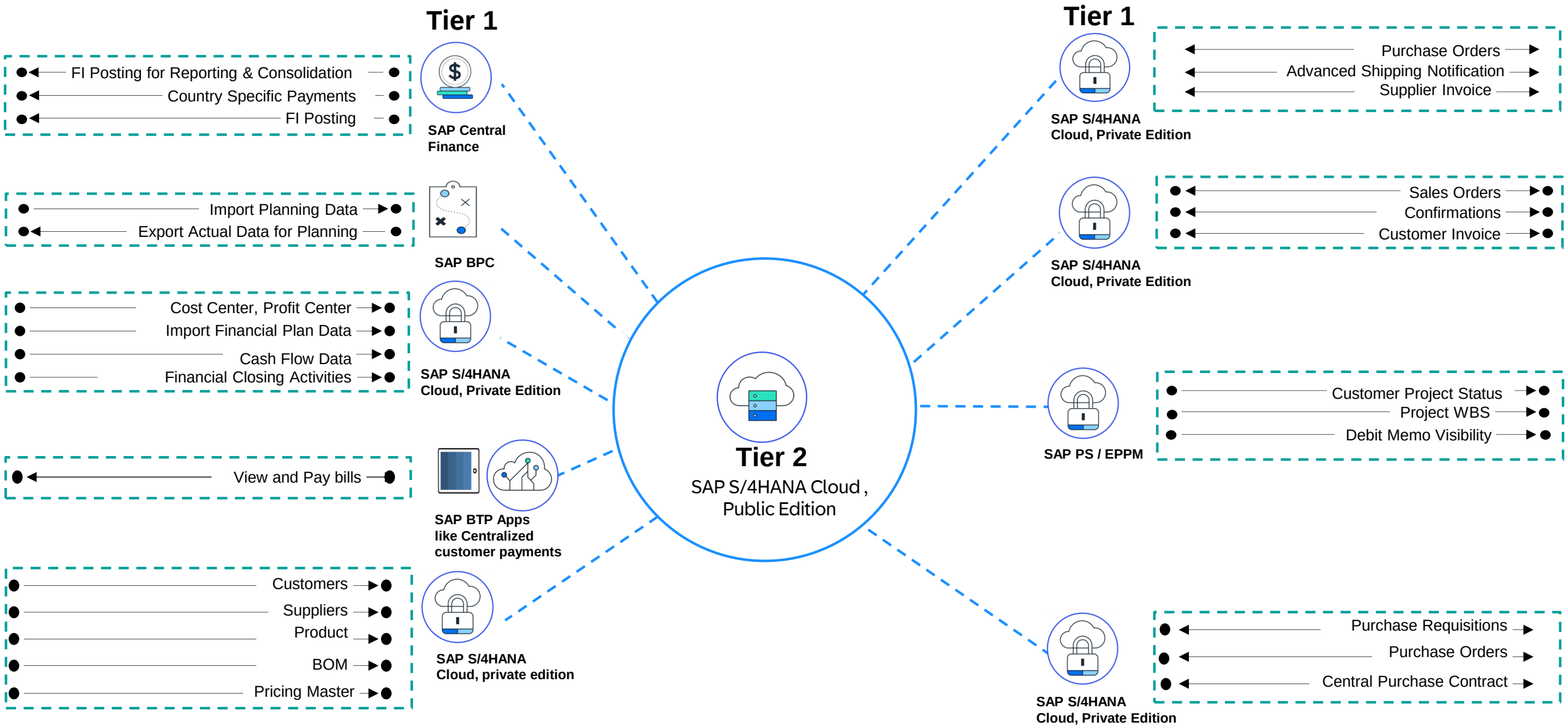
S2P – Source to Pay P2F – Plan to Fulfill L2C – Lead to Cash DRF – Data Replication Framework

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2-Tier Integration with SAP S/4HANA Cloud Public Edition

Pre-delivered integrations to simplify implementations and reduce integration costs



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Available with S/4HANA Cloud / Planned for subsequent releases (not exhaustive)

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* Direct integration or via SAP BTP Integration technology

* The arrow representation implies data flow between Tier 1 and Tier 2

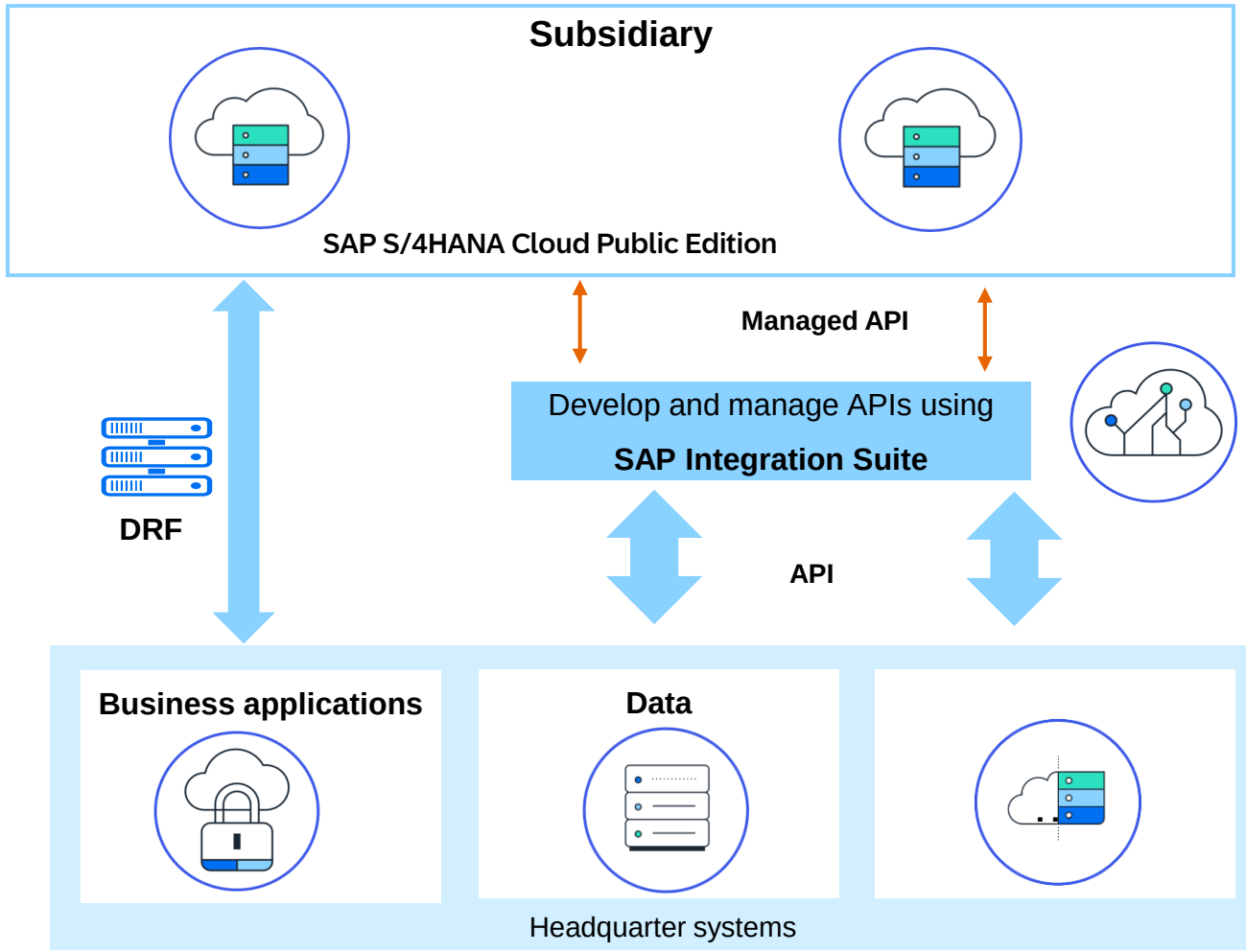
Master Data Approach in Hybrid Cloud Landscape

Master Data Approach

- Master Data administered centrally by MDG
- Headquarters runs SAP-ECC Or S/4HANA Cloud Private Edition and Subsidiary runs SAP S/4HANA Cloud Public Edition – Replication using DRF as a preferred option (Scope Item 1RO)
- Headquarters runs SAP ECC/ S/4HANA Cloud Private Edition and Subsidiary runs on SAP S/4HANA Cloud Public Edition – Replication using API
- Headquarters runs SAP ECC/ S/4HANA Cloud Private Edition and SAP middleware and Subsidiary runs SAP S/4HANA Cloud Public Edition
- The above approaches are applicable for various types of master data including Finance, Sales, Procurement etc

Value Proposition

- The data replication framework (DRF) can be used to replicate data from the Master Data Governance (MDG) hub to target systems
- Replication can be scheduled, immediate/adhoc or real time. Supports delta replication
- Leverage API Approach, if API based approach is required to maintain Master Data at SAP S/4HANA Cloud Public Edition from HQ
- The subsidiary can choose to maintain a part of the Master data locally, e.g. MRP data in case of Product Master
- Any SAP middleware can be used for master data replication



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Accelerators

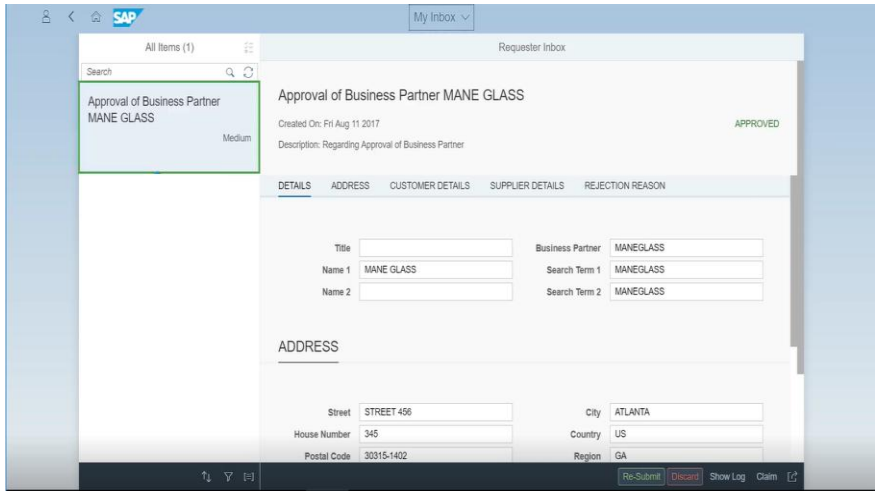


Capabilities of Lean & Advanced Central Master Data Management

Lean Central Master Data Administration

Value Proposition

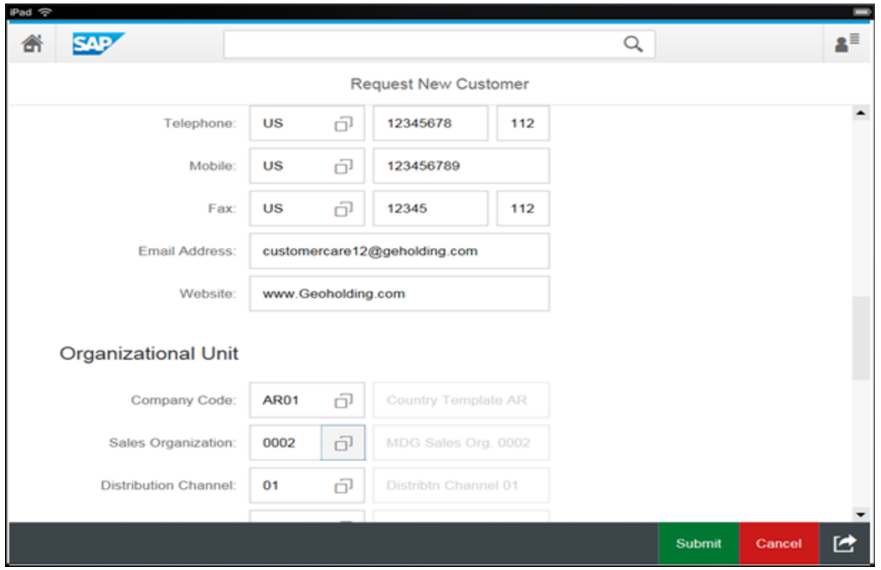
- Lean process of master data creation & approval for customers not using SAP MDG
- Leveraging SAP Cloud Platform based workflows, to ensure that no master data is created in either headquarter or subsidiary database before approval
- Easy data replication via standard DRF
- Business users can see approval, rejection, and data creation error status in HQ's database
- Packaged as an accelerator (template/sample implementation) for Two-Tier ERP available on SAP Best Practices Explorer



Advanced Capabilities Using SAP Master Data Governance (SAP MDG)

Value Proposition

- For customers with advanced requirements in master data validation, enrichment or more elaborate workflows, we recommend using SAP MDG
- SAP Master Data Governance, offers
  - Value help (F4) for to assist business users when requesting changes to master data
  - Flexible workflow-based enrichment, validation, and approval process involving multiple experts and data stewards to ensure complete and high quality master data
  - Managed data replication with key mapping and value mapping during distribution
  - Requestors are kept informed about the detailed status of the master data change request
- SAP MDG is a standard product offering by SAP



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Example: Lean Master Data Management for Business Partner Management

Accelerator Value Proposition

An BTP based workflow aids the requestor at the subsidiary for creating a business partner with approval from HQ.

The requestor enters the Business Partner data in BTP, a workflow is sent to the approver at the HQ in BTP. Once the approver approves, the business partner is created in HQ and then in subsidiary's SAP S/4HANA Cloud using O-data services.

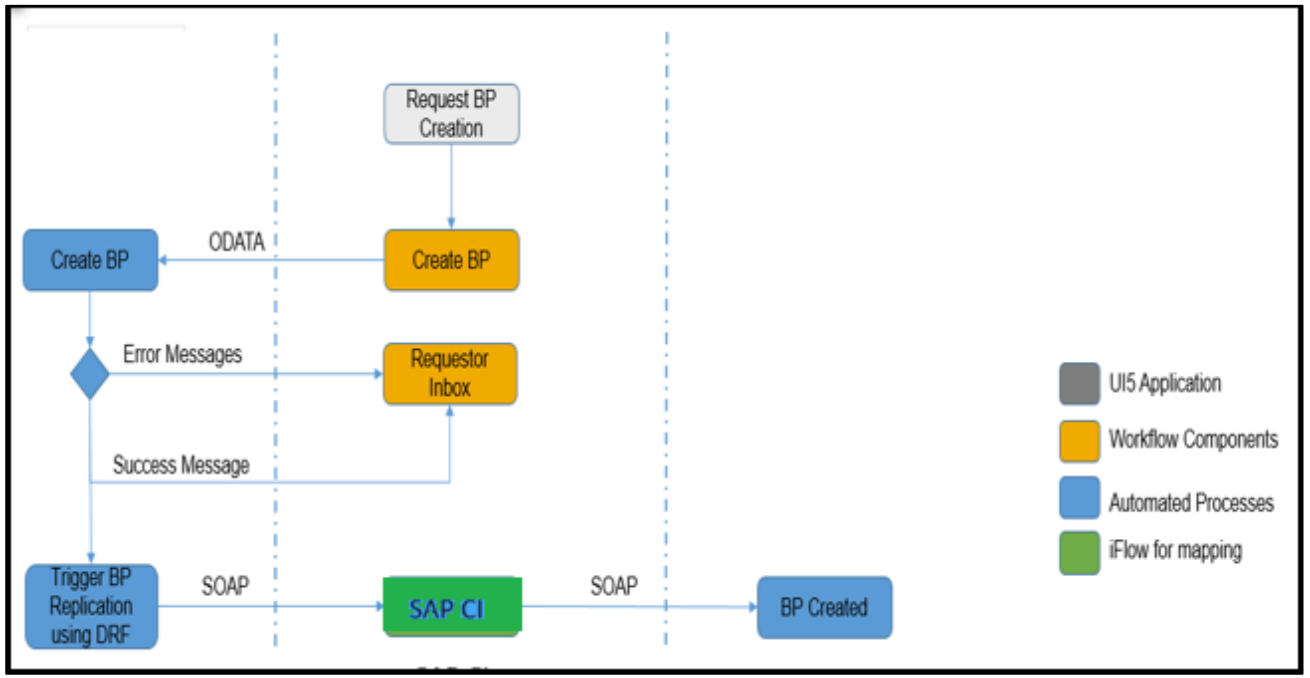
Business Benefits

- Paperless process of approval rejection
- Business partner created automatically at the HQ as well as subsidiary
- The requestor is automatically kept informed about approval/rejection of his request by the approver
- The requestor is also apprised in case of failure in creation of Master data at the HQ's database

SAP S/4HANA Cloud Private Edition

SAP BTP

SAP S/4HANA Cloud Public Edition



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Business Partner Replication- Using Cloud Integration Middleware

The scope item 1RO provides direct integration for master data.

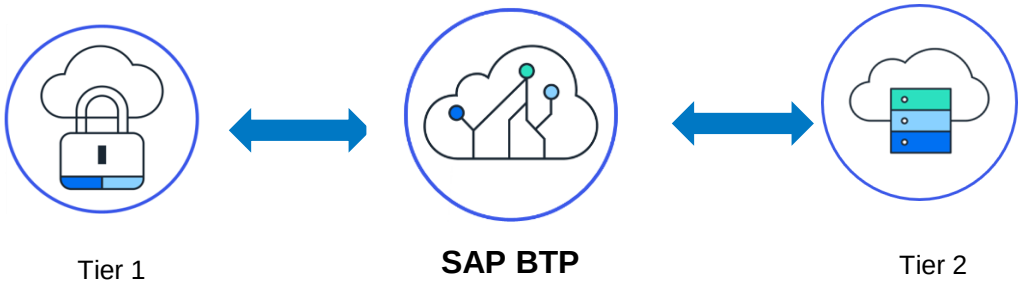
Customers may expect middleware for all interfaces subjected to their security policy.

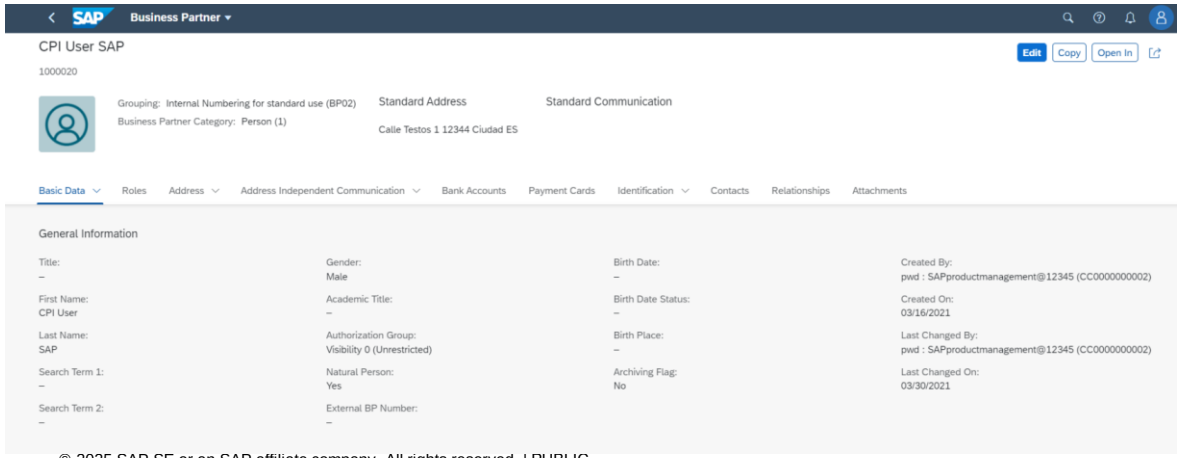
Value Proposition

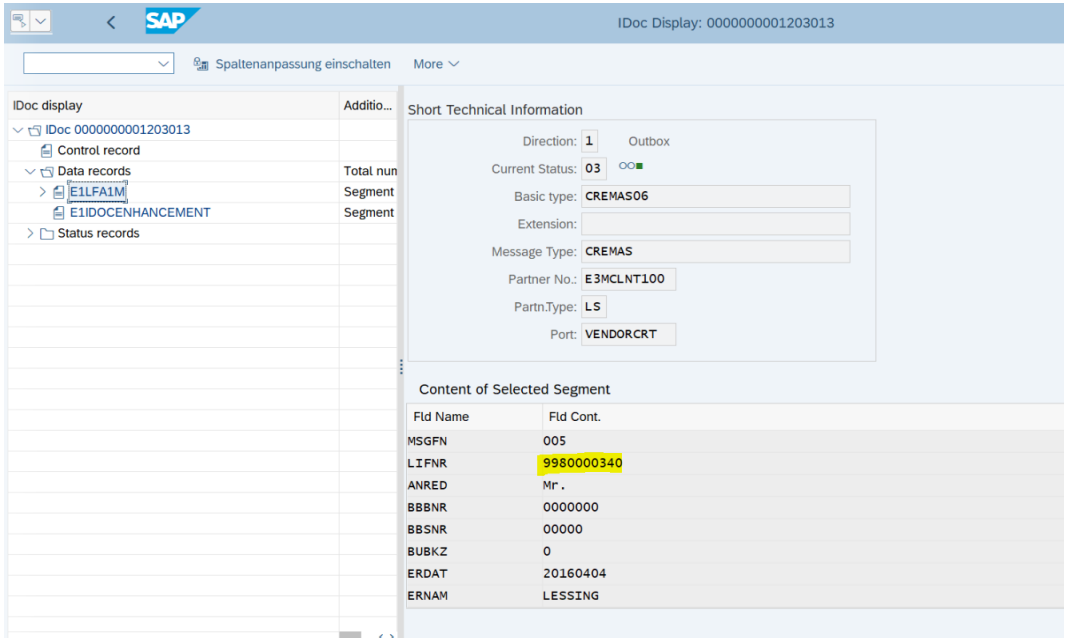
- This accelerator will reduce the implementation timeline drastically
- Master data harmonization across the entire enterprise.
- Easy to enhance based on customer requirement

Capabilities

- Replication of customer & vendor as business partner from SAP S/4HANA Cloud Private Edition to SAP S/4HANA Cloud Public Edition using cloud integration (CI) i-flow.
- Trouble shooting based on AIF(Application Integration Framework) monitor







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Finance Master data replication

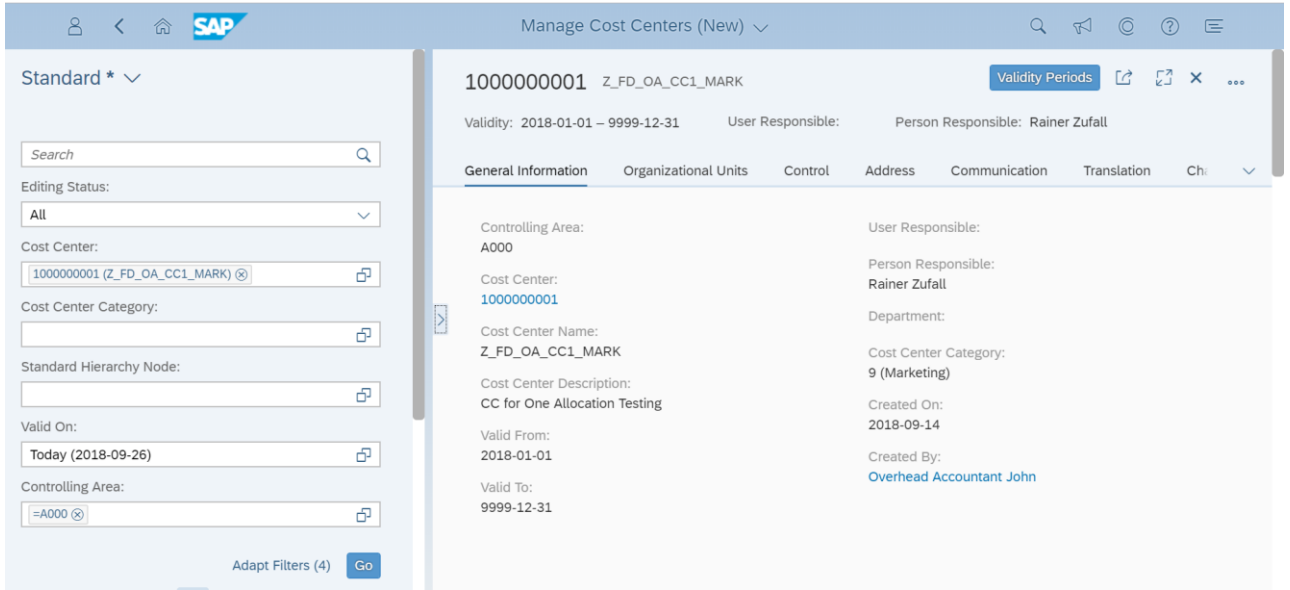
Value Proposition

- This accelerator will reduce the implementation timeline drastically
- Master data harmonization across the entire enterprise.

Business Benefits

- Automated, Real-Time & seamless process
- Easy implementation using SAP BTP Integration
- Usage of standard whitelisted APIs
- Master data harmonization across the entire enterprise.





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Master Data Replication- Bill Of Material

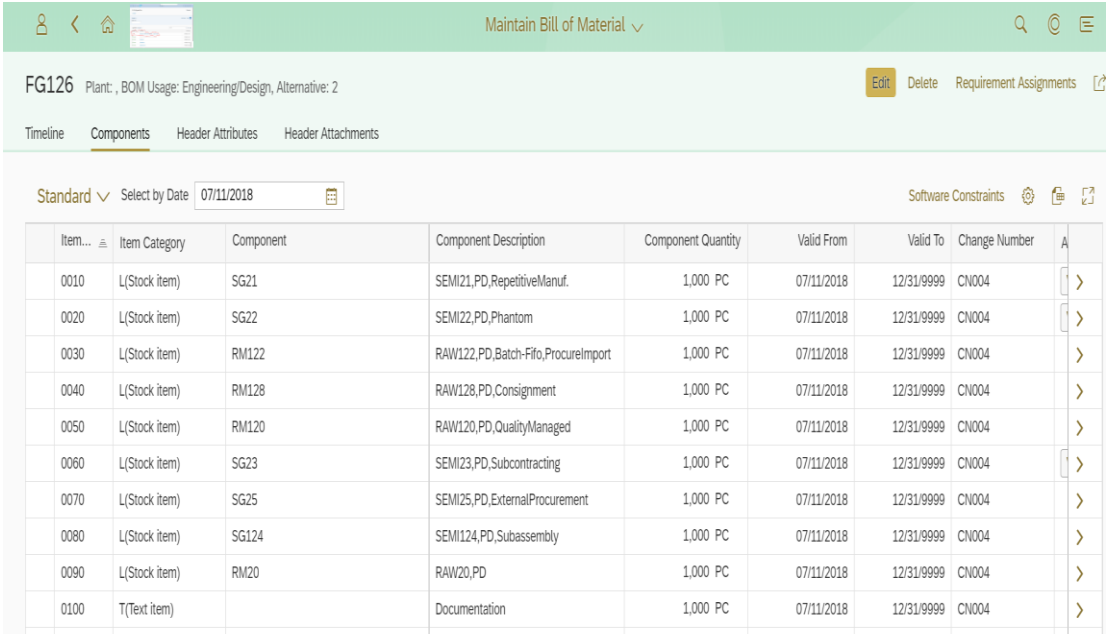
Value Proposition

- This accelerator will reduce the implementation timeline drastically
- Master data harmonization across the entire enterprise.
- Easy to enhance based on customer requirement

Capabilities

- Creation of Bill of Material from On-premise system to S4HANA Cloud Public Edition
- Change transfer from On-premise system to Cloud wrt BOM
- Trouble shooting based on AIF(Application Integration Framework) Monitor





Item...	Item Category	Component	Component Description	Component Quantity	Valid From	Valid To	Change Number
0010	L(Stock item)	SG21	SEMI21,PD,RepetitiveManuf.	1,000 PC	07/11/2018	12/31/9999	CN004
0020	L(Stock item)	SG22	SEMI22,PD,Phantom	1,000 PC	07/11/2018	12/31/9999	CN004
0030	L(Stock item)	RM122	RAW122,PD,Batch-Fifo,ProcureImport	1,000 PC	07/11/2018	12/31/9999	CN004
0040	L(Stock item)	RM128	RAW128,PD,Consignment	1,000 PC	07/11/2018	12/31/9999	CN004
0050	L(Stock item)	RM120	RAW120,PD,QualityManaged	1,000 PC	07/11/2018	12/31/9999	CN004
0060	L(Stock item)	SG23	SEMI23,PD,Subcontracting	1,000 PC	07/11/2018	12/31/9999	CN004
0070	L(Stock item)	SG25	SEMI25,PD,ExternalProcurement	1,000 PC	07/11/2018	12/31/9999	CN004
0080	L(Stock item)	SG124	SEMI124,PD,Subassembly	1,000 PC	07/11/2018	12/31/9999	CN004
0090	L(Stock item)	RM20	RAW20,PD	1,000 PC	07/11/2018	12/31/9999	CN004
0100	T(Text item)		Documentation	1,000 PC	07/11/2018	12/31/9999	CN004

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Product Data Replication -Set Up Configurable Model using Variant Configuration (22T)

- Product Data Replication is a method that allows to fully distribute Product Configuration Models between systems through a systematic identification and packaging of all objects of a product configuration model with versions.

Value Proposition

- Cost Savings
- Increased Data Quality
- Improved Transparency and Monitoring

- Advanced variant configuration enables efficient modeling of your configurable product model with a configurable BOM.



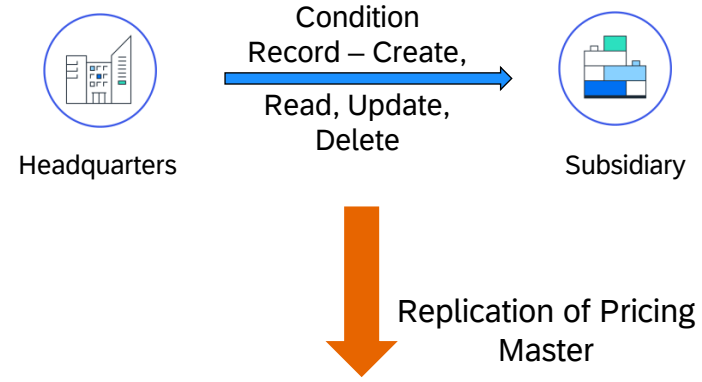
Capabilities

- Replication of characteristics , class, material, variant table and contents, configuration profile, constrain net, object dependency , configuration profile and BOM from On-Premise to S/4Hana cloud using IDOCs

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SAP S/4HANA Cloud for Two-Tier Accelerator
Centralized Pricing

Centralized Pricing required for companies who would like to have faster decision-making, have strict policy and compliance requirements in managing their prices centrally at their Headquarters for all their subsidiaries. This accelerator helps organization in reducing their implementation timeline.

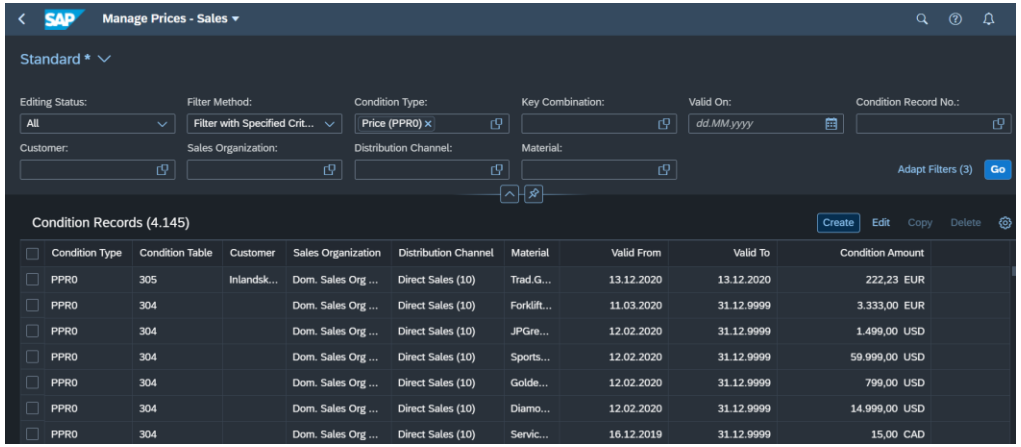


Value Proposition

- Increase process effectiveness and operational excellence
- Helps managing the price centrally there by avoiding redundant and manual work
- Helps in better control by restricting their subsidiaries in modifying the prices
- Better control on the negotiation with the customer as pricing managed centrally

Capabilities

- Replication of Pricing Master from SAP OP system to S/4HANA Cloud Public Edition
- Trouble shooting based on AIF(Application Integration Framework) Monitor



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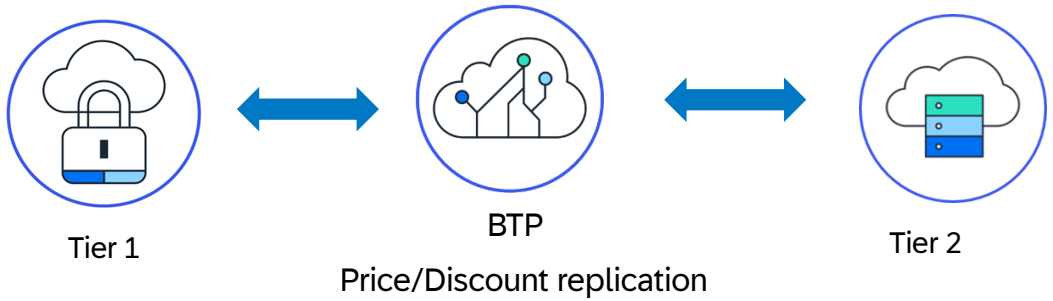
SAP S/4HANA Cloud for Two-Tier Accelerator

Product-Centric Pricing Harmonization in Two-Tier ERP

Released in 2502

Headquarter, the tier-1 establishes the pricing structure and discount terms for their products, ensuring uniformity across all the distribution organizations. These prices and discount structure are then required to be communicated automatically and applied as purchase pricing at the subsidiary, i.e., tier-2 system, in order to eliminate need for subsequent manual corrective reconciliation or adjustments.

This solution has a better fitment for the scenario for Sales office as a subsidiary and for the Distribution ecosystem scenario wherein prices, discounts are managed by the headquarter and are followed by the subsidiary and distributors who place orders with the headquarter.



Value Proposition

- Consistency in Pricing
- Simplified Operations for sales offices/distributors
- Increased Pricing Control for the headquarters
- Scalability
- Transparency

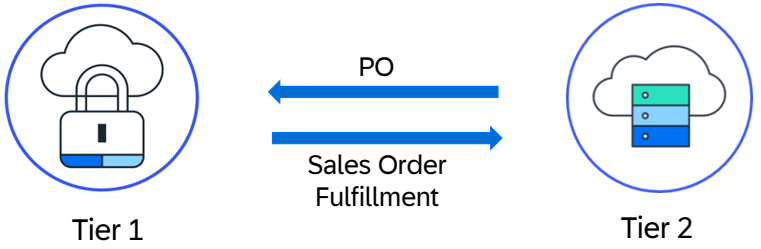
Capabilities

- Purchase Order (PO) at Subsidiary

At the tier-2 system sales office or a distributor creates a Purchase Order (PO) on the tier-1 system essentially for documenting the intent to buy goods from the headquarter at the agreed-upon terms (including pricing, quantity, delivery schedules, etc.). In this scenario, the PO would reflect the net price/discounts after applying the price and discount managed by the headquarter.

- Sales Order (SO) at Headquarter

The tier-1 system sets the price and offers a sales discount, seasonal discounts to the sales office or distributors at the tier-2 system. This price schema would be reflected in the Sales order created against the PO at the tier-1 system.



For details refer to blog [Product-Centric Pricing Harmonization Two Tier ERP]

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Two-Tier Master data Integration using BTP MDI

Master Data Replication between Head Office and Subsidiary is the most critical aspects for a smooth functioning of 2Tier Scenarios.
Now we can replicate Master Data using Master Data Integration BTP Service. SAP Master Data Integration is a multi-tenant cloud service for master data integration. It provides a consistent view on master data across a hybrid landscape. SAP Master Data Integration based on the SAP One Domaine Model is a key component of the Intelligent Enterprise's suite qualities and hence, helps enterprises to become an intelligent and sustainable enterprise

.

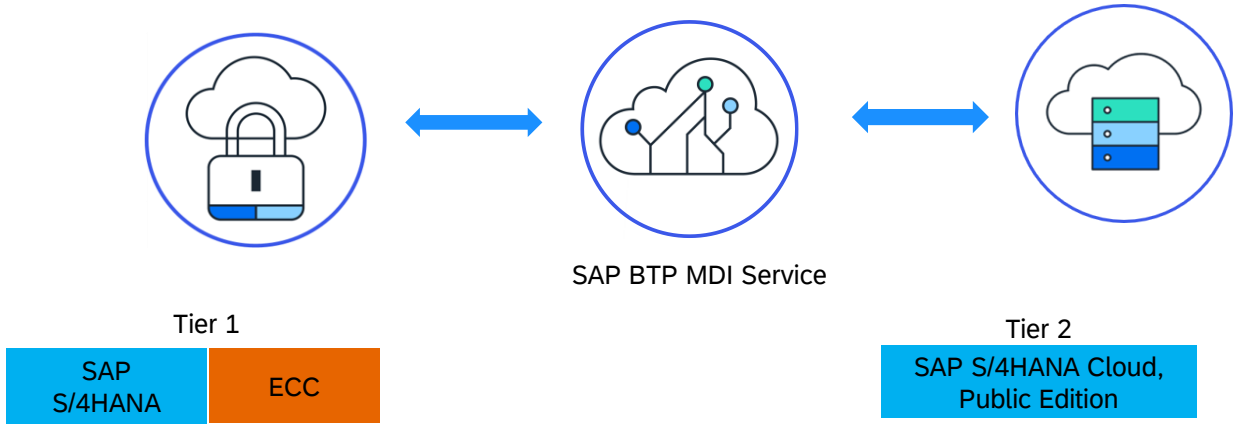
Value Proposition

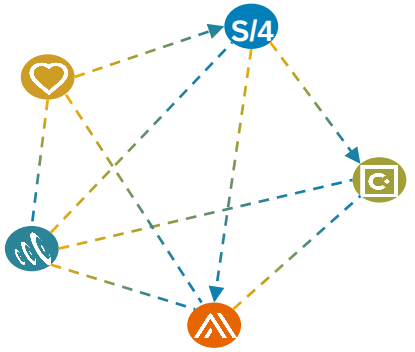
- SAP MDI is a multi-tenant cloud service for master data integration
- Supports SAP One Domain Model
- Hub & Spoke model to enable standardized master data integration
- Filtering capabilities to define replication according to business process

Capabilities

- SAP Master Data Integration service is based on the SAP One Domain Model
- Master data records can be exchanged between applications using any of these ODM versions on the same data set
- SAP Master Data Integration relies on SAP BTP, Cloud Foundry environment for protecting the connections using Transport Layer Security (TLS)

- For more information:
[SAP Master data integration (MDI)]







Point-to-point Integration → Central Integration point

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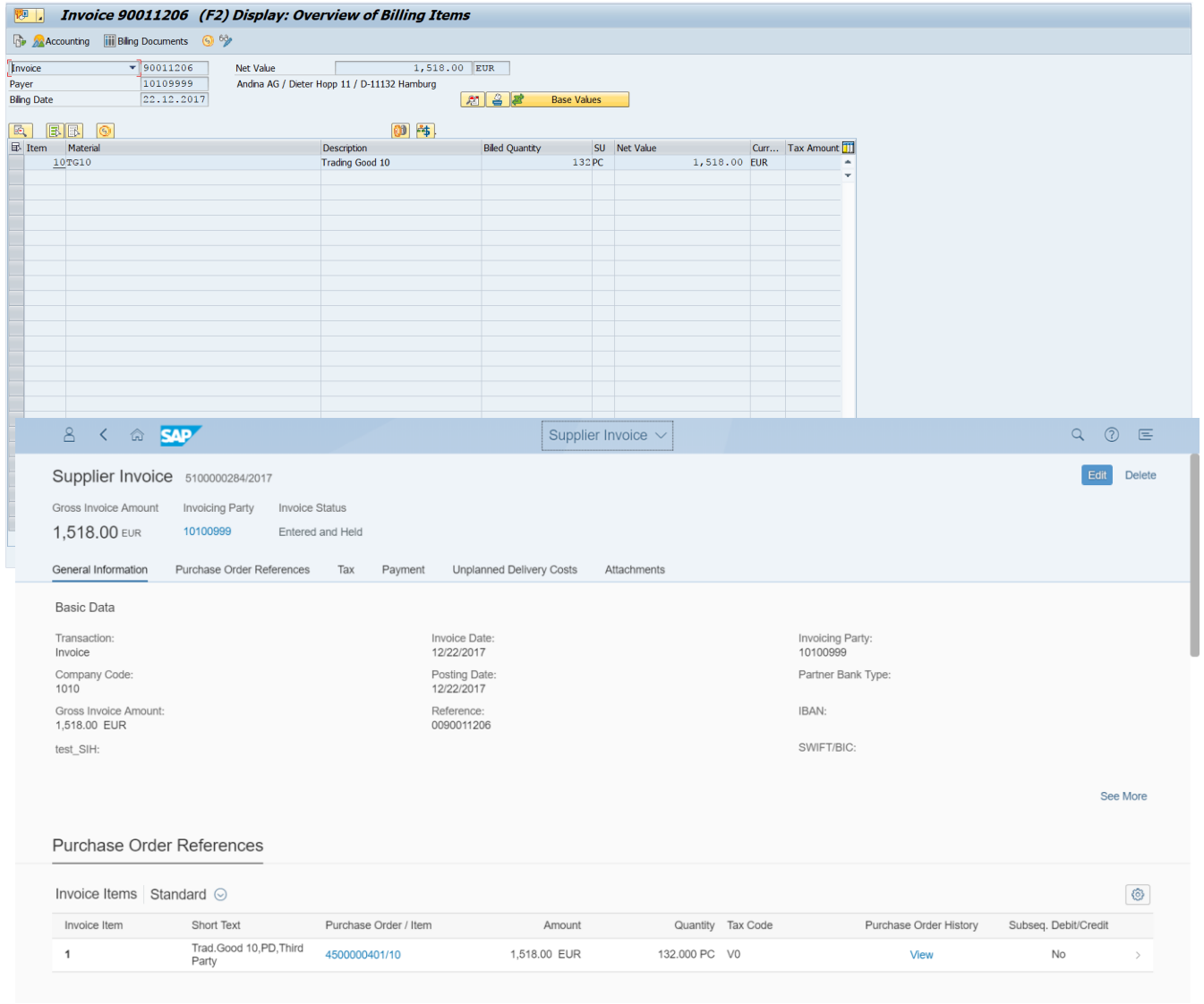
Billing Doc-Supplier Invoice Automation using SAP BTP Integration

Accelerator Value Proposition

Creating Supplier Invoice at Subsidiary from Billing Document at HQ using SAP BTP Integration. The point of creation of Billing Document at the HQ triggers creation of Supplier Invoice at the Subsidiary. Field mapping done in SAP Cloud Platform.

Business Benefits

- Automated, Real-Time process
- Paperless process promoting Sustainability
- Effectively addresses business processes like Drop-Shipment from HQ and Procurement from HQ by Subsidiary or Direct Procurement between Subsidiary and HQ
- Easy implementation using SAP BTP Integration
- Option for direct posting, parking or withholding of Supplier Invoices as per Business Process needs
- Usage of standard whitelisted APIs



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Analytics in Two-Tier ERP

SAP Business Application Studio provides a tailor-made development environment for various development scenarios, such as SAP Fiori, SAP S/4HANA extension, and Workflow. With each of these scenarios, we can create different types of applications. It is important for both the tiers to efficiently share data between each other. There are business cases where Tier 1 or Tier 2 want to see the spent visibility, vendor liability or information on sales and production order of another tier respectively.

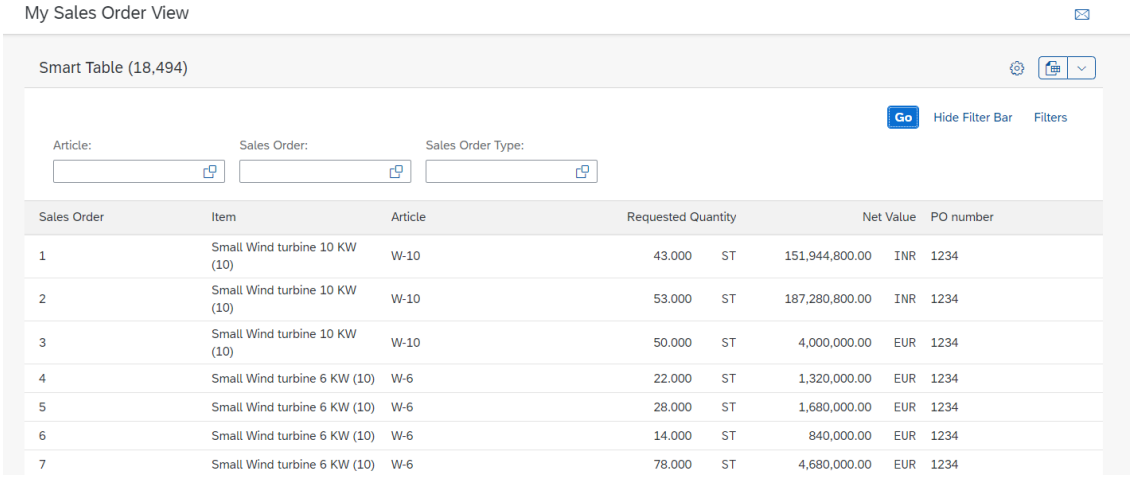
Value Proposition

- Data Visibility between Headquarter and Subsidiary
- Turn-Key solution .
- Simplified Development.
- Integrated SAP Solutions
- Ultimate Productivity



Capabilities

- The IDE is pre-loaded with the recommended set of extensions required for that specific scenario.
- The dev space is equipped with high-productivity development tools for the relevant business scenario e.g. wizards and templates, graphical editors, and more.
- Additional generic tools required for developing, testing running the solution are also included in the dev space – e.g. mock servers, run-time environments



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Two-Tier document replication using SAP BTP Event Mesh

Documents can now be replicated from SAP S/4HANA to SAP S/4HANA Cloud Public Edition and vice versa using SAP BTP Event Mesh. SAP Event Mesh is a fully managed cloud service that allows applications to communicate through asynchronous events which helps to create responsive applications that work independently and participate in event-driven business processes across the business ecosystem for greater agility and scalability.

Value Proposition

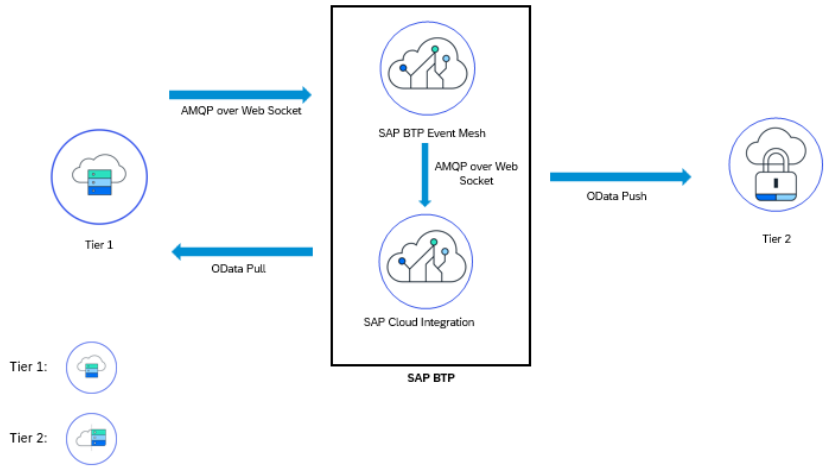
- Publish business events from SAP and non-SAP sources across hybrid landscapes from the digital core to extension applications through event-driven architecture.
- Consume business events from SAP and non-SAP sources throughout SAP's event-driven ecosystem including SAP Extension Suite, SAP Integration Suite, and selected inbound enabled SAP backends.
- Achieve reliable data transmission for extension and integration scenarios through decoupled communication.

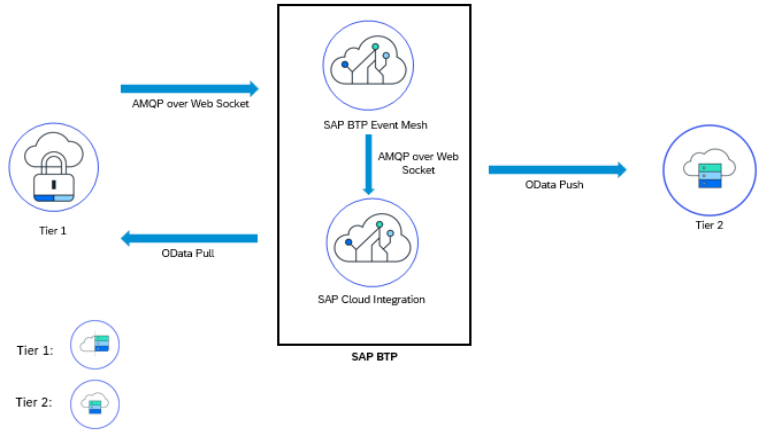
Capabilities

- Scalability: High-performance, scalable event handling for mission-critical scenarios without manual intervention.
- Flexibility: Flexible event-driven apps with seamless integration across various formats, protocols, and endpoints.
- Reliability: Resilient, secure event-driven architecture ensures reliable event delivery and high availability.
- Improved Performance: Distributed messaging infrastructure for high-performance event-driven apps, reducing latency and improving throughput.
- Monitoring and Management: Comprehensive monitoring and management via SAP Cloud Platform cockpit for efficient issue resolution and troubleshooting.
- Cost Savings: : Cost reduction by eliminating separate messaging infrastructure for each cloud provider.

For more information:
[SAP Event Mesh]
[Events in SAP S/4HANA Cloud, Public Edition]
[Events in SAP S/4HANA]

SAP S/4HANA Cloud Public Edition to SAP S/4HANA





SAP S/4HANA to SAP S/4HANA Cloud Public Edition

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References


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Experience
Workforce
Engagement
Digital Core
Business
Transactions
SAP Digital Boardroom
Sales
& Marketing
Portfolio
Management

Two-Tier ERP Community page

[Two-Tier ERP Community]

Two-Tier ERP

Global organizations are increasingly adopting a Two-Tier enterprise resource planning (ERP) strategy to run their global businesses on two or more separate ERP systems to meet their market needs. Organizations need to scale up and expand to cater to ever-increasing market demand by employing various business strategies such as acquisitions, divestitures, joint ventures, new business models. SAP's Two-Tier ERP strategy with SAP S/4HANA Cloud Public Edition offers headquarter-subsidiary, central services, supply chain ecosystem deployment models enabling business and IT to work together to build sustainable, scalable solutions providing all benefits of cloud deployment – agility, standardization and low total cost of ownership (TCO) – while maximizing existing investments in their ERP systems.

Featured Content



SAP S/4HANA Cloud Public Edition 2408 Early Release Series - Two-Tier ERP



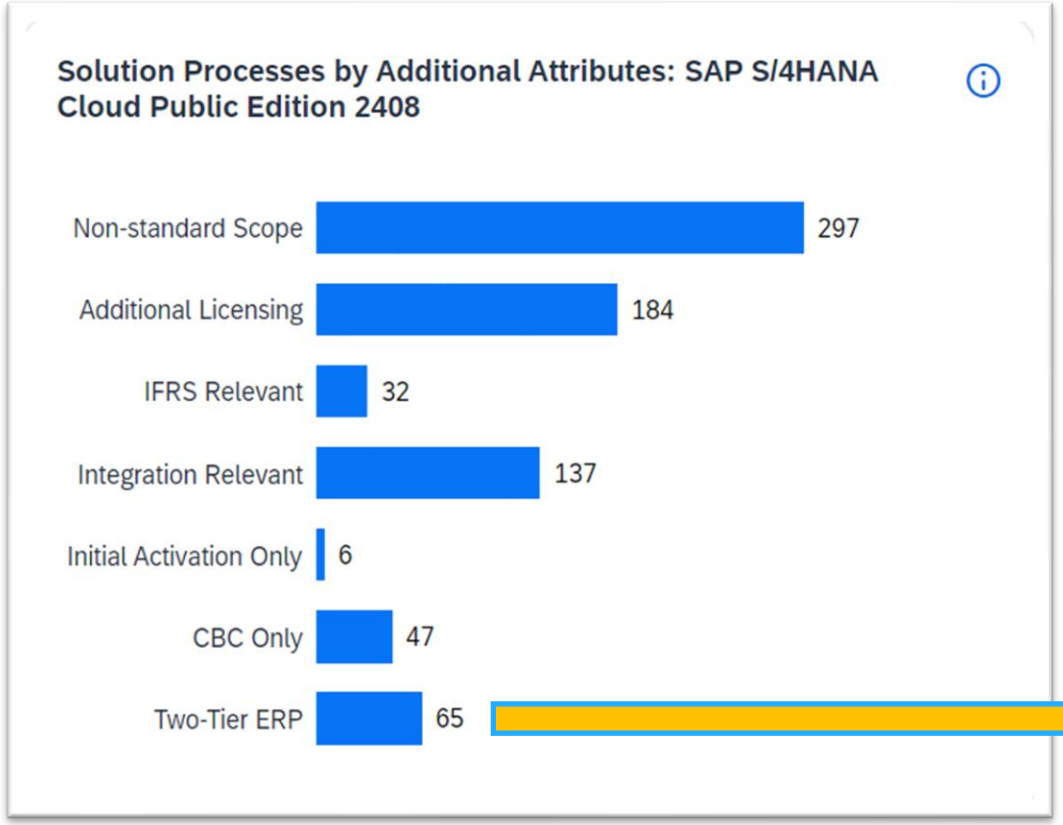
Two-Tier ERP with SAP S/4HANA Cloud Public Edition 2408

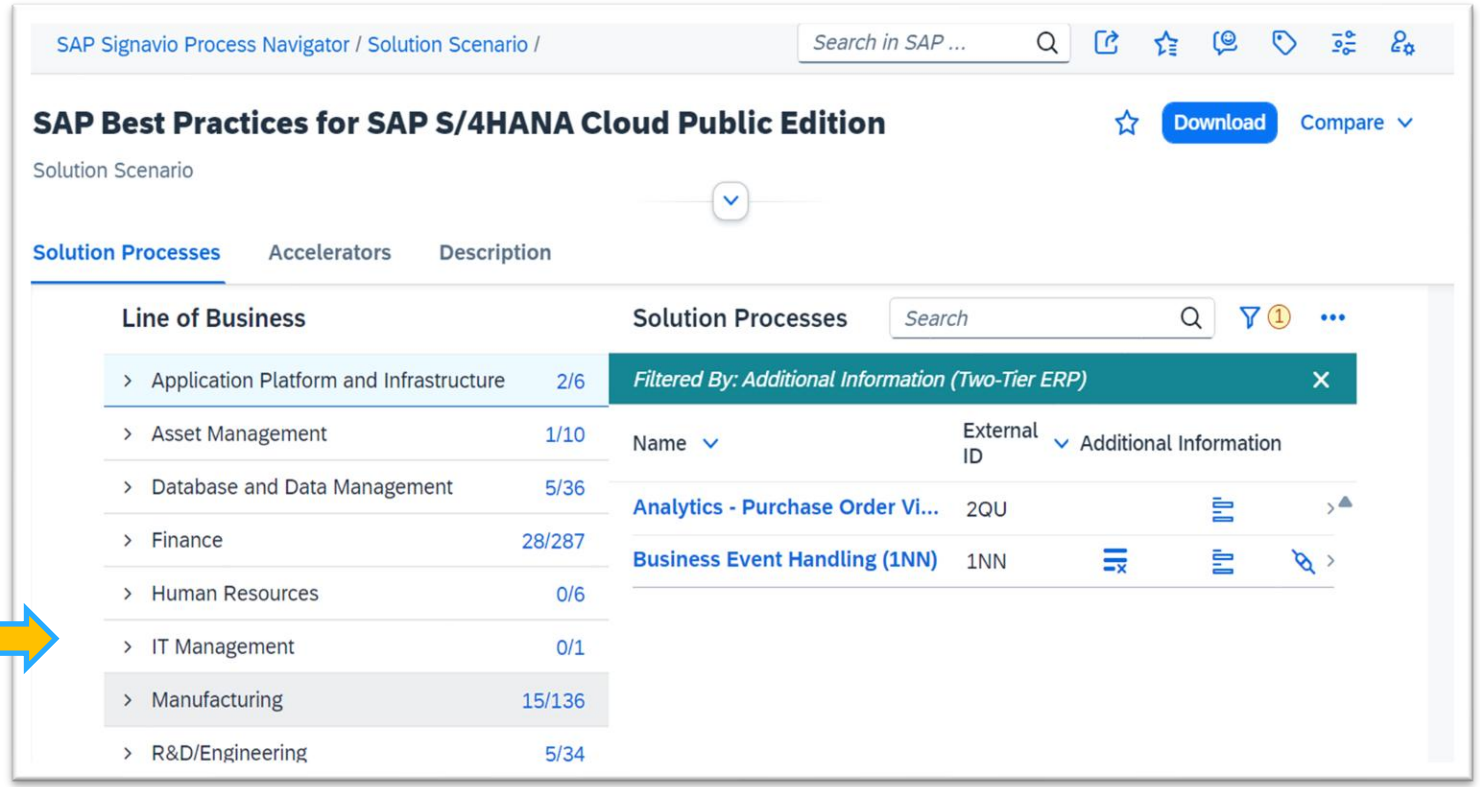
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Extensibility
Implementation Service
Integrated Analytics FAQ

SAP Signavio Process Navigator

Process Navigator - SAP for Me : **Two-Tier ERP**





Thank you.

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Email: Chandrashekhar.tipre@sap.com



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